Raiffeisen Bank Albania

Annual Report 2024

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Management board
of Raiffeisen Bank Sh.a

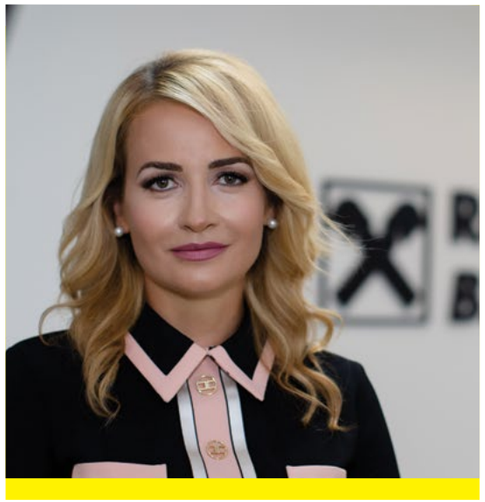


Christian Canacaris
Chief Executive Officer

Alexander Zsolnai
Vice-chairman of the MB



Elona Mullahi (Koçi)
Board Member Corporate





Vilma Baçe
Board Member Retail



Erion Serti
Board Member Operacionet dhe TI

Report of the Board of Directors

Ladies and Gentlemen,



Albania's economic landscape in 2024 demonstrated robust growth driven primarily by consumption and investment. The economy expanded by 4.0%. Gross capital formation was the standout contributor, alongside public and private consumption growth, in particular household consumption and investment, which were key to economic advancement. In addition to the above, public-sector initiatives and infrastructure development also played significant roles in driving economic growth. Inflation was contained at 2.2%, below the central bank's 3% target, prompting a reduction in the key rate to 2.75%.

Raiffeisen Bank sh.a. delivered an exceptional performance, marked by significant growth in our lending activities and a strong position in securities investment. We are proud to report that, with the support of all our business lines, our net profit in 2024 reached a record high in Albania, exceeding our expectations and outperforming the overall market average. This remarkable growth was achieved while maintaining a robust liquidity and capital position, ensuring our long-term sustainability and ability to serve our clients effectively. What truly distinguishes us is the deep trust and positive perception we have fostered among our clientele. On behalf of the Board of Directors, I would like to extend our heartfelt appreciation for the outstanding results and progress achieved.

During the financial year 2024, the members of the Board of Directors held four meetings. The overall attendance rate for the meetings of the Board of Directors meetings was 96 per cent.

The Board of Directors regularly and comprehensively monitored the business performance and risk developments at Raiffeisen Bank sh.a. Discussions were regularly held with the Management Board on the adequacy of capital and liquidity, as well as on the direction of the bank's business and risk strategies. The Board of Directors also dealt at length with further developments within corporate governance and monitored the implementation of corresponding policies. In the course of its monitoring and advisory activities, the Board of Directors maintained direct contact with the Management Board members responsible, the auditor and heads of the internal control functions. It also maintained a continuous exchange of information and views with representatives from supervisory authorities on topical issues.

Moreover, the Management Board provided the Board of Directors with regular and detailed reports on relevant matters concerning performance in the respective business areas. Between meetings, the Board of Directors maintained close contact with the Chairman and members of the Management Board. The Management Board was available when required for bilateral or multilateral discussions with members of the Board of Directors, where applicable with the involvement of experts on matters being addressed.

The work undertaken together with the Management Board was based on a relationship of mutual trust and conducted in a spirit of efficient and constructive collaboration. Discussions were open and critical, and the Board of Directors passed resolutions after fully considering all aspects. If additional information was required in order to consider individual issues in more depth, this was provided to members of the Board of Directors without delay and to their satisfaction.

The Board of Directors carried out its tasks as defined by the Albanian Banking Law, pursuant to the Articles of Association and in compliance with the Bylaws of the Board of Directors. The Board of Directors discussed important matters relating to the bank, with special consideration in the form of focus topics during the quarterly meetings of the Board of Directors.

I would like to take this opportunity to sincerely thank the Management Board and all employees of Raiffeisen Bank sh.a. for their unwavering efforts, and our customers for their continued trust.

On behalf of the Board of Directors

Marie-Valerie Brunner

Chairwoman of the Board of Directors

Message from the Executive Director

In 2024, Raiffeisen Bank Albania achieved remarkable financial results, marking the highest performance in its history. This achievement highlights the success of the bank's strategic initiatives and its firm dedication to delivering exceptional customer service.



The bank remains one of the leaders in the country, holding approximately 303 billion lek in total assets and exceeding the market average with an exceptional return on equity of higher than 26%.

The bank is well capitalized, and it has a strong liquidity position, with a capital adequacy ratio of 20.3%, well above the required level, demonstrating its preparedness to face challenges and proactively responding to any opportunities.

Loan volume grew at a strong level of 7.4% year-on-year, consolidating the bank's position as the second largest lender in the market.

The Retail lending segment has a market share of 19.3% and we are ranked second in the business lending segment with a market share of 15.0%. We are proud to highlight this achievement.

In the Retail segment, we achieved remarkable results, with gross lending volumes increasing by 16% year-on-year by the end of 2024. Moreover, we are honored to uphold our position as the leading bank in the PI segment for customer experience based on customer surveys.

In 2024, Raiffeisen Bank enhanced its Custody service by introducing Raiffeisen Certificates, a bond-type security available in the secondary market, offering clients additional investment opportunities.

The corporate segment excelled, with outstanding loans reaching approximately 630 million euros, an increase of 10.7% from the previous year. New lending volumes constituted 35% of the total outstanding loan volumes. We are proud to have been recognized for the fourth consecutive year as the best bank for corporate banking in Albania based on customer experience surveys.

Continuous investments in digital transformation, introducing advanced online and mobile platforms, have facilitated customers' access to banking services. For the first time in Albania, we introduced an innovative function in the Raiffeisen ON mobile application, "carbon footprint", which measures and reports the carbon footprint of individual customers, emphasizing our commitment to a sustainable future in the digital age.

At the sectoral level, one of the most important developments has been the increase in awareness and investment in cybersecurity. With the increase in cyber threats, banks have taken major steps to strengthen data protection and ensure secure transactions for their customers.

Raiffeisen Invest sh.a. experienced a positive year, maintaining sustained leadership in the investment funds industry, with an impressive 88% market share. Our Assets Under Management (AUM) climbed to approximately 558 million EUR across all funds, marking a remarkable 29.4% growth for the year. The sales activity was particularly strong, with gross sales reaching EUR 162.5 million and net sales contributing positively to the growth at EUR 71.5 million. In 2024, a new investment fund, 'Raiffeisen Solid,' was launched as the first and only feeder fund in Albania. It considers environmental, governance, and social criteria for investment, including climate change, natural capital and biodiversity, environmental pollution and waste, and opportunities for environmental improvement.

Raiffeisen Leasing sh.a. concluded 2024 with positive results, continuing to lead the domestic market in vehicle and equipment leasing. The financed value for 2024 was approximately 26.33 million Euros, comprising 89% for vehicles and 11% for equipment and financial leases of residential real estate.

In 2025, the banking sector is expected to face several key challenges, including the impact of economic growth and monetary policy changes on profits, which will necessitate quick adaptation. Ongoing regulatory compliance will require significant investment in systems to meet international standards. Additionally, digital transformation will be essential for enhancing efficiency and addressing customer demands for secure, fast services.

Finally, on behalf of the Management Board, I extend my heartfelt gratitude to our valued customers and business partners for their trust and collaboration throughout 2024. I also wish to thank our dedicated employees for their commitment, teamwork, and determination in achieving our objectives. We are eager to advance our agile transformation, establishing ourselves as a flexible organization prepared to tackle future challenges.

Christian CANACARIS
Chief Executive Officer
Chairman of the Management Board



Vision & mission

Our Vision for 2025

To be the most recommended financial services group.

Mission

Our Mission is to transform continuous innovation into superior customer experience.

Collaboration

When we work with each other, talk to each other, listen to each other, and support each other, we can achieve so much more. We constantly create an environment of mutual understanding, respect, and trust.

Proactivity

We believe in looking ahead. We drive change. Concentrating on the possibilities rather than the impossibilities. Replacing indecision with the decision. Action instead of reaction.

Learning

Learning means personal progress. We learn from experience, education, and sharing. Experimenting and applying new knowledge may involve failure. We consider failure the best teacher to draw lessons from it.

Responsibility

When each of us undertakes responsibility, we can change for the better. Individually and together, we own our decisions. We are accountable for the results of our work.

Perspectives and Plans for 2025

In 2025, Raiffeisen Bank stands ready to maintain its growth momentum and uphold its contributions to the country's economy. At the core of Raiffeisen's mission is a commitment to enhancing customer experiences and supporting clients in their personal and business endeavors.

We remain focused on leveraging on new technologies and expertise, contributing to the continuous improvement of standards within the Albanian finance & banking market.

Digital transformation lies at the heart of our banking operations, positioning us as first movers in constant innovation, thereby pushing the boundaries within our market to maximize the value delivered to our customers.

We are committed to enhancing our digital platforms to uphold our leading position as the most innovative bank in the country. This will enable us to provide our customers with seamless and convenient banking experience. We aim to enrich our applications with new features and functionalities to ensure that we remain at the forefront of digital banking excellence. Our continuous investment in cutting-edge technology ensures that our customers benefit from a secure, efficient, and user-friendly banking experience.

In line with our digital transformation goals, we will continue to invest and modernize our network of branches, ensuring that our physical locations complement our digital offerings and provide customers with a seamless omnichannel banking experience.

Ensuring superior customer service remains a priority across all our business segments, reflecting our commitment to prioritizing the needs and satisfaction of every individual and business we serve. This is why we invest in cultivating a customer centric culture within Raiffeisen Bank, fostering an environment where every team member is empowered to go above and beyond to meet customer expectations. Given the rapid pace of technology development, Raiffeisen Bank plans to prioritize developing employees' skill set to meet future labor market demands.

We value expertise and have cultivated a working environment that fosters collaboration, creativity, and an entrepreneurial spirit in which innovative ideas can thrive. Creating a good corporate culture is just as important to us, as it promotes employee engagement and loyalty, encourages a healthy work-life balance, and ensures the overall satisfaction of our employees.

Finally, Raiffeisen Bank is continuously working towards enhancing its focus on sustainable development and responsible banking for a better and greener future. Not only through our own operations but also across all business lines we aim to offer and develop sustainable financial products and services, in a manner that not only meets the needs of our customers but also supports and steers them in their transformation towards a more sustainable future and green economy.

Chief Executive Officer Chairman of the Management Board	Vice-chairman of the MB	Board Member Corporate	Board Member Retail	Board Member CIO/COO
Christian Canacaris	**Alexander Zsolnai**	**Elona Mullahi (Koçi)**	**Vilma Baçe**	**Erion Serti**

Governing bodies

Board of Directors

The Board of Directors is responsible for approving and controlling the implementation of the policies and strategies of the bank in connection with the business plan, risk management, annual budget; setting out long-term objectives of the bank and monitoring their realization, monitoring the effectiveness of management practices in the bank and effecting appropriate changes for the purposes of improving such practices, etc.

Members of the Board of Directors

Marie Valerie Brunner	Chairperson
Heinz MAg. Wiedner	Vice-Chairperson
Harald Kreuzmair	Member
Thomas Matejka	Member
Petro Merkulov	Member

Audit committee

The Audit Committee audits and supervises accounting procedures and internal control of the bank, including the procedures defined by the Bank of Albania, supervises the implementation of these procedures as well as audits the bank accounts and respective registrations; considers internal audit reports and monitors the way conclusions from such reports are dealt with; evaluates the financial situation of the bank based on the report of the statutory auditor, etc.

Members of the Audit Committee

Heinz MAg. Wiedner	Chairperson
Alda Shehu	Vice-Chairperson
Thomas Matejka	Member

During 2024, the Audit Committee held four meetings.

Risk committee

The Risk Committee shall advise the Management Board and the Board of Directors on the Bank's overall current and future risk appetite and strategy and assist the Management Board and the Board of Directors in overseeing the implementation of that strategy by senior management.

Members of the Risk Committee

Thomas Matejka	Chairman
Harald Kreuzmair	Vice-Chairman
Heinz MAg. Wiedner	Member

During 2024, the Risk Committee held two meetings.

Management Board

The Management Board organises and manages the activity of the bank continuously. It sets out and delegates the duties to the personnel and supervises the enforcement of delegated responsibilities, in compliance with the adopted policies and procedures; it takes the necessary measures to monitor and manage all the risks the bank is exposed to in line with the adopted strategies, it implements the adopted policies and strategies, and provides that the process on risk management be continuously in compliance with the risk profile of the bank and with the approved business plan.

Members of the Management Board

Christian Canacaris	Chairman/CEO
Alexander Zsolnai	Vice-Chairman/Deputy CEO
Elona Mullahi	Member
Erion Serti	Member
Vilma Baçe	Member

Report of the Management Board

Economic Developments

In 2024, Albania's economy demonstrated resilience with a growth rate of 4.0%, slightly exceeding the 3.9% growth recorded in 2023, despite global challenges. The growth dynamics shifted, with gross capital formation emerging as the primary driver, increasing by 4.3. Public consumption rose by 3.6% and private consumption by 3.5%, reflecting strong domestic demand. However, exports contracted by 0.8%, while imports surged by 6.0%, underscoring expanding domestic demand.

Household consumption and investment were key contributors to growth, while net exports detracted about 2 percentage points. Elevated inventories and statistical discrepancies could lead to future GDP revisions, potentially revealing a stronger contribution from service exports.

Service sectors experienced substantial growth, except for IT and Communication, which contracted by 2.5% due to high growth in 2023. Agriculture declined by 1.2% for the fourth consecutive year, and industry faced a 6.8% decrease, reflecting ongoing challenges.

Looking ahead, addressing structural challenges and strengthening the rule of law are crucial for sustained growth. Despite external headwinds, Albania is well-positioned for advancement, driven by domestic demand and strategic investments. Growth in 2025 is projected at 4.1%, supported by increased public sector involvement due to the election year and a boost from tourism. However, uncertainty remains due to tariffs in Europe, which could impact tourism if EU unemployment rises. Enhancing export competitiveness will be vital for maintaining this growth trajectory.

In 2024, Albania experienced a notable easing of inflationary pressures, with the inflation rate averaging 2.2%, well below the Bank of Albania's 3% target and down from 4.8% in 2023. This reduction was driven by normalized commodity prices, lower transport costs, and a stronger domestic currency. Food prices, although reduced from 9.5% to 2.6%, remained the main inflation driver. Core inflation fell to 2.5%, indicating strong domestic demand and a tight labor market, and consistently declined from 3.4% in January to 2.5% in December.

In response, the Bank of Albania adjusted the key rate, cutting it from a peak of 3.25% in November 2023 to 2.75% by November 2024, aiming to return inflation to target by mid-2025. In its March 26th meeting, the bank kept the rate at 2.75%, balancing inflation control with economic growth. The upcoming reduction in household electricity prices by 12% is expected to lower headline inflation, though the focus remains on domestic pressures and long-term stability.

Imported inflation is uncertain due to Eurozone tariffs affecting Albania's import prices, adding volatility to the inflation outlook. The central bank must monitor these developments closely. Considering these factors, we maintain our forecast for a further key rate reduction to 2.5% in 2025.

The expansion of the economy has brought positive developments in the labor market. In Q4 2024, the unemployment rate decreased to 8.8%, down from 9.5% in the same quarter of 2023. The employment rate experienced an annual increase of 1.6%, and wages averaged 83,401 lek, reflecting an annual growth of 11.2%, with the private sector seeing a rise of 9.5%. However, youth unemployment remains notably high at 19.1% by the end of 2024. Despite improvements in the labor market, ongoing monitoring of youth unemployment, skill gaps, and emigration is essential for policymakers seeking to further strengthen the Albanian labor market.

In 2024, Albania's public sector demonstrated strong performance, with total revenues growing by 10.4% year-on-year, while public expenditure increased by 8.0%. Crucially, unrealized expenses exceeding 400 million euros kept the fiscal deficit low at just over 180 million euros, or 0.7% of GDP. This fiscal prudence is evident in the government's underspending, particularly in capital expenditures, where the projected deficit of 2.4% of GDP was reduced to 0.7%. Strategic legislative amendments aim to boost revenue growth to 28.8% of GDP in 2025, underscoring Albania's commitment to a stable economic trajectory.

On March 21, 2025, S&P upgraded Albania's credit rating to BB, recognizing significant improvements in economic fundamentals and fiscal management. This decision reflects confidence in Albania's ability to maintain moderate budget deficits, averaging around 2% of GDP through 2028, given strong economic growth and effective public finance reforms. Albania's reduction of its gross general government debt from 65% of GDP in 2019 to approximately 54% in 2024 highlights its fiscal discipline and resilience, earning recognition amid challenging global conditions.

In 2024, Albania's current account deficit surged to EUR -0.61 billion, a 134% increase from 2023, growing from -1.2% to -2.4% of GDP. This was primarily driven by a 23.1% expansion in the trade deficit, exacerbated by an 8.7% drop in merchandise exports and a 13.9% rise in imports. Nevertheless, the services balance improved, expanding by 15.5% to EUR 3.88 billion, fueled by a 12.8% increase in services receipts, notably a 25% surge in travel exports. The primary income deficit narrowed by 32.1% to EUR -0.19 billion, with income from work, especially in IT services abroad, rising by 17% to EUR 625 million. Net transfers grew by 8.3% to EUR 1.3 billion, driven by a 13% increase in remittances.

Despite these hurdles, Albania's current account deficit has significantly improved from historically high levels of 6-7% of GDP until 2022, to 1.2% in 2023, and 2.4% in 2024. This reduction reflects substantial structural changes in the economy, addressing fundamental external imbalances. Additionally, the deficit is fully financed by increasing FDIs, underscoring the country's economic resilience.

The Albanian banking sector showed notable progress in 2024. By the end of the year, total banking assets reached €21.3 billion, marking a 6.4% annual increase, up from 4.7% in 2023. With approximately 50% of these assets in foreign currency, primarily EUR, the growth rate was slightly dampened by a 5.5% appreciation of the LEK against the euro, affecting reevaluation in LEK. Asset growth was primarily driven by transactions with customers, especially loans and investments in securities.

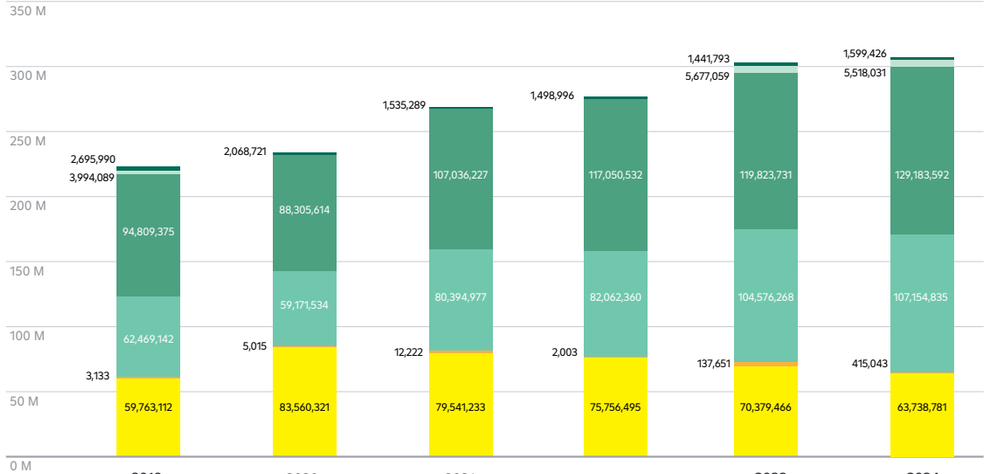
Loan growth was particularly impressive, reaching €8.1 billion by year-end with a 12.4% annual rise, a significant jump from the modest 3.7% growth in 2023. Loans in ALL increased by 14.6% year-on-year, while loans in foreign currency grew by 9.6%, recovering from negative growth in 2023 due to currency fluctuations and lower interest rates on LEK loans compared to Euro loans. Retail loans surged by 13.9% annually, rebounding from 3.7% in the previous year, and slightly outpaced the 11.9% year-on-year growth of business loans. Deposits reached €17.1 billion at the end of 2024, with a 5.2% annual increase. Retail deposits, which make up 76.7% of the total, grew by 6.1% annually, while business deposits saw a slower 2.3% year-on-year increase.

The sector also experienced an improvement in non-performing loan (NPL) ratios, which dropped from 4.7% in 2023 to 4.2% by the end of 2024. The banking sector concluded the year with a robust financial performance, achieving net profits of €380.7 million, a substantial 15.0% increase compared to 2023.

Financial Results

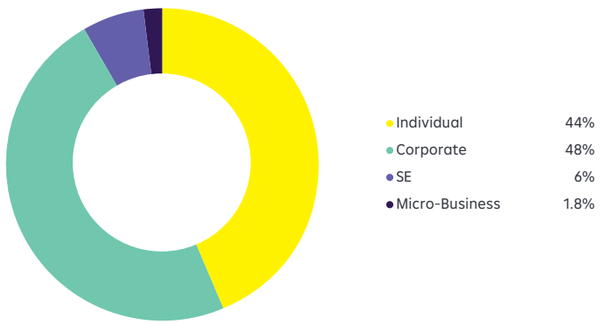
Total assets at the end of 2024 were ALL 307,702 million (2023: ALL 302,129 million). The loan to customers book at the end of 2024 had a growth of above 7 per cent year on year, while represented 42 per cent (2023: 40 per cent) of the Bank's total assets. The investments in securities remained steady at nearly 35 per cent of total assets in 2024 (2023: 35 per cent). While Cash, Cash on hand and balances with banks decreased with 9 per cent year on year.

Structure of Balance Sheet Assets
(in '000 LEK)



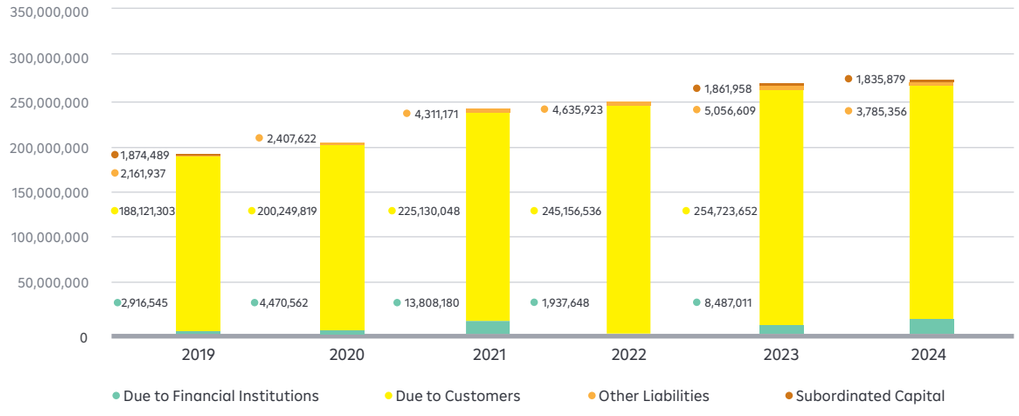
Total gross loans and advances to customers at year end 2024 stand at ALL 142,038 million (2023: ALL 128,817 million). Corporate Sector in percentage terms is 48 per cent of the loan book and it still represents the highest fraction of the loan portfolio with an outstanding loan book amounting to ALL 68,190 million (2023: ALL 60,387 million). The SE and Micro Business segment recorded only a 1 per cent increase yoy and their outstanding loan book amounting is ALL 11,524 million (2023: ALL 11,414 million). Individuals sector continues to be a major driver of the loan portfolio and in percentage terms represents 44% of the total loan book for year 2024 with an outstanding loan book amounting to ALL 62,323 million (2023: ALL 57,016 million).

Structure of Loans to Customers
(in '000 LEK)



The total liabilities at the end of 2024 were ALL 273,690 million (2023: ALL 270,374 million). In 2024, customer deposits represent nearly 92 per cent (2023: 94 per cent) of the total Bank's liabilities and a reliable source of funding.

Structure of Balance-Sheet Liabilities
(in '000 LEK)



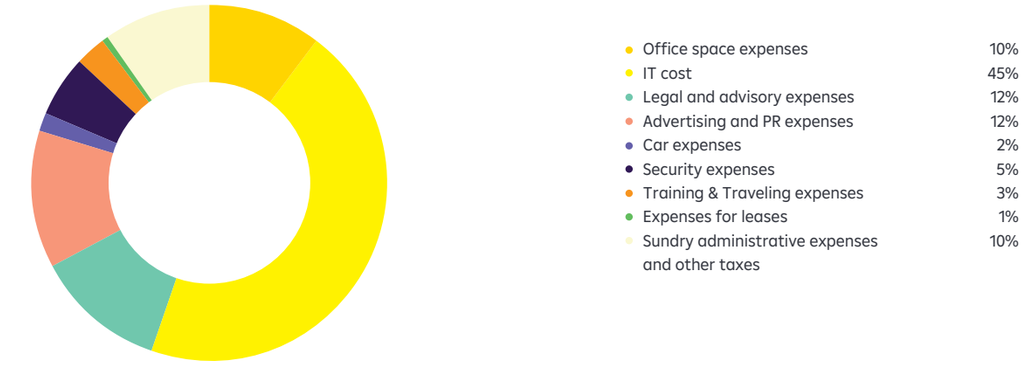
2024 showed a 17 per cent increase in net profit after tax over 2023 to ALL 7,672 million (2023: ALL 6,555 million). Dividend declared and paid in 2024 is 5,414 million (2023: ALL 5,030 million). The Group maintains a sound capital profile with Local Capital Adequacy Ratio of 20.43 per cent, well above regulatory minimum requirement of 12 per cent.

Structure of Shareholder's Equity
(in '000 LEK)



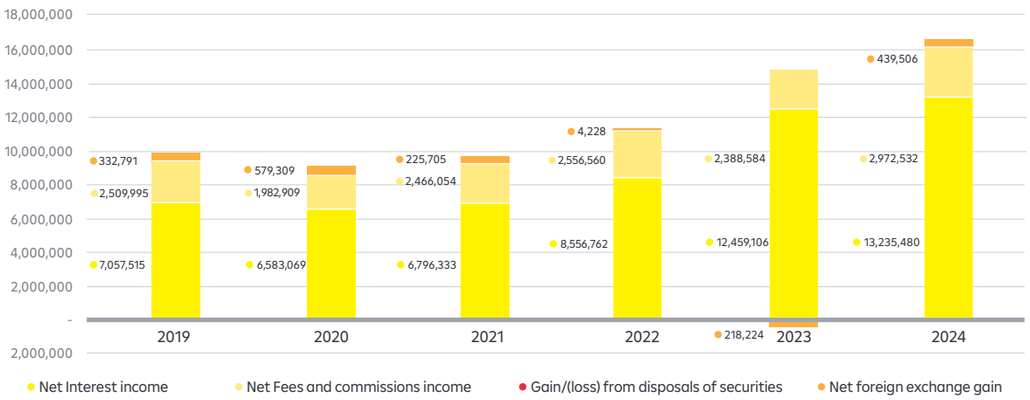
Other Administrative Expenses (excl. Staff cost & depreciation) at year end 2024 were ALL 2,427 million (2023: ALL 2,187 million). In 2024 the cost/income ratio decreased from 41.48 per cent to 39.92 per cent.

General Administrative Expenses
(in '000 LEK)

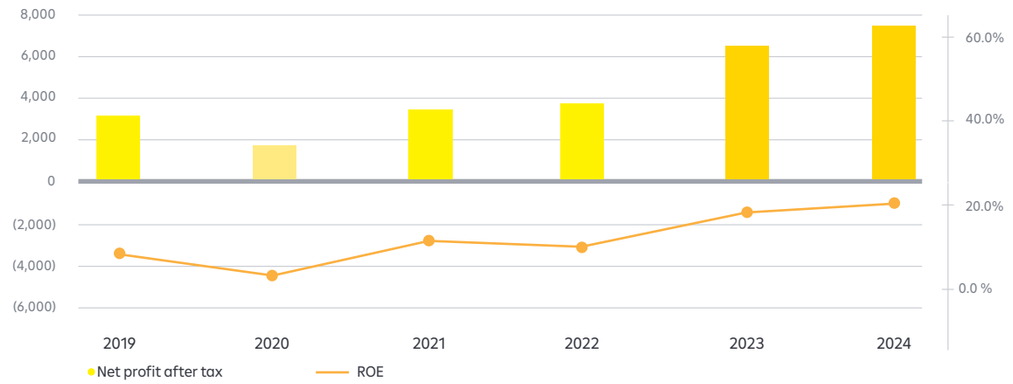


Group net interest income increased with 6.23 per cent in 2024 and Bank's total balance sheet increased (1.8 per cent) due to surplus liquidity. Net interest margin (calculated in relation to average balance sheet – total) increased from 4.27 per cent in 2023 to 4.34 per cent in 2024.

Net Income
(in '000 LEK)



Profit & ROE
(in '000,000 ALL)



Risk Appetite/Tolerance Statement

The Risk Appetite Framework (RAF) aims to provide the management, together with the formulation and approval of a top-down Risk Appetite statement, a tool to set and constrain the level of overall risk the Bank is willing and able to take on, to achieve its strategic and business goals. There is a close interconnection to the Internal Capital Adequacy Assessment Process (ICAAP) as the main objective of the RAF is to align strategic and business targets with the necessity to fulfil minimum regulatory capital requirements in adverse scenarios as well as in the case of large singular risk events, and to ensure that senior creditors do not bear losses in an extreme risk scenario. Bank of Albania requires bank to hold a minimum amount of capital for all their material risks. For so called Pillar 1 risks (i.e. credit, market and operational risk) explicit quantification and assessment procedures are given; adding up those numbers yields the regulatory capital requirement. Risk management in Raiffeisen Bank must ensure that regulatory capital requirements are met. Raiffeisen Bank hold capital more than the regulatory minimum requirement as an extra buffer to avoid regulatory intervention and subsequent reputational losses.

This level of capital is called risk taking capacity ("RTC"), differently stated as Regulatory Capital which is the sum of: Common Equity Tier-1, Additional Tier 1 capital, and Tier-2 capital. The level of capital held by the Bank also contributes to an increased business activity and future growth. Since RTC is mainly based on the surplus of capital over the minimum capital requirement ("MCR"), a definition of the MCR for the RTC concept is needed. Generally, the MCR is the needed regulatory capital requirement for Pillar I risks (namely credit, market, and operational risk). In order to have an optimal level of held capital, when assessing RTC level, shareholders should be aware that besides the level of MCR, the Bank may also face events which might trigger unforeseen and/or unmeasured risks. These types of risks are assessed under Pillar II capital requirement which consists of requirement for: credit concentration risk, residual risk, risks deriving from any external environmental factors (i.e. stress test) and any risks referred to as other risk types which are estimated annual through the risk assessment process. Given the volatility in financial markets and the economic environment, and the unpredictability of large singular risk events, the Risk Appetite has to be set below the level of Risk Tolerance with a large enough cushion in order to avoid a frequent breaching of targeted RTC warning level. Risk Appetite is defined as the limit of 85 per cent of targeted RTC. Risk Tolerance is defined by the limit of 95 per cent of Targeted Risk Taking Capacity. Targets are set in line with the Budget and Mid-Term Planning Process and includes managerial buffer adequate to cover ordinary volatility of market conditions.

Regulatory RWA (in EUR tsd)	**2025**	**2026**	**2027**
Credit Risk	1,258,985.37	1,299,891.83	1,340,626.83
Market Risks	12,724.14	12,736.15	12,748.18
Operational Risk	301,941.76	310,748.83	319,683.94

	december 2024
Regulatory Total Capital Adequacy Ratio	20.43%
Capital Adequacy Ratio in line with local ICAAP methodology	18.57%

Segment report

Corporate Business/Segment DevelopmentSegmenti korporatë

The year 2024 was exceptionally successful for the Corporate area at Raiffeisen Bank Albania, characterized by outstanding financial performance. Throughout the year, the bank intensified its efforts to strengthen expertise and synergy across the Raiffeisen Group Network. This strategic focus granted a significant competitive edge, enabling the delivery of professional services to both international and domestic clients in line with European standards.

To advance this objective, the bank introduced a new concept of group corporate segmentation. This initiative was designed to maximize customer potential and establish consistent, high-quality service standards across the network through a unified customer service model.

Throughout 2024, Raiffeisen Bank successful completion of a €110 million syndicated loan, the largest financed exclusively by local banks operating in Albania for a renewable energy project, where RBAL had the leading role. This restates the commitment and engagement of the bank toward green energy.

Primary goal for 2024 was to lead in innovation and product excellence. Raiffeisen Bank Albania delivered a superior experience to its customers through digital and automated products and services. After three years of operating in an agile setup, the bank's cross-functional end-to-end lending and digital development teams ensured the introduction of the most innovative onboarding processes, cash management solutions, and lending products in the market.

These developments enhanced service quality and ensured a seamless customer experience, supported by increased digitalization and automation of corporate services.

Environmental and social responsibility emerged as a core principle in 2024. ESG activities were embedded into daily operations, with the bank actively supporting clients in their sustainability transformations through financing, advisory services, and expert consultation. Key sustainability efforts included:

- Transitioning to paperless operations
- Implementing lean internal processes
- Offering energy-efficient products such as photovoltaic panels and electric vehicles

The bank also engaged in dedicated ESG meetings and joint workshops on environmental topics, reinforcing the importance of sustainability in shaping its future.

As the primary partner for Central and Local Government Institutions, Raiffeisen Bank Albania achieved significant milestones by signing the second slot of the Agreement for soft housing loans to public administration and collaborating with the General Directorate of State Police on a special purpose card for the State Police. By leveraging strategic objectives and cross-selling opportunities for various banking products and services, the bank continued to reinforce its long-standing relationship with Public Institutions. The goal remains to uphold its leading partnership role despite increased market competition.

Project Finance and Sustainable Finance Unit

Project Finance Unit at Raiffeisen Bank Albania played a central role in leading and finalizing the largest local syndication ever raised by Albanian banks. The biggest achievement for the Corporate department completing this syndicate, collaborating with other Albanian Banks. This initiative aligned with the group's strategic goals in ESG and corporate portfolio development. The unit continues to evaluate large-scale investments to provide sustainable solutions that benefit clients and their communities.

Strategic partnerships with European Bank for Reconstruction and Development (EBRD) and other institutions are central to the bank's long-term strategy for supporting key sectors, including tourism and agribusiness. Ongoing initiatives with EBRD include:

- Albania Agribusiness & Tourism Support Facility (AATSF), aimed at increasing access to finance for agribusiness and tourism enterprises.
- Risk Sharing Framework (RSF), designed to mitigate risk in financing projects within strategic sectors.

ESG values remained integrated across all operations, with the goal of empowering businesses to transition confidently to sustainable practices. To raise awareness on these topics, the team frequently organized customer meetings with ESG ambassadors on environmental issues and conducted joint workshops with staff to emphasize the role of sustainability in shaping the future of the bank.

Cash Management Department and Digital Channel

The Cash Management Department maintained its focus on digitalization and enhancing the corporate customer experience. Significant technology investments enabled the launch of innovative features and the upgrade of existing services, reinforcing Raiffeisen Bank Albania's leadership in mobile and internet banking for businesses.

Key innovations in 2024 included:

- **Single Sign-On (SSO)** on the Digital Online Platform, simplifying access and enabling users to manage all online services for daily banking and lending.
- **Payment Tracker Tool**, offering real-time tracking of cross-border payments, thereby enhancing efficiency, transparency, and reliability.

Trade Finance & Digital Lending

Raiffeisen Bank Albania maintained its market position in Trade Finance Products throughout 2024. The dedicated team provided corporate customers continuous support and specialized advisory services helping them to enhance their knowledge to properly use Trade Finance transactions with a strong focus also on energy trading and renewable energy projects, thereby contributing to the development of sustainable infrastructure.

Highlights from the year included:

- Comprehensive advisory services to help clients use proper instruments for their domestic and international trade deals
- Issuance of tailored bank guarantees for the energy and renewable energy sectors
- Collaborate with a wide range of correspondent banks, which acted as partners and supported in concluding successful Trade Finance transactions.

The bank's continued commitment to innovation and customer-focused solutions further strengthened its leadership in Trade Finance.

In the lending area, Raiffeisen Bank Albania launched the E-finance application, becoming the first bank in the market to allow corporate customers to apply for loans online. The application automated several internal processes to better meet evolving business needs.

Retail banking

Customer Segment Development

Private Individuals Customers

In 2024, two new account segments were introduced in compliance with Bank of Albania regulations. The **"Basic Payment Account"** and **"Social Basic Payment Account"** were designed to support more vulnerable individuals in need, ensuring they have access to essential banking services. Additionally, the **"Special Police Account"** was launched to cater to the specific requirements of state policy, which includes increasing card usage at POS to streamline transactions and enhance financial management.

We continued offering diverse packages for private individuals, including current accounts and debit cards. We maintained our PI Mass packages with a customer self-selection feature and loyalty program. A loyalty bonus is offered for engaging in mobile and POS/e-commerce transactions to boost customer interaction.

Our PI Mass packages align with the Bank's digitalization strategy, offering a simple and innovative concept.

Another significant achievement is the **online application for new current and savings accounts** for existing clients, featuring digital signing and e-archiving for documentation.

The Premium Banking line offers high-quality services with dedicated spaces in branches. Premium Banking includes Classic and Club levels, enhancing services for affluent customers. Raiffeisen Albania pioneered Remote Service for Premium clients via the Rai Connect platform, aiming to expand client reach and enhance experiences with E2E products.

Small Enterprises segment (SE)

SME segment concluded another very successful year in 2024. Our Asset portfolio marked 20% growth compared to the last year, while Liabilities volumes saw a significant year-on-year increase of 14%.

This good performance positively impacted the segment's gross income, with both assets and liabilities exceeding budgeted expectations. One of our key priorities during Year 2024 was acquisition. Our active customer number achieved a record growth of 23% YoY and our aim is to continue growing further in this regard.

Building on the digitization of our lending offer introduced in December 2022, we launched Working Capital during Y 2024 as a new digitally-offered product alongside the initial unsecured digital overdraft in Micro segment.

RBAL continues to lead the Albanian market in providing a digital business loan application with automatic approval. In 2024, 30% of overall unsecured loan disbursed in Micro segments are digital loans.

We aim to remain accessible both physically and digitally, adapting to our customers' needs and activities. Given the strong performance in the Micro segment, we plan for the upcoming year to expand digital loans to our SE customers. The Net Commission Result for the segment grew by 33%, fueled by the significant customer growth and higher engagement from our existing customer base.

In 2024, lending through ESG- group compliant loans increased by 58%, out of which 39% of this new volume allocated to Women in Business. Beyond Green/Environmental Loans, the social impact of SME lending remains dominant.

Our focus for 2025 will be on enhancing internal processes to boost efficiency and simplify our customers' lives. We will actively promote Digital Lending, our focus in AgriBusinesses, while still having a key focus in expanding our customer base.

Daily Banking Agile Team:

Raiffeisen Bank Albania is committed to undertaking a profound agile transformation to become a flexible organization ready for the next generations of banking. Our product teams have been restructured into self-organized agile squads and tribes, with T-shaped members who have the autonomy to make business decisions and resolve impediments. The aim is to enhance value for our customers by improving products and services, eliminating pain points, and expanding end-to-end digital offerings, ultimately improving customer experience.

Throughout 2024, the team has focused on enhancing systems to optimize client creation processes, achieving significant improvements in processing times. Another priority has been developing the end-to-end online KYC process for client data modifications. The implementation of email and phone number validation for "Walk-in" clients has improved security and ensured accurate communication for all banking interactions.

Product Management Division

Savings Products

On August 1, 2024, Raiffeisen Bank introduced an update, providing customers with a comprehensive range of financial products and services. We launched an internal initiative across our S&D premises to attract New FCY Deposits: Euro, USD, and GBP. New deposits were considered all new and existing clients who brought additional volumes in EUR/USD/GBP to the bank. By offering TDs with preferential rates, the bank has given the customers more options to grow their savings and achieve their financial goals. Raiffeisen Bank's commitment to offering a diverse range of financial products and services reflects its dedication to meeting the needs of its customers and ensuring that they have access to the best possible financial products and services.

In 2024, Raiffeisen Bank enhanced its Custody service by introducing Raiffeisen Certificates, a bond-type security available in the secondary market, offering clients additional investment opportunities. These instruments offer clients an opportunity to invest, with favorable interest rates and a high level of security, allowing them to diversify their financial portfolio.

Individual Loans

At the end of 2024, Raiffeisen Bank Albania achieved a market share of 31.3% for new unsecured loans and 11.15% for new secured loans. The Bank's primary focus throughout the year has been delivering superior experience, products and services that best meet customer demands and needs.

During 2024, the secured loans team continued to enhance products with the aim of business growth, while also automating processes and offering new lending methods to simplify and shorten the loan application process. The continuous focus on the customer has resulted in a consistently high Net Promoter Score (NPS) for loans at Raiffeisen Bank Albania, indicating that borrowers appreciate our lending approach. Throughout 2024, the monthly NPS for secured loans, was around 80, while customer satisfaction was at 4.70.

Despite 2024 being a challenging year for mortgage loans due to the ongoing increase in real estate prices, new mortgage loans grew by +18% year-on-year at Raiffeisen Bank. Lending was primarily concentrated in the local currency, reflecting the stabilization of interest rates and the base rate in the local currency, Treasury Bond 12-months, falling below 3% in the last quarter of 2024. Raiffeisen Bank Albania continued to provide loans mainly for home purchases but also offered home equity loans. One of the Bank's main priorities is sustainability and social responsibility, continuing existing programs for social loan financing in collaboration with the Ministry of Economy, Culture, and Innovation and several municipalities, while also pursuing new cooperation agreements. Following the successful completion of the first round of social loans program for the public administration, financing about 200 doctors, police officers, and military personnel in 2024, a new agreement was signed in collaboration with the Ministry of Economy, Culture, and Innovation and Raiffeisen Bank Albania for a new lending program with favourable terms for public administration employees for home purchase loans. Raiffeisen Bank is the sole selected financing bank, targeting groups such as doctors, police officers, military personnel, teachers, and staff from various ministries.

"During the year 2024, our unsecured loan portfolio experienced significant growth, driven by increased demand for personal loans and other products such as bank overdrafts or express loans. The volume of new unsecured loans offered to individual clients during 2024 was +21% higher than that achieved during 2023. It is worth noting that our bank's clients (new or existing) are choosing to use digital channels to apply for and obtain personal loan products through an end-to-end online process. This has enabled more than 1 in 3 loans to be sold through a complete online e2e process."

"Even higher is the percentage for loans initiated through digital channels, which make up ~54% of the total volumes of personal loans for individuals, compared to 33% a year earlier.

Raiffeisen Bank introduced new digital loan offerings that significantly simplify the application process and enhance the customer experience."

"Raiffeisen Bank Albania continues to be focused on significant investments to improve lending processes and offer its clients the best experience in loan applications through digital channels without requiring them to visit a branch. 'Kredia Flash,' as a digital channel, is fully automated and available 24/7, and continues to positively impact particularly the growth of the bank's new client base. During the year 2024, 'KrediFlash' has been available on the digital platform 'Raiffeisen ON' and the web, for both existing and new bank clients. Additionally, client categories with Pre-approved and Selected offers have had the opportunity to apply through 'KrediFlash.' This new approach to this channel has resulted in 2024 registering disbursed cases initiated from this channel seven times more than in 2023."

"The digitalization and provision of an end-to-end online experience for the entire range of unsecured consumer loan products have been the focus of the bank throughout the past year, successfully enabling this for Raiffeisen Bank's highly competitive product: 'Kredi Ekspress.' This success was made possible through close collaboration with the largest retailer company in the market, with which the bank facilitates the offering of this product to both new and existing clients."

Cards Business and E-Banking Division

Card business

In 2024, significant advancements were made in the card business, with a strong focus on digitalization, customer experience, and efficiency. The introduction of new products and services, alongside enhancements to existing processes, contributed to an overall increase in card usage and engagement.

A key milestone regarding the RaiPay digital wallet was its launch on iOS operating systems for the first time in 2024, making it accessible to a broader range of users across both Android and iOS platforms. Also, the implementation of the pairing process with mobile banking Raiffeisen On was another key achievement, simplifying the process for customers by enabling automatic enrollment of all debit and credit cards.

The introduction of P2P (Card to Card) transfers marked another important development, making Raiffeisen Bank the first in the Albanian market to offer this functionality. Card to card transfers allow customers to transfer funds between cards seamlessly, providing a fast and secure alternative to traditional money transfers and further highlighting the bank's role in driving innovation in the market.

Another development in 2024 was the introduction of a new card design, fully aligned with the marketing guidelines set by Raiffeisen Bank International (RBI). This new design enhances visual appeal and user experience while adhering to RBI's branding standards, ensuring a consistent and modern look across all markets.

The year 2024 continued to show increasing results for card sales as well as card payment volumes. Growth has been solid with plus 17 per cent for credit cards and plus 39 per cent for debit cards in card payment volume.

POS Network

In 2024, Raiffeisen Bank Albania experienced a 20% increase in the number of POS and RaiPOS terminals. This growth reflects the bank's commitment to expanding its presence in the small and medium business market, offering more opportunities for digital transactions with card present.

Transaction Growth: The volume of transactions increased by 39% in 2024. This growth is a result of the POS network expansion and the adoption of new technologies like RaiPOS, with Raiffeisen Bank Albania being the first network to offer it. POS and RaiPOS facilitate the payment process.

RaiPOS will continue to play an important role in transforming transaction methods. The bank will focus on improving the app and expanding its use among new merchants, SMEs, offering a more efficient and secure payment experience. Raiffeisen Bank Albania aims to further expand its reach in the Albanian market, offering innovative payment solutions and contributing to the development of the local economy.

Electronic Payments (E-commerce) in 2024:

During 2024, Raiffeisen Bank Albania aims to continue expanding its e-commerce payment network, including more new industries (Micro + SME), agribusinesses, and non-profit organizations. Growth in Volumes and Terminals: E-commerce terminals have increased by 21% compared to last year, while the number of transactions has grown by 37.3%. These increases reflect the bank's commitment to expanding its digital capacities and offering more efficient services.

The bank's focus is to enhance customer service performance, offering more payment options and alternatives to increase business efficiency and opportunities. This will be supported by integrated platforms and applications that facilitate use for merchants.

ATM Network:

In 2024, Raiffeisen Bank expanded its ATM network with a 5% increase in the ATM fleet, ensuring easier access for customers across Albania. Our ATM network is among the largest in the country, and many of them offer deposit services. This network is distributed throughout the territory, aiming to be as close as possible to our customers. Many of these ATMs continue to offer deposit services, enabling customers to have complete and integrated banking experience. In highly urbanized areas, banks have expanded Self-Service centers to improve customer service.

In addition to regular cash withdrawal transactions, our ATMs offer other value-added services for cardholders. Foreign customers can withdraw money in Lek currency, and our cardholders can make withdrawals in Lek and Euro at a considerable number of ATMs distributed throughout the country. Additionally, deposit facilities are offered for our cardholders.

During 2024, the volume of withdrawal and deposit transactions at our ATMs increased by 15%. We continue to work towards offering multifunction ATMs, aiming to provide more specialized services tailored to our customers' needs.

Digital Banking

Raiffeisen Bank Albania has consistently developed ambitious strategies for the digitalization of its banking products and services, with the aim of enhancing the customer experience through highly innovative use of technology. By focusing on delivering a new digital dimension, the Bank has enabled customers to access their banking services easily and conveniently through a wide range of digital platforms and channels.

This early and decisive shift toward the digital transformation of products and services demonstrates the Bank's vision and commitment to keeping pace with technological advancements and addressing customer needs in an increasingly digitized environment. By offering a comprehensive range of digital channels for conducting transactions and accessing banking services, the Bank has shown readiness to adapt the customer experience to the new digital reality, enabling users to bank seamlessly and without limitations.

In 2024, we have been actively engaged in the continuous improvement of our clients' digital banking experience, introducing a wide array of new functionalities on the Raiffeisen ON platform, including:

- **Current and Savings Account Opening via RON Mobile:** Users can open additional current and savings accounts in five major currencies through a fully digital process using electronic signatures.
- **Personal Loans – Promotional Campaigns:** Online availability of personal loan products for all promotional campaigns offered by the Bank, which were previously accessible only through physical branches.
- **New Login Method for Raiffeisen ON:** Enhanced security via two-factor authentication, enabling users to log in using a PIN or biometric data (FaceID/Fingerprint), provided RON Mobile is activated.
- **Online Application for Express Loans – RSF – Krediflash:** Customers can apply for RSF loans through Neptun.al by selecting products and proceeding with the loan application via RON. Bank customers may also apply for pre-approved and pre-selected loan products using Krediflash, directly from the app's dashboard.
- **CRM Campaign Offers:** Promotional interest rates for pre-approved and pre-qualified loans are offered through RON during active campaigns.
- **RaiYouth:** New functionalities such as mobile top-up and KUIK payments, where users can request money from their contacts, providing a fast and secure user experience.

Throughout 2024, the number of customers using the Raiffeisen ON platform reached 66% of total active retail clients. Notably, mobile banking penetration reached 40% of total active individual clients. For the first time, the share of digital lending reached 29% on the Raiffeisen ON platform and website, marking another milestone in our digital journey.

Also noteworthy is the share of new customers onboard digitally, which accounted for 31% of all new clients acquired by the Bank.

We remain committed to continuing our investments in digital transformation in the coming years, aiming to deliver significant improvements in customer experience and to meet the evolving needs of a broader client base, including younger generations who have grown up with technology and are well-positioned to maximize the benefits of digital banking services.

Bank assurance

On 31 October 2016 meeting, the Board of Albanian Financial Supervisory Authority licensed Raiffeisen Bank as a Broker in insurance products for both life and non-life classes. Raiffeisen Bank was the first bank in the market licensed as Broker. Brokerage activity for Raiffeisen Bank is conducted through internal staff also licensed as private brokers.

Further utilizing the existing branch network and sales staff, the brokerage activity conducted through this license has contributed on lowering risks for secured and unsecured loans portfolio and increasing by 13 per cent of Private Individual segment fee income during 2024.

Payments

During 2024, the Raiffeisen ON digital platform recorded a steady growth of over 3% in online payments, reflecting the success of our digitization and client engagement strategies. All types of payments are available online, simplifying transactions for our clients. Domestic payments experienced a significant increase of 37% compared to the previous year, encouraging greater use of online services and reducing reliance on physical cash. This expansion enhances the banking experience and boosts customer satisfaction through the platform's efficiency and convenience, particularly in bank transfers.

Customer Experience

In 2024, we made significant strides in strengthening our customer-centric culture by investing in comprehensive training programs. We successfully completed the general Customer Experience (CX) training cycle for all employees across the bank, equipping teams with a shared understanding of customer first principles and tools to embed empathy in daily interactions. This initiative has helped foster a culture where each employee actively contributes to delivering better experiences.

To drive meaningful transformation across customer journeys, we scaled the use of Service Design across our three strategic domains: Acquire, Engage, and Monetize. Cross-functional teams applied structured design methodologies to rethink and improve priority journeys, with the focus to create seamless onboarding experiences, improved digital engagement, and more intuitive monetization touchpoints. These efforts support our ambition to build simple, human, and personalized experiences at every step.

Understanding our customers deeply remains a cornerstone of our strategy. We enhanced our research capabilities by introducing new techniques and expanding participation across different customer segments. This allowed us to surface richer insights and co-create solutions that address unmet needs. We also strengthened our ability to listen to the voice of the customer through active collection and analysis of feedback across touchpoints—from NPS surveys and complaints to contact center interactions and in-app feedback.

We recognize that customer-centric transformation is a multi-year journey, but we are making significant progress in placing Customer Experience and Design at the center of product development and decision-making. This shift is crucial to supporting the bank digitalization strategy and fulfilling our north star: to build a digital bank with a human touch.

By embedding CX and design more deeply into how we work, we are creating the foundations for long-term differentiation and stronger relationships with our customers.

Customer relationship management

In the transformative year of 2024, Raiffeisen Bank embarked on an exciting journey to redefine its Customer Relationship Management (CRM) strategy. This evolution was marked by the introduction of Lead Management, a cornerstone initiative aimed at enhancing customer engagement across some of the most crucial interactions, including onboarding, personal loans, and credit card applications.

At Raiffeisen Bank, we believe that each potential customer is not just a statistic but an individual embarking on a journey filled with possibilities. With Lead Management, we have crafted a pathway that guides our customers from the moment they express interest, nurturing their curiosity and facilitating a smooth transition from inquiry to conversion.

Effective lead management in our lending products is not just about numbers; it's about understanding the unique needs of each customer. We offer tailored loan options, maintaining consistent follow-ups to ensure that our clients feel supported every step of the way. By leveraging data analytics, we identify high-potential leads and customize our offers based on individual financial profiles, making each interaction meaningful.

Another achievement of 2024 was our structured onboarding process serving as a warm welcome to the Raiffeisen family. It begins with a heartfelt welcome email, setting a positive tone for their experience. Soon after, personalized communications follow, offering handy tips to help them navigate their options effectively. We understand that the initial moments are pivotal, and we strive to make them engaging and informative.

To deepen their understanding, we send contextual communications that illuminate the benefits of our services, ensuring that customers feel informed and empowered. This customized journey is filled with 50 carefully designed touchpoints, transforming a simple inquiry into a rich, engaging experience. By the time they reach the end of this initial phase, our customers are not just transactions; they have become loyal advocates, equipped with the knowledge and confidence to make informed financial decisions.

In the competitive landscape of financial services, capturing and nurturing early engagement is paramount. Our commitment is to guide our customers through their financial journeys, ensuring they feel valued and understood. This narrative is not just about enhancing their experience; it is about fostering long-term loyalty, creating connections that last for years to come.

As we reflect on 2024, we take pride in the thoughtful orchestration of our early engagement strategy. Each touchpoint, each communication, and each interaction has been designed to enrich the customer experience, ensuring that every individual who walks through our doors feels like a valued member of the Raiffeisen family. Together, we are not just navigating financial decisions; we are building lasting relationships, one journey at a time.

Contact Center

The Contact Center handled over 430,000 customer communications in 2024, providing support and sales advice to enhance customer experience. It focuses on two main activities:

- Examination of customer requests through incoming calls and other alternative channels, such as email, Chatbot, and the Raiffeisen ON electronic channel, providing 24/7 service, information, and assistance for the bank's products and services.
- Development of telemarketing, informational, and questionnaire campaigns for the bank's products and services.

In 2024, the Contact Center began processing end-to-end applications for personal loans, credit, and debit cards through electronic signatures. Additionally, it provided online assistance to new customers, helping them open accounts via the digital platform Raiffeisen ON. The Contact Center also supported the RaiYouth student application, offering customers the ability to complete all processes online without the need to visit branches.

Sales & Distribution Channels - 2024

Raiffeisen Bank continues to maintain the largest branch network in the country, with a total of 74 branches. The bank's network also includes 29 self-service zones, equipped with Cash In / Out modules and Dual ATMs, designed to assist customers utilizing digital channels.

The branch network also provides premium services at 17 branches, each with dedicated service areas for this client segment. Products and services for Premium Customers are accessible remotely, with no physical presence required, through the use of an electronic signature from a trusted service provider for qualified services (electronic signature, remote identification). The Premium Direct Service continues to offer remote advisory and support to Premium clients of the bank.

Another objective of the bank has been to reduce cash transactions at branches while educating clients on the use of alternative channels. In 2024, Raiffeisen Bank expanded its ATM network to a total of 183 ATMs, strategically distributed across branches and off-site locations. Of these, 47% are contactless, with 111 ATMs equipped with cash deposit modules and 35 ATMs supporting dual currency operations.

Raiffeisen Bank continued the successful operation of its digital (cashless) branch concept, offering a full range of banking products and services, with the exception of cash services within the branch premises. Customer digital education and encouraging the shift to digital platforms have remained a priority for our branch staff, resulting in significant growth in digital channel sales and services. Hybrid branches, which combine traditional and digital banking with reduced cash servicing hours and a heightened focus on sales and digital education, were further expanded in 2024, now comprising 30% of the bank's branches.

Raiffeisen Bank Albania continues its successful collaboration with the Albanian Post Office for cash deposit transactions. The network of post offices offering cash deposit services to Raiffeisen Bank customers remains at 31 locations across the country.

The Agile methodology, which emphasizes individual development and self-organizing teams, has been adopted by 70% of the network. This approach has resulted in significant improvements in productivity, staff satisfaction, and customer satisfaction. By adopting Agile, employees have been empowered to take ownership of their work, collaborate more effectively, think creatively, and drive innovation in the workplace. Additionally, this methodology has contributed to business growth by fostering a customer-centric mindset.

Branch staff training was a key focus in 2024, particularly for newly launched products and features. Training packages were developed for daily banking services and products, as well as for investment products such as "Raiffeisen Solid" and "Raiffeisen Certificate."

In 2024, the Direct Sales Department focused on strengthening and maintaining relationships with customers' daily needs and requirements, particularly with third-party collaborators, by offering attractive, competitive, and high-quality services.

Fast Loan financing in retail premises, combined with online sales this year, has provided our customers with more opportunities and solutions for their desired products, particularly in the area of green energy solutions.

In terms of competitive advantages, particularly in meeting customer needs, Raiffeisen Bank proactively invests in the development of its human resources. Our Sales Agents in retail premises, and especially our Direct Sales Force, are key competitive advantages in attracting, retaining, and expanding services for both PI and Micro customers. No other bank has a dedicated Sales Force that can immediately fulfill customers' requirements, positioning RBAL as a leader in the market.

In collaboration with state and private universities, Raiffeisen Bank offers top students (in economics and management) the opportunity to intern at our branches. In 2024, 167 students participated in this program, supporting branches in daily operations, with a particular focus on digital products.

Treasury and Investment Banking

Fixed income

In 2024, the Fixed Income Unit had a year filled with opportunities and strategic developments. Despite global challenges like interest rates and regional macroeconomic developments, the unit successfully traded local government securities and international bonds, maintaining a strong liquidity position in domestic instruments. It played a key role in the bank's revenue and risk management, ending the fiscal year with excellent results. The Albanian bond market was influenced by ongoing inflationary pressures, which led to a gradual normalization of monetary policy by the Bank of Albania. The Central Bank maintained a tight policy in the first half of the year, keeping the base rate at 3.25%, and eased it to 3.00% in the fourth quarter as inflation began to decline.

Throughout the year, Raiffeisen Bank Albania increased its market share in benchmark bonds, becoming part of the Market Makers program. This enabled the bank, to play a key role in the distribution and trading of Albanian government securities, with direct access to government bond auctions, thereby contributing to the development of the local market.

The bank established an optimal infrastructure to attract foreign investors, especially institutional clients like investment funds, through various strategic initiatives. Offering market analyses and research provided valuable information for investors to better understand the local market's performance. Collaboration with international financial institutions aided in attracting foreign investments to the local market. Implementing international standards in risk management and transparency in operations helped RBAL build trust with investors, making Albanian bonds more appealing.

Our goal for the next year is to maintain a strong presence in the local market by setting new standards through developing optimal infrastructure to attract more international client.

Money market

In 2024, the money market experienced several significant trends and developments. Central banks across different regions implemented divergent monetary policies, affecting short-term interest rates. Multiple rate cuts were executed to stimulate economic activity, counter potential slowdowns, and encourage investment and consumer spending, all aimed at maintaining growth momentum and financial stability. These rate decisions significantly influenced money market rates and pricing.

Central banks played a critical role in ensuring stability and liquidity in the money market through interventions such as repurchase agreements (repos) and liquidity facilities, supporting financial markets and ensuring smooth market functioning.

Throughout the year, the money market portfolio was efficiently managed, showing high levels of activity. Maturity expansions adhered to all limit constraints, effectively meeting the liquidity needs of the bank and its clients across various currencies. The Money Market unit, an integral part of the Treasury department's Dealing Room, actively contributed to achieving the bank's target for 2024. This was accomplished using various instruments to fulfill the Central Bank's Minimum Reserve requirement, ensuring liquidity ratios and other indicators remained within the levels required by the Bank of Albania's regulations

The unit enhanced short-term liquidity management by increasing interbank transactions in domestic and international markets and further developing interbank activity. Additionally, part of the liquidity was invested in government securities in both the Albanian and international markets, offering attractive returns as an investment alternative.

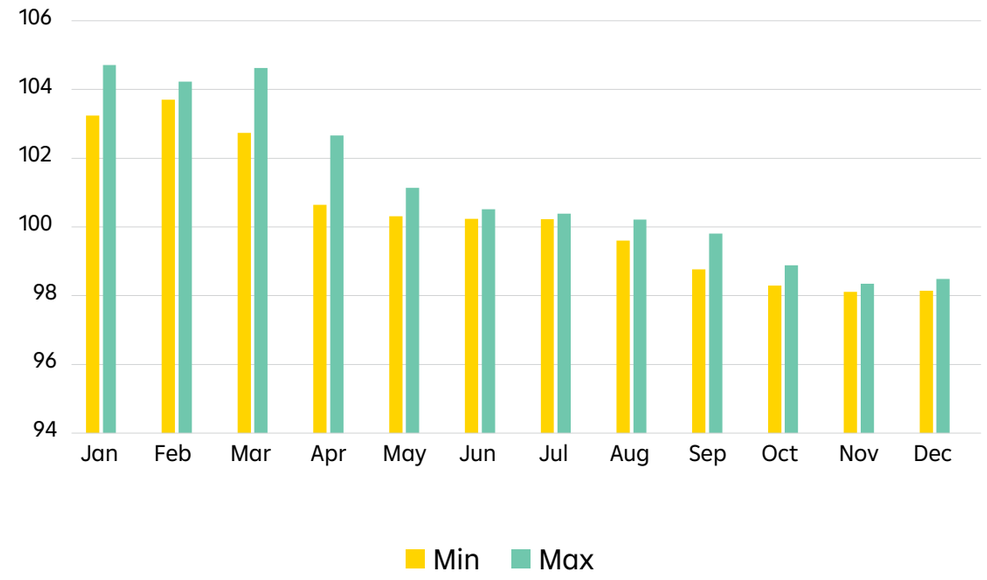
Foreign exchange

In 2024, the Foreign Exchange Unit successfully managed fluctuations in the Albanian currency market, achieving strong financial results despite global and local challenges. In an economic context where the global economy experienced moderate growth, Albania recorded a significant GDP growth of 3.98%, driven by sectors such as construction, real estate, domestic consumption, and tourism. Inflation was kept under control at 2.2%.

The Foreign Exchange Unit has successfully managed the fluctuations on the exchange rate, which have reflected a significant strengthening of the local currency, the lek. The average exchange rate for the euro was around 100.7 lek per euro throughout 2024, indicating a stable appreciation trend against the euro. To curb appreciation pressures, the Bank of Albania intervened in the currency market, with interventions amounting to 2.6% of the nominal GDP.

The unit has carefully managed the bank's currency position and related risks, relying on professional analyses of international and domestic financial markets. The volumes of foreign exchange transactions were high, particularly in Eur/Usd transactions, with levels of 215 million euros per month. The digital platform played a significant role, enabling approximately 87% of transactions for clients, contributing to the unit's success.

Eur/Lek 2024



Treasury sales

Focus during 2024 for the Sales Unit has been the implementation of Fx strategies. Part of the strategy was the face-to-face meeting with all the customers of the bank who use the treasury products in order to discuss their requests more closely and to understand how we can improve our products and services. As a result, transaction volumes for 2023 had an increase of almost 10% compared to a year ago. In general, treasury products are offered through digital platforms, making almost 90% of these services to be performed through the online platform, optimizing the customers' time, as well as benefiting from the best prices.

Although 2024 was a difficult year, the Treasury Sales Unit closed it with high results. In their focus, it is always the fulfillment of the needs of the clients in accordance with the policies and strategies of the bank. This difficult year demonstrated in the best possible way how oriented we are toward our clientele requirements and offer them all the possible channels where they can meet their requests with the best prices in the market. A key role in achieving this performance has been its dedicated, professional and cooperative staff with all the business channels of Raiffeisen Bank.

The Treasury Sales Department continues to be the leader in the Albanian financial market by offering the most competitive prices in the market.

Corporate Social Responsibility at Raiffeisen Bank in Albania, 2024

At Raiffeisen Bank Albania, we believe that creating a sustainable and inclusive future requires more than just financial growth — it requires investing with heart in the communities we serve. Corporate social responsibility is not merely a component of our strategy; it is a reflection of our core values as an institution.

In 2024, we supported 69 initiatives across Albania, positively impacting the lives of thousands of citizens. Approximately 86% of these projects are directly aligned with the United Nations Sustainable Development Goals, reaffirming our commitment to contributing to a fairer, greener, and more inclusive society.

Our efforts focused on several key pillars:

Education and financial literacy

We view education as the cornerstone of both personal and societal development. Through investments in school infrastructure, educational equipment, and computer labs across various municipalities, we have helped create better learning conditions for both students and teachers.

Financial education remains one of our long-term priorities. Through programs like "Know Your Money 4" and our ongoing support for Global Money Week, we have raised awareness and improved financial skills among children and young people nationwide.

Community support and vulnerable groups

Solidarity with those in need has always been at the heart of our commitment. Our "We Care with Heart" program, now in its 5th edition, has supported over 500 individuals and families facing hardship. We have worked in close partnership with community centers and local municipalities to support children without parental care, elderly people living alone, women affected by violence, and other vulnerable groups.

Art, Culture, and Inclusion

We believe that a healthy society needs a vibrant cultural life and equal space for everyone. We have supported art festivals, exhibitions, creative youth projects, and initiatives promoting diversity and human rights.

Our continued support for the "Queer Film Marathon Tirana" reflects our values of equality and respect, and our commitment to the LGBTQI+ community.

Health and well-being

Our contributions have included medical equipment for hospitals in cities such as Fier, Laç, and Lezha, as well as support for institutions that promote both physical and mental well-being.

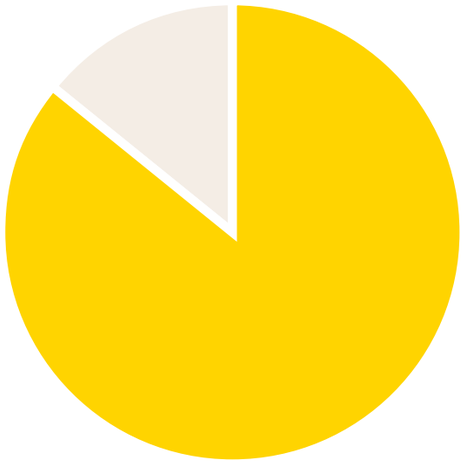
We have also actively participated in community and sports events like the Tirana Marathon, where dozens of our employees joined in, alongside our sponsorship.

Urban and rural development

Through partnerships with local governments, we have contributed to the improvement of urban infrastructure and the creation of new community spaces, including children's playgrounds in towns such as Finiq, Maliq, and Patos, as well as festive lighting and holiday markets in Saranda, Lezha, and Puka.

At Raiffeisen Bank Albania, we believe that the growth of a bank should not be measured solely by financial success, but by the positive impact it leaves on society.





86%

of Corporate Social Responsibility projects, in line with the **Sustainable Development Goals** (of the UN)

Main achievements in 2024

Ob. 04

Quality Education

5 projecs

Ob. 11

Sustainable city

22 projects

People, Culture and Organisation Division

With a staff of 1,330 employees, Raiffeisen Bank is one of the biggest and best employers in Albania, offering a competitive environment in terms of staff compensation, development and motivation.

Recruitment and Selection

During 2024, staff recruitment and selection process aimed to ensure the selection of qualified, experienced personnel, with professional skills at all levels of service at the bank by being in constant and direct communication with line managers to better understand the operational requirements and necessities, also learning the objectives and focus of acquisition of talents, by identifying the individuals that have the required skills and competences.

To support all the business needs in all the areas where we operate, were hired a total of 177 new hires.

To evaluate and select the best and the most qualified candidates in the market, we applied the modality of online interviews and online feedback forms. A well-structured recruitment process is applied, which consists of several stages: logical tests, technical tests and/or psychometric tests, and personality tests. The selected candidates are interviewed by an online interview panel, composed of the respective supervisors in Departments/Districts and representatives from Human Resources Division.

The promotion and development of its staff remains the primary focus for Raiffeisen Bank. The internal candidates, based on their performance, are considered as the main potential for the vacant positions announced in the Bank. During 2024, 134 staff were promoted internally. This gives them the opportunity to build a successful career within the Bank and increases internal staff motivation..

Internship Program

Raiffeisen Bank ka krijuar traditën e saj të programit të praktikës. Synimi i saj është të tërheqë studentë me rezultate të larta, të cilët shfaqin një nivel të lartë motivimi, vullneti dhe dëshirë për të punuar në një mjedis financiar. Banka është e angazhuar ndaj Përgjegjësisë Sociale të Korporatës dhe programi i praktikës është një element i rëndësishëm i saj. Ne mirëpresim studentë nga universitetet me reputacion të lartë në të gjithë vendin, në mënyrë që ata të mësojnë në praktikë mënyrën se si funksionon Banka dhe t'i ndihmojmë ata të përgatiten për tregun e punës. Vetëm gjatë vitit 2024, kemi mirëpritur 168 studentë që kanë kryer praktikën në ambientet tona.

Direct Sales Agents Student Program

Raiffeisen Bank has a well-established tradition of Internship Program. Its aim is to attract students with very good results, who demonstrate a high degree of motivation, willingness and interest to work in a financial environment. The bank is committed to Corporate Social Responsibility and the internship program is an important component of it. We welcome new students from the most reputable universities of the country, so that they can learn in practice the functions of a Bank and help them prepare for the labor market. Only during 2024 we welcomed 168 students that completed their internship with our teams. In addition to growing the business in the Branches, this program provides a very good source of staff recruitment.

"Key Academy" Program

The aim of Key Academy Program is to Create a Talent Pool through the program by having qualified candidates for possible vacancies in the IT Division. A number of 24 students were selected and started the program – most of whom were selected candidates filled the vacancies in the IT division.

Employees with leased contract

Even during 2024, continued its cooperation with an outsourced company, hiring 133 contract employees, according to the needs for staff in Head Office and Network Branches.

The leased staff are offered online training and on job training to efficiently perform the required tasks of the positions. The best performers are encouraged to apply for the vacancies that arise for internal staff.

Learning and Development

At Raiffeisen Bank Albania, we see Learning and Development as a strategic investment in our people and a key driver of long-term success. In 2024, we strengthened our commitment to a learning culture that empowers employees, supports career growth, and builds future-ready skills.

Developing Future Skills and Capabilities

This year, we prioritized initiatives aligned with digital transformation, customer-centricity, and regulatory excellence. Through a mix of in-person, digital, and blended learning, employees at all levels engaged in development activities tailored to business priorities and individual growth needs.

- 100% of active employees participated in at least one formal learning initiative in 2024.
- A total of 44,777 training hours were delivered across the organization.
- Our AI Ambassadors program, launched last year, continues to support AI upskilling.

Investing in Leadership Development

Leadership development remains a cornerstone of our L&D strategy. In 2024, we focused on trust-based leadership, emotional intelligence, inclusive leadership, and coaching skills.

- The flagship "RBAL Talent Development Program" was delivered to a new group of managers, reinforcing leadership values and strategic vision.
- We launched "Elevate Excellence in Leadership," targeting leaders and strengthening key behaviours from our Leadership Competency Model.

Throughout 2024, we enriched our internal learning ecosystem by fostering curiosity, encouraging knowledge sharing, and integrating learning into daily work.

We also recognize that development goes beyond skills—creating an inclusive, supportive environment is essential. Our RBAL Wellbeing Program offers expert-led sessions promoting healthy habits and raising awareness on physical, mental, and emotional health, stress management, and work-life balance.

Banking Group Remuneration Policy

The Banking Group's remuneration policy is designed by People, Culture and Organisation Division and approved by Management Board and Supervisory Board. An exception to this rule is made only in the case of determining and approving the variable pay (bonus) for Raiffeisen Leasing employees, where the structure responsible for defining and approving it, is the Raiffeisen Leasing Supervisory Council.

The scope of the Remuneration Policy is the fulfilment of international standards for an objective, transparent and fair compensation structure in compliance with current regulatory requirements. The remuneration policy of Banking Group is consistent with and promotes sound and effective risk management and does not encourage risk-taking that exceeds the level of tolerated risk. It is in line with the business strategy, objectives, values and long-term interests of the RBI Group and Banking Group in Albania.

The RBAL (RLAL Excluded) on annual basis identifies the functions / employees with material impact on Bank's risk profile. These employees are defined as "Identified Staff" and their selection process is based on the Group Directive requirements.

The categories of Identified Staff are as follows:

1. Material or Fully Affected Identified Staff. This category has a direct material risk impact on Bank's risk profile, because the amount of risk which can be taken individually or collectively, can have significant impact on Bank's result & balance sheet. The number of staff who falls under this category is 51 and includes Supervisory Board members, Board Members, Audit Committee Members and some of Middle management staff.

2. Less Material or Partially Affected Identified Staff. This category has an influence on Bank's risk profile but not necessarily in a direct way. The number of staff who falls under this category is 19 and includes some of Middle management staff.

The salary and other employee benefits are defined with the aim of establishing satisfactory and competitive levels. The policy followed in defining the salary system and structure aims to guarantee the achievement of 5 main objectives:

- Reward based on work performance and quality;
- Maintaining the competitive position in the market. The general compensation shall be in the third quarter of the domestic market (between the 50 % and 75%);
- Motivation of employees through differentiated remuneration (salary) for differentiated responsibility, job positions and professional skills;
- The extra benefits shall be competitive, but not leading the market;
- The salary expenses in the total cost of personnel and the budget in general, shall be in acceptable parameters.

For a certain category of positions, the salary is composed of two components:

- Base Pay
- Variable Pay

The Structure of Base Salary:

- represents the gross income, excluding bonuses and other extra benefits;
- is administered through salary bands, which are based on the grading structure, level of living standards in the country and market data;
- The individual salary increases are closely related to the performance evaluation results, meaning that employees are eligible to a salary increase only if their performance is above 3,5 score. The percentage of salary increase shall be not higher than 25% of gross salary.

Variable Pay (Annual Bonus):

Variable Pay is allocated or paid only if the Step-In-Criteria are met as described in Remuneration Policy.

- is closely related to the RBI Group (1/3); Bank (2/3); individual's performance results (above 3,50 score);
- is capped to ensure budget management within reasonable parameters, without compromising the principle of rewarding high performance;
- shall be up to 16% of yearly base salary for all job positions that are included in Annual Bonus;
- In case of Identified Staff, a special bonus pay-out model is applied if their total variable compensation is over EUR 50'000 and additionally does not exceed one third of the annual total remuneration.

In case of negative financial situation, the bonus may be reduced or cancelled.

Variable Pay (Risk-Reduction Incentive Scheme):

- is closely related to the individual's performance results (above 70% of target achievement);
- is capped to ensure budget management within reasonable parameters, without compromising the principle of rewarding high performance.
- shall be up to 30% of quarterly base salary for all job positions which are included in Incentive schemes (Sales & Support).

Table 19: Remuneration forms and elements for the Board of Directors** (every end-of-year)

(amounts in Lek'000)

The total aggregate amount of cash and bonuses for the current fiscal year	Immediate/for the current period Year 2024	For past periods Year 2023
Fixed elements of remuneration	10,277	10,404
Cash/bonus	10,277	10,404
shares		
others		
Variable elements of remuneration		
Cash/bonus		
shares		
others		

** This table will be completed separately for a) the Board of Directors and b) the Executive Directors

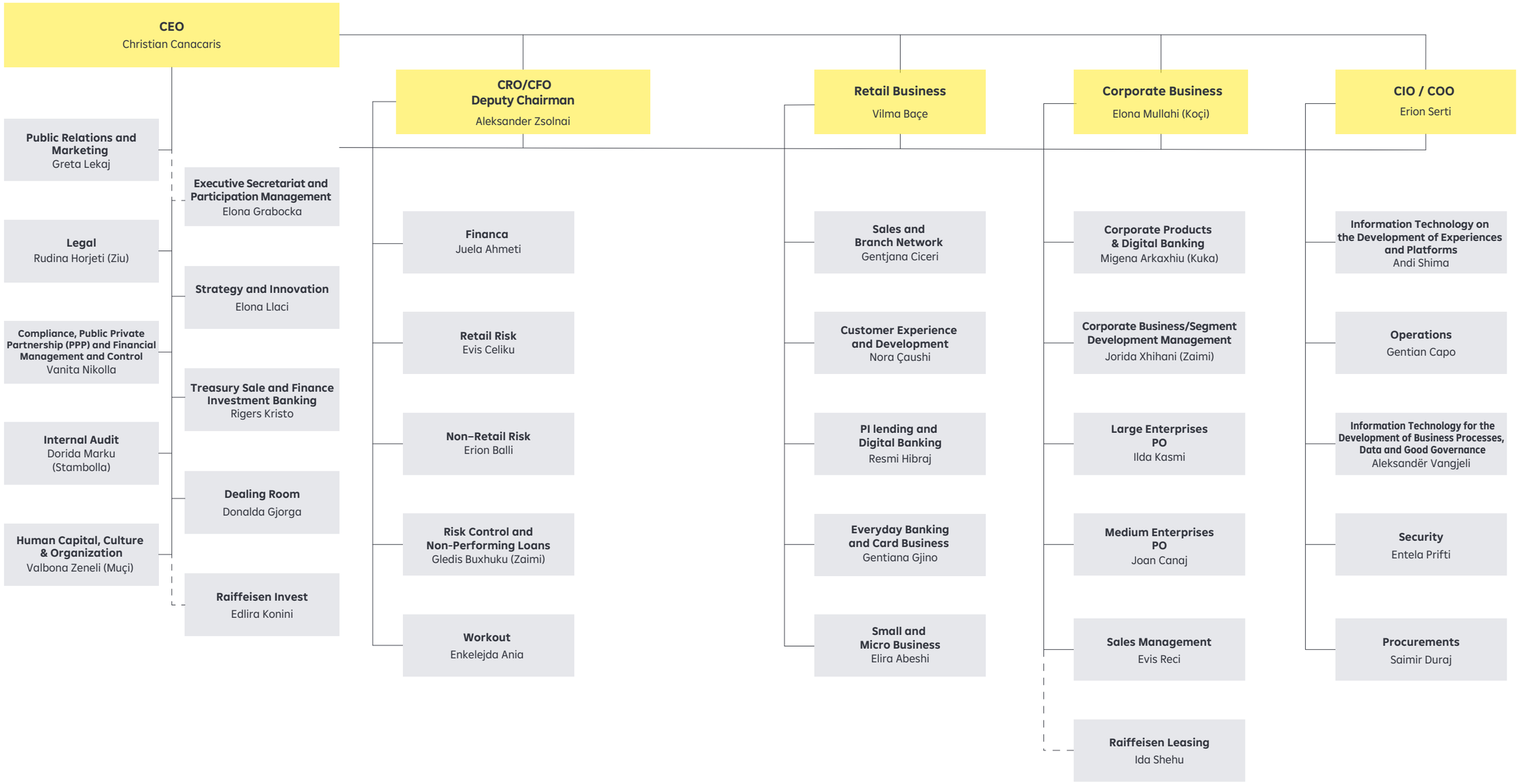
Table 19: Remuneration forms and elements for the Executive Directors** *(every end-of-year)*

(amounts in Lek'000)

The total aggregate amount of cash and bonuses for the current fiscal year	Immediate/for the current period Year 2024	For past periods Year 2023
Fixed elements of remuneration	159,952	165,332
Cash/bonus	142,930	149,123
shares		
other	17,022	16,209
Variable elements of remuneration	29,614	32,278
Cash/bonus	29,614	32,278
shares		
other	0	0

** This table will be completed separately for a) the Board of Directors and b) the Executive Directors.

Organisational structure of Raiffeisen Bank



The organizational of the Bank provides a clear division of duties, responsibilities and reporting based on the model of the three lines of control.

1. Front Line (business)
2. Operational risk, compliance functions, financial controls, internal control system etc.
3. Internal Audit

The Risk Structure is independent of the business lines and other internal units it controls. The Compliance structure is independent of the business lines and other internal units it controls.

Raiffeisen Bank sh.a. operates in accordance with the basic principles of a responsible and effective management according to the requirements of the Bank of Albania Regulation "On the basic principles of the management of banks and branches of the foreign banks and the criteria for approval of their administrators "

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Raiffeisen Bank Sh.a.
International Financial Reporting Standards
Consolidated Financial Statements and Independent Auditor's Report
As at and for the year ended December 31, 2023

General information

Directors and Management as of 31 December 2024

Board of Directors (Supervisory Board)

Marie Valerie Brunner	Chairperson
Heinz Wiedner	Vice-Chairperson
Harald Kreuzmair	Member
Thomas Matejka	Member
Petro Merkulov	Member

Audit Committee

Heinz Weidner	Chairperson
Alda Shehu	Vice - Chairperson
Thomas Matejka	Member

Management Board

Christian Canacaris	Chief Executive Officer
Alexander Zsolnai	Deputy CEO
Elona Mullahi (Koçi)	Member
Erion Serti	Member
Vilma Baçe	Member

Registered office

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Facsimile +355 4 2275 599

Ultimate Parent Raiffaisen Bank International

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Telephone: +43-1-71707-0

Auditor

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Deloitte.

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Independent auditor's report

To the Shareholders and Management of Raiffeisen Bank Albania SHA

Opinion

We have audited the consolidated financial statements of Raiffeisen Bank sh.a. (the "Bank") and its subsidiaries (the "Group"), which comprise the consolidated statement of financial position as at December 31, 2024, and the consolidated statement of profit or loss and other comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the year then ended, and notes to the consolidated financial statements, including a summary of material accounting policies.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the con-solidated financial position of the Group as at December 31, 2024, and its consolidated financial performance and its consolidated cash flows for the year then ended in accordance with Accounting Standards IFRS.

Basis for Opinion

We conducted our audit in accordance with the Audit Act and International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group in accordance with the International Ethics Standards Board for Accountants' International Code of Ethics for Professional Accountants (including International Independence Standards) (IESBA Code), together with the ethical requirements that are relevant to our audit of the financial statements in Albania, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opin-ion.

Other information

Management is responsible for the other information. The other information comprises the information included in the Performance Acitity Report and Internal Governance Report prepared by Management of the Group in ac-cordance with Article 53 of Law no. 9662, dated 18 December 2006 "On Banks in the Republic of Albania", changed, but does not include the consolidated financial statements and the auditor's report thereon. The Perfor-mance Activity Report and Internal Governance Report are expected to be made available to us after the date of this auditor's report.

Our opinion on the consolidated financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other infor-mation identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit, or oth-erwise appears to be materially misstated.

When we read the Performance Activity Report and Internal Governance Report, if, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with IFRSs, and for such internal control as management determines is necessary to enable the prepa-ration of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going con-cern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepti-cism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evi-dence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a ma-terial misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effective-ness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or condi-tions that may cast significant doubt on the Group's ability to continue as a going concern. If we con-clude that a material uncertainty exists, we are required to draw attention in our auditor's report to the re-lated disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's re-port. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, includ-ing the disclosures, and whether the consolidated financial statements represent the underlying transac-tions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or busi-ness activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Deloitte Audit Albania sh.p.k.

Deloitte Audit Albania SHPK
Rruga e Kavajes, ish parku i mallrave, Kompleksi Delijorgji, Godina H, Floor 2
Tirana, Albania
Identification number (NUIS): L41709002H
Enida Cara
Statutory Auditor
Engagement Partner
Tirana, Albania, May 29, 2025

DELOITTE AUDIT ALBANIA
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Kompleksi Delijorgji, God L, Kati 1.2, 3 Tiranë

The Group

These consolidated financial statements have been prepared in accordance with International Financial Report-ing Standards for the year ended 31 December 2024 for Raiffeisen Bank sh.a. and its subsidiaries (the "Group"). The Group includes the parent company – Raiffeisen Bank Sh.a. (hereinafter also the "Bank" or the "Parent Company") and its 2 fully owned subsidiaries Raiffeisen Leasing sh.a. and Raiffesien Invest - Shoqëri Administruese e Fondeve të Pensionit dhe Sipërmarrjeve të Investimeve Kolektive sh.a. ("Raiffeisen INVEST").

Raiffeisen Bank Sh.a. is a banking institution operating in accordance with the provisions of Law 9901, dated 14 April 2008 "On Entrepreneurs and Commercial Companies", and Law 9662, dated 18 December 2006 "On Banks in the Re-public of Albania", as well as other relevant laws. The Bank is incorporated and domiciled in Albania and oper-ates in Albania. Raiffeisen Bank Sh.a. is a 100% owned subsidiary of Raiffeisen Bank International AG, Austria, which is the ultimate controlling party.

The Group's principal business activities are retail banking operations, providing finance leasing to companies and individuals and collection and investment of voluntary pension funds, within the Republic of Albania. The Bank op-erates through a banking network of 75 service points, as of 31 December 2024 (31 December 2023: 74 service points) throughout Albania, which are managed through 5 Districts and has no overseas operations.

Consolidated statement of financial position

Assets

in LEK thousand	Note	31 December 2024	31 December 2023
Cash, cash balances at central bank and other demand deposits	[6]	39,525,394	42,611,051
Debt securities		107,154,835	104,576,268
Loans and advances to financial instiutions		24,213,387	27,768,415
Loans and advances to customers		129,183,592	119,823,731
Financial assets - amortized cost	[7]	260,551,814	252,168,414
Financial assets – fair value through profit or loss	[8]	415,043	137,651
Goodwill	[9]	92,783	92,783
Tangible fixed assets	[10]	3,265,285	3,468,560
Intangible fixed assets	[10]	2,252,746	2,208,499
Repossessed assets	[11]	226,314	359,443
Other assets	[12]	1,373,112	1,082,350
Total assets		**307,702,491**	**302,128,751**

Equity and liabilities

in LEK thousand	Note	31 dhjetor 2024	31 dhjetor 2023
Liabilities			
Deposits from Banks		15,656,429	8,487,011
Subordinated financial liabilities		1,988,628	2,106,945
Deposits from customers		252,259,692	254,723,652
Other financial liabilities	[13]	1,949,477	3,194,651
Financial liabilities - amortized cost		271,854,226	268,512,259
Financial liabilities held for trading (derivatives)	[14]	7,085	1,731
Provisions for liabilities and charges	[15]	442,505	496,538
Deferred tax liabilities	[16]	32,512	51,208
Current tax liabilities	[17]	295,839	546,920
Other liabilities		1,057,938	765,561
Total liabilities		**273,690,105**	**270,374,217**
Equity			
Share capital	[18]	14,178,593	14,178,593
Other reserves	[18]	3,306,190	3,306,190
Retained earnings	[18]	16,527,603	14,269,751
Total Equity		**34,012,386**	**31,754,534**
Total liabilities and equity		**307,702,491**	**302,128,751**

These consolidated financial statements have been approved by the Management Board of the Group on May 21, 2025, and signed on its behalf by:

Christian Canacaris

Chief Executive Officer

Alexander Zsolnai

Deputy CEO

The consolidated statement of financial position is to be read in conjunction with the notes to and forming part of the consolidated financial statements set out on pages 9 to 91.

Consolidated statement of profit or loss and other comprehensive income

in LEK thousand	Note	2024	2023
Interest income calculated using the effective interest method		13,958,600	12,700,212
Other interest income		13,235	4,215
Interest expenses		(736,355)	(245,321)
Net interest income	**[19]**	**13,235,480**	**12,459,106**
Fee and commission income		5,170,211	4,393,326
Fee and commission expenses		(2,197,679)	(2,004,742)
Net fee and commission income	**[20]**	**2,972,532**	**2,388,584**
Net trading (expense)/income	[21]	439,506	(218,224)
Other operating income		302,463	136,759
Other operating expenses		(374,414)	(450,741)
Other net operating loss	[22]	(71,951)	(313,982)
Operating income		**16,575,567**	**14,315,484**
General administrative expenses	[23]	(6,616,532)	(5,938,320)
Special governmental measures	[24]	(825,118)	(801,093)
Impairment (expense)/recovery on financial assets	[25]	(72,147)	253,857
Profit before tax		**9,061,770**	**7,829,928**
Income taxes	[26]	(1,390,234)	(1,274,552)
Profit for the year		**7,671,536**	**6,555,376**
Other comprehensive income for the year		-	-
Total comprehensive income		**7,671,536**	**6,555,376**

The consolidated statement of comprehensive income is to be read in conjunction with the notes to and forming part of the consolidated financial statements set out on pages 9 to 91.

Consolidated statement of changes in equity

in LEK thousand	Share capital	Other reserves	Retained earnings	Equity
Equity at 1 January 2023	**14,178,593**	**3,306,190**	**12,665,696**	**30,150,479**
Dividend payments	-	-	(3,623,473)	(3,623,473)
Profit for the year	-	-	3,702,047	3,702,047
Other comprehensive income	-	-	-	-
Total comprehensive income for the year	-	-	3,702,047	3,702,047
Equity at 31 December 2023	**14,178,593**	**3,306,190**	**12,744,270**	**30,229,053**
Dividend payments				
Profit for the year	-	-	(5,029,895)	(5,029,895)
Other comprehensive income	-	-	6,555,376	6,555,376
Total comprehensive income for the year	-	-	-	-
Equity at 31 December 2024	-	-	6,555,376	6,555,376
Equity at 31 December 2024	**14,178,593**	**3,306,190**	**14,269,751**	**31,754,534**

The consolidated statement of changes in equity is to be read in conjunction with the notes to and forming part of the consolidated financial statements set out on pages 9 to 91.

Consolidated statement of cash flows

in LEK thousand	Note	31 December 2024	31 December 2023
Cash, cash balances at central Banks and other demand deposits	**[6]**	**52,249,484**	**57,511,983**
Operating activities:			
Profit before tax		9,061,770	7,829,928
Adjustments for the reconciliation of profit/loss before tax to the cash flow from operating activities:			
Depreciation of tangible and intangible fixed assets	[10]	954,663	884,646
Impairment and reversal of impairment of assets	[11]	129,139	(326,356)
Net provisioning for liabilities and charges and impairment losses		(54,789)	72,545
Net interest income	[19]	(13,235,480)	(12,459,107)
Interest received		13,895,165	12,879,904
Interest paid		(2,161,848)	(744,944)
Income taxes paid		(1,660,012)	(922,823)
Effect of unrealized exchange rate changes		(661,901)	(276,405)
Loss from disposal of tangible and intangible fixed assets		(300)	(7,691)
Changes in assets and liabilities arising from operating activities after corrections for non-cash positions:			
Increase/decrease in restricted balances	[6]	248,915	(506,345)
Financial assets - amortized cost	[7]	(7,089,818)	172,100
Financial assets - fair value through profit or loss	[8]	(854,740)	(397,948)
Other assets	[12]	110,206	61,118
Financial liabilities - amortized cost	[13]	768,247	17,023,195
Provisions for liabilities and charges	[14]	(770)	14,688
Other liabilities	[17]	274,566	(220,387)
Net cash from operating activities		**(276,987)**	**23,076,118**
Investing activities:			
Purchase of Investment securities and shares		(115,582,748)	(86,322,494)
Purchase of Tangible and intangible fixed assets		(803,971)	(1,065,554)
Proceeds from matured Investment securities and shares		111,599,474	61,921,315
Proceeds from Tangible and intangible fixed assets		5,991	7,691
Net cash used in investing activities		**(4,781,254)**	**(25,459,042)**
Financing activities:			
Out/Inflow subordinated capital		(256,857)	2,106,945
Dividend payments		(5,413,684)	(5,029,895)
Lease Liabilities repayments		(220,893)	(233,031)
Net cash from financing activities		**(5,891,434)**	**(3,155,981)**
Effect of exchange rate changes		661,901	276,405
Net decrease during the year		**(10,949,670)**	**(5,538,904)**
Cash and cash equivalents as at 31 December	**[6]**	**41,961,715**	**52,249,484**

The consolidated statement of cash flows is to be read in conjunction with the notes to and forming part of the consolidated financial statements set out on pages 9 to 91.

1. Introduction

These consolidated financial statements have been prepared in accordance with International Financial Report-ing Standards for the year ended 31 December 2024 for Raiffiesen Bank sh.a. and its subsidiaries (the "Group"). The Group includes the parent company – Raiffeisen Bank Sh.a. (hereinafter also the "Bank" or the "Parent Company") and its 2 fully owned subsidiaries Raiffeisen Leasing sh.a. and Raiffesien Invest - Shoqëri Administruese e Fondeve të Pensionit dhe Sipërmarrjeve të Investimeve Kolektive sh.a. ("Raiffeisen INVEST").

Raiffeisen Bank Sh.a. is a banking institution operating in accordance with the provisions of Law 9901, dated 14 April 2008 "On Entrepreneurs and Commercial Companies", and Law 9662, dated 18 December 2006 "On Banks in the Re-public of Albania", as well as other relevant laws. The Bank is incorporated and domiciled in Albania and oper-ates in Albania. Raiffeisen Bank Sh.a. is a 100% owned subsidiary of Raiffeisen Bank International AG, Austria, which is the ultimate controlling party.

Principal activity. The Group's principal business activities are retail banking operations, providing finance leasing to companies and individuals and collection and investment of voluntary pension funds, within the Republic of Alba-nia. The Bank operates through a banking network of 75 service points, as of 31 December 2024 (31 December 2023: 74 service points) throughout Albania, which are managed through 5 Districts and has no overseas operations.

Presentation currency. These Consolidated financial statements are presented in Albanian Lek ("LEK"), unless oth-er-wise stated. Except as indicated, financial information presented in Lek has been rounded to the nearest thousand.

2. Operating environment of the group

Ensuring appropriate estimates and judgments in financial statements is essential for compliance with IFRS Ac-count-ing Standards. Therefore, we have summarized some of the key considerations that should be taken into ac-count when making estimates and judgments, as well as when drafting the related disclosures to meet the current IFRS re-quirements.

For more detailed information on this topic, you can refer to our in-depth analysis "The Impact of ESG Matters on IFRS Financial Statements" and our dedicated page "Environmental, Social, and Governance (ESG) in IFRS." These resources provide comprehensive guidance on how ESG factors affect financial reporting and how the relevant IFRS requirements can be applied to ensure greater transparency and accuracy.

3. Material accounting policies

Statement of compliance

These Consolidated financial statements have been prepared in accordance with International Financial Reporting Standards ("IFRS") under the historical cost convention, as modified by the initial recognition of financial instru-ments based on fair value, and by the revaluation of available-for-sale financial assets, and financial instruments catego-rised at fair value through profit or loss. The principal accounting policies applied in the preparation of these financial statements are set out below.

The accounting policies set out below have been consistently applied to all the periods presented, unless otherwise stated.

The Group has also prepared consolidated financial statements in accordance with IFRS for the Bank and its subsidi-aries (the 'Group'). In the consolidated financial statements, subsidiary undertakings – which are those companies in which the group, directly or indirectly, has an interest of more than half of the voting rights or otherwise has power to exercise control over the operations – have been fully consolidated. The consolidated financial statements can be obtained from http://www.raiffeisen.al/. Users of these consolidated financial statements should read them to-gether with the group's consolidated financial statements as at and for the year ended 31 December 2024 in order to obtain full information on the financial position, results of operations and changes in financial position of the group as a whole.

Presentation of statement of financial position in order of liquidity. The Group does not have a clearly identifiable operating cycle and therefore does not present current and non-current assets and liabilities separately in the state-ment of financial position. Instead, assets and liabilities are presented in order of their liquidity. Refer to Note 37 for analysis of financial instruments by their maturity.

a) Foreign currency transactions

The consolidated financial statements of the Group were prepared in LEK which is the functional currency of of all members of the Group. The functional currency is the currency of the principal economic environment in which the company operates.

Transactions in foreign currencies are translated to the functional currency at exchange rates at the dates of the trans-actions. Monetary assets and liabilities denominated in foreign currencies at the reporting date are retrans-lated to the functional currency at the exchange rate at that date.

The foreign currency gains or loss on monetary items is the difference between amortised cost in the functional cur-rency at the beginning of the period, adjusted for effective interest and payments during the period, and the amortised cost in foreign currency translated at the exchange rate at the end of the period. Non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are retranslated to the functional currency at the exchange rate at the date that the fair value was determined. Foreign currency differences arising on retranslation are recognised in profit or loss.

The applicable official Group rates (LEK to the foreign currency unit) for the principal currencies as at 31 December 2024 and 31 December 2023 were as below:

	31 December 2024		31 December 2023	
	Period end	Average	Year end	Average
United States dollar (USD)	94.26	93.12	93.94	100.67
European Union currency unit (EUR)	98.15	100.76	103.88	108.87

b) Interest

Interest income and expense are recognised in profit or loss Consolidated statement of profit or loss and other com-prehensive income using the effective interest method. The effective interest rate is the rate that exactly dis-counts the estimated future cash payments and receipts through the expected life of the financial asset or liability (or, where appropriate, a shorter period) to the carrying amount of the financial asset or liability. When calculating the effective interest rate, the Group estimates future cash flows considering all contractual terms of the financial instrument but not future credit losses. The calculation of the effective interest rate includes transaction costs and fees and points paid or received that are an integral part of the effective interest rate. Transaction costs include incremental costs that are directly attributable to the acquisition or issue of a financial asset or financial liability. Interest income and ex-pense presented as profit or loss in the Consolidated statement of comprehensive income include:

- Interest on financial assets and liabilities at amortised cost calculated on an effective interest basis.
- Interest on available-for-sale investment securities calculated on an effective interest basis.

Interest income and expense on all trading assets and liabilities are considered to be incidental to the Group's trad-ing operations and are presented together with all other changes in the fair value of trading assets and liabilities in net trading income.

c) Fees and commission

Fees and commission income and expenses that are integral to the effective interest rate on a financial asset or liabil-ity are included in the measurement of the effective interest rate.

Other fees and commission income, including account servicing fees, sales commission, placement fees, are recog-nised as the related services are performed. Other fees and commission expense relates mainly to transaction and service fees, which are expensed as the services are received.

d) Net trading income/ (expense)

Net trading income/ (expense) comprises gains less losses related to trading assets and liabilities, and includes all realised and unrealised fair value changes, interest and foreign exchange differences.

e) Staff costs

Staff costs and related contributions. Wages, salaries, contributions to the state pension and social insurance funds, paid annual leave and sick leave, bonuses, and non-monetary benefits are accrued in the year in which the associated services are rendered by the employees of the Group.

f) Operating lease payments and other operating expenses

Payments made under operating leases are recognised in profit or loss on a straight-line basis over the term of the lease. Lease incentives received are recognised as an integral part of the total lease expense, over the term of the lease. The operating expenses are recognised when incurred.

g) Employee benefits

- **Defined contribution plans**

Obligations for contributions to defined contribution pension plans are recognised as an expense in profit or loss when they are due. The Group makes compulsory social security contributions that provide pension benefits for em-ployees upon retirement. The local authorities are responsible for providing the legally set minimum threshold for pensions in Albania under a defined contribution pension plan.

- **Paid annual leave**

The Group recognises as a liability the undiscounted amount of the estimated costs related to annual leave expected to be paid in exchange for the employee's service for the period completed.

- **Short-term benefits**

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related ser-vice is provided.

A provision is recognised for the amount expected to be paid under short-term cash bonus or profit-sharing plans if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

- **Termination benefits**

For termination benefits, the Group specified that amounts payable are recognised when, and only when, the Com-pany is demonstrably committed to either:

- Terminated the employment of an employee or Group of employees before the normal retirement date, or
- Provide termination benefits as a result of an offer made in order to encourage voluntary redundancy.

The Group is demonstrably committed to a termination when, and when, it has a detailed formal plan for the termina-tion and is without realistic possibly of withdrawal.

h) Income tax epense

Income tax expense comprises current and deferred tax. Income tax expense is recognised in the Consolidated state-ment of comprehensive income except to the extent that it relates to items recognised directly in equity, in which case it is recognised in equity. Current tax is the expected tax payable on the taxable income for the year, us-ing tax rates enacted or substantively enacted at the reporting date, and any adjustment to tax payable in respect of previous years.

Deferred income tax is provided using the balance sheet liability method for tax loss carry forwards and temporary differences arising between the tax bases of assets and liabilities and their carrying amounts for financial report-ing purposes. In accordance with the initial recognition exemption, deferred taxes are not recorded for temporary differ-ences on initial recognition of an asset or a liability in a transaction other than a business combination if the transac-tion, when initially recorded, affects neither accounting nor taxable profit. Deferred tax liabilities are not recorded for temporary differences on initial recognition of goodwill, and subsequently for goodwill which is not de-ductible for tax purposes. Deferred tax balances are measured at tax rates enacted or substantively enacted at the end of the re-porting period, which are expected to apply to the period when the temporary differences will reverse or the tax loss carry forwards will be utilised. Deferred tax assets and liabilities are netted only within the individual companies of the Group. Deferred tax assets for deductible temporary differences and tax loss carry forwards are recorded only to the extent that it is probable that future taxable profit will be available against which the deduc-tions can be utilised. Deferred income tax is not recognised on post acquisition retained earnings and other post acquisition movements in reserves of subsidiaries where the Group controls the subsidiary's dividend policy, and it is probable that the differ-ence will not reverse through dividends or otherwise in the foreseeable future.

(i) Financial instruments

- **Key measurement terms**

Depending on their classification financial instruments are carried at fair value or amortised cost as described below.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The best evidence of fair value is price in an active market. An active market is one in which transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis. Fair value of financial instruments traded in an active market is measured as the product of the quoted price for the individual asset or liability and the quantity held by the entity. This is the case even if a market's normal daily trading volume is not sufficient to absorb the quantity held and plac-ing orders to sell the position in a single transaction might affect the quoted price.

A portfolio of financial derivatives or other financial assets and liabilities that are not traded in an active market is measured at the fair value of a Group of financial assets and financial liabilities on the basis of the price that would be received to sell a net long position (ie an asset) for a particular risk exposure or paid to transfer a net short position (ie a liability) for a particular risk exposure in an orderly transaction between market participants at the measurement date. This is applicable for assets carried at fair value on a recurring basis if the Group: (a) manages the Group of financial assets and financial liabilities on the basis of the entity's net exposure to a particular market risk (or risks) or to the credit risk of a particular counterparty in accordance with the entity's documented risk management or in-vestment strategy; (b) it provides information on that basis about the Group of assets and liabilities to the entity's key management personnel; and (c) the market risks, including duration of the entity's exposure to a particular market risk (or risks) arising from the financial assets and financial liabilities is substantially the same. Valuation techniques such as discounted cash flow models or models based on recent arm's length transactions or consideration of finan-cial data of the investees, are used to measure

fair value of certain financial instruments for which external market pricing information is not available. Fair value measurements are analysed by level in the fair value hierarchy as fol-lows: (i) level one are measurements at quoted prices (unadjusted) in active markets for identical assets or liabilities, (ii) level two measurements are valuations techniques with all material inputs observable for the asset or liability, either directly (that is, as prices) or indirectly (that is, derived from prices), and (iii) level three measurements are valuations not based on solely observable market data (that is, the measurement requires significant unobservable inputs). Refer to Note 27.

Transaction costs are incremental costs that are directly attributable to the acquisition, issue, or disposal of a finan-cial instrument. An incremental cost is one that would not have been incurred if the transaction had not taken place. Transaction costs include fees and commissions paid to agents (including employees acting as selling agents), advi-sors, brokers and dealers, levies by regulatory agencies and securities exchanges, and transfer taxes and duties. Transaction costs do not include debt premiums or discounts, financing costs or internal administrative or holding costs.

Amortised cost is the amount at which the financial instrument was recognised at initial recognition less any principal repayments, plus accrued interest, and for financial assets less any write-down for incurred impairment losses. Ac-crued interest includes amortisation of transaction costs deferred at initial recognition and of any premium or dis-count to maturity amount using the effective interest method. Accrued interest income and accrued interest expense, including both accrued coupon and amortised discount or premium (including fees deferred at origination, if any), are not presented separately and are included in the carrying values of related items in the statement of financial position.

The effective interest method is a method of allocating interest income or interest expense over the relevant period, so as to achieve a constant periodic rate of interest (effective interest rate) on the carrying amount.

The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts (excluding future credit losses) through the expected life of the financial instrument or a shorter period, if appropriate, to the net carrying amount of the financial instrument. The effective interest rate discounts cash flows of variable interest in-struments to the next interest repricing date, except for the premium or discount which reflects the credit spread over the floating rate specified in the instrument, or other variables that are not reset to market rates. Such premiums or discounts are amortised over the whole expected life of the instrument. The present value calculation includes all fees paid or received between parties to the contract that are an integral part of the effective interest rate.

Initial recognition of financial instruments. Trading securities, derivatives and other financial instruments at fair value through profit or loss are initially recorded at fair value. All other financial instruments are initially recorded at fair value plus transaction costs. Fair value at initial recognition is best evidenced by the transaction price. A gain or loss on initial recognition is only recorded if there is a difference between fair value and transaction price which can be evidenced by other observable current market transactions in the same instrument or by a valuation technique whose inputs include only data from observable markets.

All purchases and sales of financial assets that require delivery within the time frame established by regulation or market convention ("regular way" purchases and sales) are recorded at trade date, which is the date on which the Bank commits to deliver a financial asset. All other purchases are recognised when the entity becomes a party to the contractual provisions of the instrument.

The Group uses discounted cash flow valuation techniques to determine the fair value of loans to related parties that are not traded in an active market. Differences may arise between the fair value at initial recognition, which is con-sidered to be the transaction price, and the amount determined at initial recognition using a valuation technique with level 3 inputs. Any such differences are initially recognised within other assets or other liabilities and are subse-quently amortised on a straight-line basis over the term of the loans to related parties. The differences are immediate-ly recognised in profit or loss if the valuation uses only level 1 or level 2 inputs.

- **Classification and measurement of financial assets and financial liabilities**

All financial assets, financial liabilities and derivative financial instruments are to be recognized in the statement of financial position. A financial instrument is defined as any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity. On initial recognition, financial instruments are to be measured at fair value, which generally corresponds to the transaction price at the time of acquisition or issue. Ac-cording to IFRS 13, the fair value is defined as the exit price. This is the price that would be received on sale of an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. For subsequent measurement, financial instruments are recognized in the statement of financial position according to the respective measurement category pursuant to IFRS 9, either at (amortized) cost or at fair value.

The classification of financial assets under IFRS 9 is firstly based on the business model under which the assets are managed, and secondly on the cash flow characteristics of the assets. For the Group, this results in five classification categories for financial assets:

3. Material accounting policies (continued)
I) Financial instruments (continued)
Classification and measurement of financial assets and financial liabilities (continued)

- Financial assets measured at amortized cost (AC)
- Financial assets at fair value through profit or loss (FVTPL)

In the Group, a financial asset is measured at amortized cost if the objective is to hold the asset to collect the contractual cash flows and if the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding. An asset is subsequently measured at fair value through other comprehensive income (FVOCI) if it is held within a business model whose objective is both collecting contractual cash flows and selling financial assets. In addition,

the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

On initial recognition of an equity instrument that is not for trading, the Group may irrevocably elect to present subsequent changes in fair value in other comprehensive income (OCI). This election is made on an investment-by-investment basis for each investment and essentially covers strategic interests that are not fully separate.

All other financial assets – i.e. Financial assets that do not meet the criteria for classification as subsequently measured at either amortized cost or FVOCI – are classified as subsequently measured at fair value, with changes in fair value recognized in profit or loss. In addition, the Group has the option at initial recognition to irrevocably designate a financial asset as at FVTPL if doing so eliminates or significantly reduces a measurement or recognition incon-sistency – i.e. An accounting mismatch – that would otherwise arise from measuring assets or liabilities, or recogniz-ing the gains and losses on them, on different bases. A financial asset is classified into one of these categories on initial recognition.

Financial liabilities are generally recognized according to IFRS 9 at (amortized) cost (financial liabilities – amortized cost) applying the effective interest method unless they are measured at fair value. This includes financial liabilities that are held for trading (financial liabilities – held for trading) and designated as FVTPL (financial liabilities – designated fair value through profit/loss). Changes in the fair value of liabilities designated at fair value through profit or loss which are caused by changes in banks's own default risk are to be booked in other comprehensive income.

Embedded derivatives are not separated from the host contract of a financial asset. Instead, financial assets are classi-fied in accordance with the business model and their contractual characteristics as explained in the chapter business model assessment and in the chapter analysis of contractual cash flow characteristics. When recognizing financial liabilities, embedded derivatives are only separated from the host instrument and separately accounted for as deriva-tives if their economic characteristics and risks are not closely related to the economic characteristics and risks of the host contract, the embedded derivative meets the definition of a derivative and the hybrid financial instrument is not associated with a financial liability item that is held for trading or designated at fair value through profit or loss.

- **Business Model Assessment**

The Group makes an assessment of the objective of the business model in which a financial asset is held at a portfolio level because this best reflects the way the business is managed, and information is provided to management. The following factors are considered as evidence when assessing which business model is relevant:

- How the performance of the business model (and the financial assets held within that business model) are evaluat-ed and reported to the entity's key management personnel.
- The risks that affect the performance of the business model (and the financial assets held within that business model) and the way those risks are managed.
- How managers of the business are compensated – e.g. Whether the compensation is based on the fair value of the assets managed or the contractual cash flows collected;
- The frequency, value and timing of sales in prior periods, the reasons for such sales, and expectations about future sales activity; and
- Whether sales activity and the collection of contractual cash flows are each integral or incidental to the business model ("hold-to-collect" versus "hold and sell" business model).

Financial assets that are held for trading and those that are managed and whose performance is evaluated on a fair value basis will be measured at FVTPL.

A business model's objective can be to hold financial assets to collect contractual cash flows even when some sales of financial assets have occurred or are expected to occur. For the Group the following sales may be consistent with the hold-to collect business model:

- The sales are due to an increase in the credit risk of a financial asset;
- The sales are infrequent (even if significant), or are insignificant individually and in aggregate (even if frequent);
- The sales take place close to the maturity of the financial asset and the proceeds from the sales approximate the collection of the remaining contractual cash flows.

For all the assets of the Group recognised under held to collect business model, the sale of less than 10 per cent of the portfolio (carrying amount) during a rolling three-year period will potentially be considered 'more than infrequent'.

Analysis of Contractual Cash Flow Characteristics

Once the Group determines that the business model of a specific portfolio is to hold the financial assets to collect the contractual cash flows (or to both collect contractual cash flows and sell financial assets), it must then assess whether the contractual terms of the financial asset give rise on specific dates to cash flows that are solely payments of prin-cipal and interest on the principal amount outstanding. For this purpose, interest is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular peri-od of time and for other basic lending risks and costs, as well as a profit margin. This assessment will be carried out on an instrument-by-instrument basis on the date of initial recognition of the financial asset.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Group considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it no longer meets this condition. The Group considers:

- Prepayment, extension terms
- Leverage features
- Claim is limited to specified assets or cash flows
- Contractually linked instruments
- Conversion options
- Dual currency features

- **Modification of Time Value of Money and the Benchmark Test**

The time value of money is the element of interest that provides consideration for only the passage of time. It does not take into account other risks (credit, liquidity etc.) Or costs (administrative etc.) Associated with holding a financial asset. In some cases, the time value of money element may be modified (imperfect). This would be the case, for example, if a financial asset's interest rate is periodically reset but the frequency of that reset does not match the ten-or of the interest rate. In this case units must assess the modification as to whether the contractual cash flows still represent solely payments of principal and interest, i.e. The modification term does not significantly alter the cash flows from a 'perfect' benchmark instrument. This assessment is not an accounting policy choice and cannot be avoided simply by concluding that an instrument, in the absence of such an assessment, will be measured at fair val-ue.

A benchmark test is applied for the following main contractual features that can potentially modify the time value of money:

- Reset rate frequency does not match interest tenor
- Lagging indicator
- Smoothing clause
- Grace period
- Secondary market yield reference

There are not any cases of modified time value of money occurred in the bank.

- **Financial assets – amortized cost**

In the Group a financial asset is measured at amortized cost (AC) if both of the following conditions are met:

- The asset is held within a business model whose objective is to hold assets in order to collect contractual cash flows
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

These conditions are explained in more detail in the chapters Business model assessment, Analysis of contractual cash flow characteristics, and Modification of the time value of money and the benchmark test.

Financial assets – amortized cost include debt securities, loans and advances to financial institutions and loans and advances to customers, are initially measured at fair value plus incremental direct transaction costs, and subsequently at their amortised cost using the effective interest method.

Income from banking operations, including income from loans and advances to customers, income from banks and other financial institutions, are recognized in profit or loss by applying the EIR to the gross carrying amount of financial assets other than credit-impaired assets. When a financial asset becomes credit-impaired and is, therefore, regarded as 'Stage 3'the Group calculates interest income by applying the EIR to the net amortized cost of the financial asset. If the financial assets cures and is no longer credit-impaired, the Group reverts to calculating interest income on a gross basis.

- **Financial assets and financial liabilities – fair value through profit or loss**

Financial assets and liabilities – fair value through profit or loss are acquired or incurred principally for the purpose of generating profit from short-term fluctuations in market prices. Securities held within a business model whose objective is achieved by selling financial assets are measured at their fair values. If securities are listed, the fair value is based on stock exchange prices.

Positive fair values (dirty price) are shown under financial assets – fair value through profit or loss. Negative fair values are shown under financial liabilities – fair value through profit or loss. Changes in fair value are shown in net trading income.

Interest income is shown in other interest income, valuation results and proceeds from disposals are shown in net trading income/(loss).

- **Financial assets and financial liabilities – designated fair value through profit or loss**

This category comprises only all those financial assets that are irrevocably designated as financial instruments at fair value (so-called fair value option) upon initial recognition in the statement of financial position. An entity may use this designation.

Only when doing so eliminates or significantly reduces incongruities in measurement or recognition. These arise if the measurement of financial assets or the recognition of resulting gains or losses has a different basis.

Financial liabilities are also designated as financial instruments at fair value to avoid valuation discrepancies with related derivatives. The fair value of financial obligations under the fair value option in this category reflects all market risk factors, including those related to the credit risk of the issuer.

In the reporting year, as in the comparison year, observable market prices were used for the valuation of liabilities of subordinated issues measured at fair value. The financial liabilities are mostly structured bonds. The fair value of these financial liabilities is calculated by discounting the contractual cash flows with a credit-risk-adjusted yield curve, which reflects the level at which the Group could issue similar financial instruments at the reporting date. The market risk parameters are determined based on similar financial instruments. Valuation results for liabilities that are designated as a financial instrument at fair value are recognized in net trading income and fair value result.

These financial instruments are measured at fair value. Interest income is shown in net interest income; valuation results and proceeds from disposals are shown in net trading income and fair value result. For financial liabilities designated at fair value through profit or loss, changes in fair value attributable to a change in own credit risk is not reported in the income statement but in other comprehensive income.

- **Financial liabilities – amortized cost**

Liabilities are predominantly recognized at amortized cost. In addition to interest expense, if there are differences between the amount paid and face value, the effective interest method is applied, and the amounts are shown in net interest income. This category mainly includes customer deposits and securities issues for refinancing purposes.

Relationships between assets/liabilities, measurement criteria and category pursuant to IFRS 9

Assets/Liabilities	Fair value	Amortized cost	Category
Assets classes			
Cash, cash balances at central banks and other demand deposits		X	KA
Financial assets - amortized cost		X	KA
Financial assets - fair value through other comprehensive income	X		VDAGJ
Non-trading financial assets - mandatorily fair value through profit/loss	X		VDFH
Financial assets - designated fair value through profit/loss	X		VDFH
Financial assets - held for trading	X		VDFH
Liabilities classes			
Financial liabilities - amortized cost		X	KA
Financial liabilities - designated fair value through profit/loss	X		VDFH
Financial liabilities - held for trading	X		VDFH

AC: "Amortized Cost"

FVOCI: "Fair Value Through Other Comprehensive Income"

FVTPL: "Fair Value Through Profit or Loss"

Amortized cost

The effective interest rate method is a method of calculating the amortized cost of a financial instrument and allocating interest expenses and interest income to the relevant periods. The effective interest rate is the interest rate used to discount the forecast future cash inflows and outflows (including all fees which form part of the effective interest rate, transaction costs and other premiums and discounts) over the expected term of the financial instrument or a shorter period, where applicable, to arrive at the net carrying amount from initial recognition.

Derecognition of financial assets

A financial asset is derecognized when the contractual rights to the cash flows arising from a financial asset have expired, when the Group has transferred the rights to the cash flows, or if the Group has the obligation, in case that certain criteria occur, to transfer the cash flows to one or more receivers. A transferred asset is also derecognized if all material risks and rewards of ownership of the assets are transferred. The Group has in place a write-off policy based on the principle that the bank being the creditor of loans does not expect any recovery/payment either on the entire exposure (full write-off) or on a part of the exposure (partial write-off). Furthermore, the loans have to be either fully impaired in amount of the entire exposure or, in case of collateralized loans, they are impaired in the extent not being collateralized. Further information on write-offs is provided in (31) Expected credit losses.

Modification of financial assets

A financial asset is derecognized on account of a modification if the underlying contract is modified substantially. In the Group, terms are substantially modified if the discounted present value of the cash flows under the new terms using the original effective interest rate differs by at least 10 per cent from the discounted present value of the remaining cash flows of the original financial asset (present value test). In addition to the present value test further quantitative and qualitative criteria are considered in order to assess whether a substantial modification applies. The other quantitative criteria primarily consider the extension of the average remaining term. Stage 3 loans are often restructured to match the maximum expected payments from the customer. If this is the case, then additional judgement is required to determine whether the contractual change is a new instrument in economic terms. The Group has defined qualitative criteria for a significant change in the terms of the contract as a change in the underlying currency and also the introduction of clauses that would normally cause the contractual cash flow criteria according to IFRS 9 to fail, or a change in the type of instrument (e.g. A bond is converted to a loan).

Derecognition of financial liabilities

The Group derecognizes a financial liability if the obligations of the Group have been paid, expired or revoked. The income or expense from the repurchase of own liabilities is shown in the notes under (22) Other net operating in-come. The repurchase of own bonds also falls under derecognition of financial liabilities. Differences on repurchase between the carrying value of the liability (including premiums and discounts) and the purchase price are reported in the income statement in other net operating income.

An exchange between the Group and its original lenders of debt instruments with substantially different terms, as well as substantial modifications of the terms and conditions of existing financial liabilities, are accounted for as an extin-guishment of the original financial liability and the recognition of a new financial liability. The terms are substantial-ly different if the discounted present value of the cash flows under the new terms, including any fees paid net of any fees received and discounted using the original effective interest rate, is at least 10% different from the discounted present value of the remaining cash flows of the original financial liability. In addition, other qualitative factors, such as the currency that the instrument is denominated in, changes in the type of interest rate, and change in loan cove-nants are also considered. If an exchange of debt instruments or modification of terms is accounted for as an extin-guishment, any costs or fees incurred are recognised as part of the gain or loss on the extinguishment. If the ex-change or modification is not accounted for as an extinguishment, any costs or fees incurred adjust the carry-ing amount of the liability and are amortised over the remaining term of the modified liability.

Reclassification of financial assets

Reclassification is only possible for financial assets, not for financial liabilities, In the Group a change in the meas-urement category is only possible if there is a change in the business model used to manage a financial asset. Reclas-sification is then mandatory in such cases. Such changes must be determined by the Management Board and be sig-nificant for corporate activities. If such reclassification is necessary, this must be affected prospectively from the date of reclassification and approved by the Group Management Board.

Fair value

The fair value is the price that would be received for the sale of an asset or paid for the transfer of a liability, in an orderly business transaction between market participants on the measurement reference date. This applies irre-spec-tive of whether the price is directly observable or has been estimated using a valuation method. In accordance with IFRS13, the Group uses the following hierarchy to determine and report the fair value for financial instruments.

- **Quotation on an active market (Level I)**

If market prices are available, the fair value is reflected best by the market price. This category contains equity in-struments traded on the stock exchange, debt instruments traded on the interbank market, and derivatives traded on the stock exchange. The valuation is mainly based on external data sources (stock exchange prices or broker quotes in liquid market segments). In an active market, transactions involving financial assets and liabilities are traded in sufficient frequency and volumes, so that price information is continuously available. Indicators for ac-tive markets are the number, the frequency of update or the quality of quotations (e.g. Banks or stock exchanges). Moreover, nar-row bid/ask spreads and quotations from market participants within a certain corridor are also indi-cators of an active liquid market.

- **Measurement techniques based on observable market data (Level II)**

When quoted prices for financial instruments are unavailable, the prices of similar financial instruments are used to determine the current fair value or accepted measurement methods utilizing observable prices or parameters (in par-ticular present value calculations or option price models) are employed. These methods concern the majority of the OTC-derivatives and non-quoted debt instruments.

- **Measurement techniques not based on observable market data (Level III)**

If no sufficient current verifiable market data is available for the measurement with measurement models, param-eters which are not observable in the market are also used. These input parameters may include data which is cal-culated in terms of approximated values from historical data among other factors (fair value hierarchy level III). The utilization of these models requires assumptions and estimates of the Management. The scope of the assumptions and estimates depends on the price transparency of the financial instrument, its market and the complexity of the instrument.

For financial instruments valued at amortized cost (this comprises loans and advances, deposits, other short-term borrowings and long-term liabilities), the Group publishes the fair value. In principle, there is low or no trading activ-ity for these instruments, therefore a significant degree of assessment by the Management is necessary for determin-ing the fair value.

- **Financial guarantees**

A financial guarantee is a contract under which the guarantor is obliged to make certain payments. These payments compensate the party to whom the guarantee is issued for losses arising in the event that a particular debtor does not fulfil payment obligations on time as stipulated in the original terms of a debt instrument.

Financial guarantees are initially recognised at their fair value, which is normally evidenced by the amount of fees received. This amount is amortised on a straight-line basis over the life of the guarantee. At the end of each reporting period, the guarantees are measured at the higher of (i) the amount of the loss allowance for the guaranteed exposure determined based on the expected loss model and (ii) the remaining unamortised balance of the amount at initial recognition. In addition, an ECL loss allowance is recognised for fees receivable that are recognised in the statement of financial position as an asset.

- **Contingent liabilities and commitments**

This item mainly includes contingent liabilities from undrawn loan commitments. Loan commitments must be re-port-ed when a credit risk may occur. These include commitments to provide loans, to purchase securities or to provide guarantees and acceptances.

Loan loss provisions for loan commitments are reported under provisions for liabilities and charges. Often, loan com-mitments are only partially drawn and thus comprise a drawn and an undrawn commitment. If it is not possible to separately identify the expected credit losses applicable to a drawn commitment and those to an undrawn commit-ment, these are shown together with the impairments of the financial asset, in accordance with IFRS 7. The total ex-pected credit losses are shown as a provision if they exceed the gross carrying amount of the financial asset.

Impairment

This section provides an overview of those aspects of the rules on impairment that involve a higher degree of judge-ment or complexity and major sources of estimation uncertainty and that resulted in a material adjustment in the financial year. Quantitative information about each of these estimates and judgements is included in the related notes together with information about the basis of calculation for each affected line item in the consolidated finan-cial statements.

Impairment overview

If the credit risk for financial instruments has significantly increased since initial recognition, then on each reporting date, the impairment for a financial instrument must be measured in the amount of the expected credit losses over the (remaining) term. If the credit risk for financial instruments has not significantly increased since initial recogni-tion, then on each reporting date, the impairment for a financial instrument must be measured in the amount of the present value of an expected twelve-month loss. The expected twelve-month loss is that portion of the credit losses expected over the lifetime which correspond to the expected credit losses from default events possible for a financial instru-ment within the twelve months following the reporting date.

The Group has introduced recognition and measurement methods in order to be able to assess at the end of every reporting period whether or not the credit risk for a financial instrument has significantly increased since initial recognition. Based on the method outlined above, the Group classifies its financial instruments into Stage 1, Stage 2, Stage 3 and POCI as follows:

- Stage1 essentially includes all financial instruments whose credit default risk has not significantly increased since their initial recognition. Stage 1 also includes all transactions which show a low credit risk on the report-ing date, where the Bank has utilized the option available to waive the assessment of a significant increase in credit risk. A low credit risk exists for all financial instruments whose internal credit rating on the report-ing date is within the investment grade range (corresponds to at least Standard & Poor's BBB-, Moody's Baa3 or Fitch BBB-). On initial recognition of loans, the bank records an impairment in the amount of the expected twelve-month loss. Stage 1 al-so includes loans where the credit risk has improved, and which have thus been reclassified from Stage 2.
- Stage 2 includes those financial instruments whose credit risk has significantly increased since their initial recog-nition and which, as at the reporting date, are not classified as transactions with limited credit risk. Impairments in Stage 2 are recognized in the amount of the financial instrument's lifetime expected credit loss. Stage 2 also in-cludes loans where the credit risk has improved, and which have thus been reclassified from Stage 3.
- Stage 3 includes financial instruments which are classified as impaired as at the reporting date. The Group criteri-on for this classification is the definition of a default in accordance with Article 178 CRR. The expected credit loss over the entire remaining lifetime of the financial instrument is also to be used as the basis for recognizing im-pairment of Stage 3 loans in default.

POCI: Purchased or originated credit-impaired assets are financial assets which were already impaired at the time of initial recognition. On initial recognition, the asset is recorded at fair value without any impairment, using an effec-tive interest rate that is adjusted for creditworthiness. The impairment recognized in subsequent periods equals the cumulative change in the lifetime expected credit loss of the financial instrument since the initial recognition in the statement of financial position. This remains the basis for measurement, even if the value of the financial instru-ment has risen.

3. Material accounting policies (continued)
I) Financial instruments (continued)
Impairment overview (continued)

The recognition and measurement principles for calculating expected credit losses are set out in the notes (31) Ex-pected credit losses in the chapter Determination of expected credit losses. The recognition and measurement princi-ples for determining a significant increase in the credit risk are set out in (31) Expected credit losses in the chapter significant increase in credit risk. The expected credit losses are measured on either a collective or individual basis. The requirements for collective measurement are set out in (31) Expected credit losses in the section shared credit risk characteristics.

Determination of expected credit losses

The Group calculates the expected credit loss as the probability-weighted, expected value of all payment defaults taking into account various scenarios over the expected lifetime of a financial instrument discounted with the effec-tive interest rate that was originally determined. A payment default is the difference between the contractually agreed and actually expected payment flows.

The twelve-month loss used for the recognition of impairments in Stage 1 is the portion of the lifetime expected cred-it loss for the financial instrument that results from default events which are expected to occur within twelve months following the reporting date. The ECL for Stage 1 and Stage 2 as well as for insignificant financial instru-ments in Stage 3 is determined on an individual transaction basis taking into account statistical risk parameters. These parame-ters have been derived from the Basel IRB approach and modified to meet the requirements of IFRS. The most im-portant input parameters used by the Bank for determining the expected credit losses are as follows:

- PD: In the Group, the probability of default is the probability of a borrower being unable to fulfil its payment obligations either within the next twelve months or in the entire remaining lifetime of the instrument.
- Exposure at default (EAD): The exposure at default is the amount which the Group expects to be owed at the time of default, over the next twelve months or over the entire lifetime.
- Loss given default (LGD): The loss given default represents the Group expectation of the extent of loss on a de-faulted exposure.

All risk parameters used from the bank's internal models are adjusted to meet the specific requirements of IFRS, and the forecast horizon has been extended accordingly to cover the entire term of the financial instruments. For example, the forecast for the development of the exposure over the entire term of the financial instrument therefore also in-cludes, in particular, contractual and statutory termination rights.

Further details on determining expected credit losses are provided in the notes (31) Expected credit losses.

Forward-looking information

As a rule, the risk parameters are estimated not only on historical default information but also, in particular, on the current economic environment (point-in-time perspective) and forward-looking information. This assessment primar-ily involves regularly reviewing the effects which the bank's macroeconomic forecasts will have regarding the amount of the ECL and including these effects in the determination of the ECL. A baseline scenario is used for this purpose which relies on the respective applicable consensus (forecasts of Raiffeisen Research on significant macroe-conomic factors, such as real GDP, unemployment rate, reference interest rates and Information about the currently assumed state of the credit cycle). This baseline scenario is then supplemented with additional macroeconomic pa-rameters that are relevant for the model. Other risks which cannot be depicted in the standard model and the related expected losses are also taken into account.

Further details on forward-looking information are provided in the notes (31) Expected credit losses in the chapter forward-looking information.

Significant increase in the credit risk

The Group rating systems combine into the PD all available quantitative and qualitative information relevant for fore-casting the credit risk. This metric is based primarily on a statistical selection and weighting of all available in-dictors. In addition, the PD adjusted takes into account not only historical information and the current economic envi-ronment, but also, in particular, forward-looking information such as the forecast for the development of macroeco-nomic conditions. As a consequence, the Group uses the PD only as a frame of reference for assessing whether the credit risk of a financial instrument has risen significantly since the date of its initial recognition. By anchoring the review of the relative transfer criterion in the robust processes and procedures of the bank's Bank-wide credit-risk-management framework, the bank ensures that a significant increase in the credit risk is identified in a reliable and timely man-ner based on objective criteria. The review to determine whether the credit default risk as at the financial reporting date has risen significantly since the initial recognition of the respective financial instrument is performed as at the reporting date. This review compares the observed probability of default over the residual maturity of the financial instrument (Lifetime-PD) against the lifetime PD over the same period as expected on the date of recogni-tion. Further details on forward-looking information are provided in the notes (31) Expected credit losses in the chap-ter Significant increase in the credit risk.

Collateral

To mitigate credit risks for financial assets, the Bank endeavours to use collateral wherever possible. This collateral can take different forms, such as cash, securities, letters of credit/guarantees, real estate, receivables, inventories and other non-financial assets and credit improvements such as netting agreements. The accounting principles for collat-eral remain unchanged compared to IAS39. Collateral is not recorded in the Bank's statement of financial position unless it is repossessed. The fair value of collateral does, however, affect the calculation of ecls. Generally, it is val-ued at least at the outset, and subject to half-yearly reviews. Some collateral such as cash or securities are assessed daily in respect of margin requirements. Further details are provided in the notes (30) Collateral and maxi-mum expo-sure to credit risk.

A special case is the classification of land and buildings from bail-out purchases within the framework of collateral realization as such real estate or other assets have been primarily acquired to avoid losses from the lending business and are generally intended to be re-sold. In a first step, the Group assesses whether an asset that has been taken back can be used for its own business operations. Assets that are considered useful for own business operations are trans-ferred to the group's tangible fixed assets at the lower of the re-procurement value or the carrying amount of the orig-inally collateralized asset. Assets which are planned to be sold are recognized in the group's inventories at fair value less selling costs for non-financial assets at the time of repossession, in accordance with the group's guidelines. When realizing collateral, however, the Group does not generally take physical possession of the assets but commis-sions external agents to obtain funds through auctions in order to settle outstanding debts of the cus-tomer. Any ex-cess funds are returned to customers. Due to this practice, residential real estate is not reported in the Group's state-ment of financial position within the context of the realization of collateral.

Genuine sale and repurchase agreements

In a genuine sale and repurchase transaction, the Group sells assets to a third party and agrees at the same time to repurchase these assets at an agreed price and time. The assets remain on the Group's statement of financial posi-tion and are measured according to the standards applied to the item in the statement of financial position "Loans and advances to financial institutions". The securities are not derecognized since all the risks and rewards of the Bank associated with the ownership of the repurchased securities are retained. Cash inflows arising from a sale and repur-chase transaction are recognized in the statement of financial position as financial liabilities – amortized cost. Under reverse repurchase agreements, assets are acquired by the Group with the obligation to sell them in the fu-ture. The purchased securities on which the financial transaction is based are not reported in the Group's statement of financial position and accordingly not measured. Cash outflows arising from reverse repurchase agreements are recorded in the statement of financial position under the item financial assets – amortized cost.

Interest expense from sale and repurchase agreements and interest income from reverse sale and repurchase agree-ments is accrued in a straight line over their term to maturity and shown under the Bank's net interest income.

Securities lending

The Group concludes securities lending transactions with banks or customers in order to meet delivery obligations or to conduct security sale and repurchase agreements. In the Group, securities lending transactions are shown in the same way as genuine sale and repurchase agreements. This means loaned securities continue to remain in the securi-ties portfolio. Borrowed securities are not recognized and not valued in the Group. Cash collateral provided by the Group for securities lending transactions is shown as a claim under the item financial assets – amortized cost while collateral received is shown as financial liabilities – amortized cost in the statement of financial position.

j) Cash and cash equivalents

Cash and cash equivalents include notes and coins on hand, unrestricted balances held with the Central Bank and highly liquid financial assets with original maturities of less than three months, which are subject to insignificant risk of changes in their fair value and are used by the Bank in the management of its short-term commitments.

Mandatory cash balances with the Central bank. Mandatory cash balances with the Central Bank are carried at Am-ortized Cost and represent non-interest-bearing mandatory reserve deposits, which are not available to finance the Group's Day to day operations, and hence are not considered as part of cash and cash equivalents for the purposes of the consolidated statement of cash flows.

k) Due from other banks

Due from other banks. Amounts due from other banks are recorded when the Group advances money to counter-party banks. Amounts due from other banks are carried at AC when: (i) they are held for the purposes of collecting contrac-tual cash flows and those cash flows represent SPPI, and (ii) they are not designated at FVTPL.

l) Debt securities

Investments in debt securities. Based on the business model and the cash flow characteristics, the Bank classifies investments in debt securities as carried at AC or FVOCI. Debt securities are carried at AC if they are held for collection of contractual cash flows and where those cash flows represent SPPI, and if they are not voluntarily designated at FVTPL in order to significantly reduce an accounting mismatch.

Debt securities are carried at FVOCI if they are held for collection of contractual cash flows and for selling, where those cash flows represent SPPI, and if they are not designated at FVTPL. Interest income from these assets is calculated using the effective interest method and recognised in profit or loss. An impairment allowance estimated using the expected credit loss model is recognised in profit or loss for the year. All other changes in the carrying value are recognised in OCI. When the debt security is derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from OCI to profit or loss.

m) Trading assets and liabilities

Trading assets and liabilities are those assets and liabilities that the Group acquires or incurs principally for the purpose of selling or repurchasing in the near term or holds as part of the portfolio that is managed together for the short-term profit or position taking.

Trading assets and liabilities are initially recognised and subsequently measured at fair value in the Consolidated statement of financial position with transaction costs taken directly to profit or loss. All changes in fair value are recognised as part of the trading income in profit or loss. Trading assets and liabilities are not reclassified subsequent to their initial recognition.

n) Derivative financial instruments

Derivative financial instruments, including foreign exchange contracts, interest rate futures, forward rate agreements, currency and interest rate swaps, and currency and interest rate options are carried at their fair value. All derivative instruments are carried as assets when fair value is positive, and as liabilities when fair value is negative. Changes in the fair value of derivative instruments are included in profit or loss for the year (gains less losses on derivatives). The Group does not apply hedge accounting. Certain derivative instruments embedded in other financial instruments are treated as separate derivative instruments when their risks and characteristics are not closely related to those of the host contract.

o) Loans and advances to customers

Loans and advances to customers are recorded when the Group advances money to purchase or originate an unquoted non-derivative receivable from a customer due on fixed or determinable dates and has no intention of trading the receivable. Loans and advances to customers are carried at amortised cost.

Impairment allowances are determined based on the forward-looking ECL models. Note 31 provides information about inputs, assumptions and estimation techniques used in measuring ECL, including an explanation of how the Group incorporates forward-looking information in the ECL models.

p) Right of use and lease liabilities

At inception of a contract, The Group assesses whether the contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, The Group assesses whether:

- the contract involves the use of an identified asset - this is the case if either the asset is explicitly specified in the contract or the asset is implicitly specified at the time that it is made available for use by the customer that is capable of being used to meet the contract terms. If the supplier has a substantive substitution right, then the asset is not identified.
- The Group has the right to obtain substantially all of the economic benefits from use of the asset throughout the period of use; and
- The Group has the right to direct how and for what purpose the asset is used throughout the period of use or the relevant decisions about how and for what purpose the asset is used are predetermined.

The Group as lessee

The Group recognizes a right-of-use asset and a lease liability at the lease commencement date which is the date on which a lessor (a supplier) makes an underlying asset available for use by The Group. The right-of-use asset is measured at cost at the commencement date. The cost of the right-of-use asset comprises the amount equal to the lease liability at its initial recognition adjusted for any lease payments made at or before the commencement of the lease plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset, or to re-store the underlying asset or the site on which it is located, less any lease incentives. The right-of-use asset is

subse-quently depreciated using the straight-line method in accordance with IAS 16 from the commencement date to the earlier of the end of the useful life or the end of the lease term of the right-of-use asset. The right-of-use asset is re-duced by impairments, if any, and adjusted for certain remeasurements of the lease liability. At the commencement date, The Group measures the lease liability at the present value of the lease payments that are not paid at that date. The lease payments shall be discounted using the interest rate implicit in the lease, if that rate can be readily deter-mined. If that rate cannot be readily determined, the lessee shall use the incremental borrowing rate. The bank has applied IFRS 16 using the simplified approach, beginning from January 1, 2019.

The lease payments included in the measurement of the lease liability comprise the following:

- fixed payments including in-substance fixed payments.
- variable lease payments that depend on an index or rate, initially measured using the index or rate as at the commencement date;
- amounts expected to be payable by the lessee under residual value guarantees;
- the exercise price of a purchase option if The Group is reasonably certain to exercise that option; and
- payments of penalties for terminating the lease, if the lease term reflects the lessee exercising an option to ter-minate the lease

The lease liability is measured on an ongoing basis similarly to other financial liabilities, using an effective interest method, so that the carrying amount of the lease liability is measured on an amortized cost basis and the interest ex-pense is allocated over the lease term. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Group's estimate of the amount expected to be payable under a residual value guarantee, or if The Group changes its assessment of whether it will exercise a purchase, extension or termination option. When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset or is recorded in profit or loss if the carrying amount of right-of-use asset has been reduced to zero. The Group has selected not to recognize right-of-use assets and lease liabilities for short-term leases of equipment that have a lease term of twelve months or less and leases of low-value assets, including IT equipment. The Group recognizes the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

The group has selected to presented right of use assets together with tangible assets (please refer to note 10) and Lease liability together with Financial liabilities (please refer to note 13).

The Group as lessor

As a lessor the Group classifies its leases as finance leases. A lease is classified as a finance lease if it transfers substantially all the risks and rewards incidental to ownership of the underlying asset and classified as an operating lease if it does not.

At the commencement date, the Group recognize assets held under a finance lease in its statement of financial posi-tion and present them as a receivable at an amount equal to the net investment in the lease. For finance leases initial direct costs are included in the initial measurement of the net investment.

The net investment in the lease is measured as the gross investment in the lease, discounted at the interest rate implic-it in the lease.

The Group's practice is that lease payments forming the gross investment in the lease cover the whole fair value of the lease assets determined at the commencement of the lease.

Subsequent measurement

After lease commencement, the Group accounts for a finance lease, as follows:

- Interest income is recognized in profit or loss over the lease term in an amount that produces a constant periodic rate of return on the remaining balance of the net investment in the lease.
- Net investment in the lease is reduced for the lease payments received;
- The Group applies the impairment requirements of IFRS 9, recognising an allowance for expected credit losses on the lease receivable

After lease commencement, the net investment in a lease is not remeasured by the company unless in either of the following situations:

- The lease is modified, and the modified lease is not accounted for as a separate contract.
- The lease term is revised when there is a change in the non-cancellable period of the lease.

ECL Measurement of leases

The key inputs into the measurement of ECL are the term structure of the following variables:

- probability of default (PD);
- loss given default (LGD);
- discount factor; and
- exposure at default (EAD).

ECL for exposures in Stage 1 is calculated by multiplying the 12-month PD by LGD and EAD. Lifetime ECL is calcu-lated by multiplying the lifetime PD by LGD and EAD.

The probability of default (PD) represents the likelihood of a lessee defaulting on its financial obligation either over the next 12 months or over the remaining lifetime of the obligation. In general, the lifetime probability of default is calculated using the regulatory 12-month probability of default, stripped of any margin of conservatism, as a starting point. Thereafter various statistical methods are used to generate an estimate of how the default profile will develop from the point of initial recognition throughout the lifetime of the leasing or leasing portfolio. The profile is based on historical observed data and parametric functions

LGD is the magnitude of the likely loss if there is a default. The Company estimates LGD parameters based on the history of recovery rates of claims against defaulted counterparties. The LGD models consider the structure, collat-eral, seniority of the claim, counterparty industry and recovery costs of any collateral that is integral to the financial asset. They are calculated on a discounted cash flow basis using the effective interest rate as the discounting factor.

EAD represents the expected exposure in the event of a default. The Company derives the EAD from the current exposure to the counterparty and potential changes to the current amount allowed under the contract and arising from amortization. The EAD of a financial asset is its gross carrying amount at the time of default.

Sometimes The Group is an intermediate lessor which means that The Group acts as both the lessee and lessor of the same underlying asset and accounts for its interest in the main lease and the sublease separately. When the main lease is a short-term lease, the sublease is classified as an operating lease. Otherwise, The Group assesses the classification of a sublease by reference to the right-of-use asset in the main lease and not by reference to the underlying asset of the main lease. The Group recognizes the lease payments associated with the operating lease as income on a straight-line basis over the lease term.

(q) Tangible fixed assets

i **Recognition and measurement**

Items of tangible and fixed assets are measured at cost less accumulated depreciation and impairment losses. Cost includes expenditures that are directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the asset to a working condition for its intended use, and the costs of dismantling and removing the items and restoring the site on which they are located. When parts of an item of property or equipment have different useful lives, they are accounted for as separate items (major components) of premises and equipment.

ii **Subsequent costs**

The cost of replacing part of an item of property or equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group and its cost can be meas-ured reliably. The costs of the day-to-day servicing of premises and equipment are recognised in profit or loss as incurred.

iii **Depreciation**

Depreciation is recognised in profit or loss on a straight-line basis over the estimated useful lives of each part of an item of premises and equipment. Leased assets are depreciated over the shorter of the lease term and their useful lives. Land and work in progress are not depreciated. The estimated useful lives for the current and comparative peri-ods are as follows:

	2024 (in years)	**2023 (in years)**
Premises	20	20
Vehicles	7	7
Computers and IT equipment	4 to 7	4 to 7
Software and Licenses	8	8
Machineries and systems	7	7
Office Equipment's and Furniture	5 to 7	5 to 7
Leasehold improvements	1 to 10	1 to 10

Useful lives and residual values are reassessed each reporting date.

(r) Intangible fixed assets

Acquired intangible fixed assets.

In the Group, separately acquired intangible fixed assets, i.e. those with a definite useful life not acquired in a business combination, are capitalized at acquisition cost less accumulated amortization and impairment. Amortization is accrued in a straight line over the expected useful life and reported as an expense in the income statement. The expected useful life and the amortization method are reviewed at each reporting date and any possible changes in measurement taken into account prospectively. Separately acquired intangible fixed assets with an indefinite useful life are capitalized at acquisition cost less accumulated impairment. The normal useful life of software is between four and six years. The normal useful life for large software projects may extend over a longer period.

The straight-line method is used for depreciation and is based on the following useful life figures:

Useful life	**Years**
Software	**8**

Internally developed intangible fixed assets – research and development costs

Internally developed intangible assets comprise exclusively software and are capitalized if it is probable that the future economic benefits attributable to the asset will accrue to the Group and the cost of the asset can be measured reliably. Expenses for research are recognized as an expense when they are incurred.

An internally developed intangible fixed asset resulting from development activities or from the development stage of an internal project is capitalized when the following evidence is provided:

- The final completion of the intangible fixed asset is technically feasible so that it will be available for use or sale.
- It is intended to finally complete the intangible fixed asset and to use or to sell it.
- The ability exists to use or to sell the intangible fixed asset. The intangible fixed asset is likely to generate future economic benefit.
- The availability of adequate technical, financial and other resources required in order to complete development and to use or sell the intangible fixed asset is assured.
- The ability exists to reliably determine the expenditure incurred during the development of the intangible fixed asset.

The amount at which an internally developed intangible fixed asset is initially capitalized is the sum of all expenses incurred beginning from the day on which the mentioned conditions are initially met. If an internally developed intangible fixed asset cannot be capitalized, or if there is yet no intangible fixed asset, the development costs are reported in the income statement for the reporting period in which they are incurred.

Capitalized development costs are generally amortized in the Bank in a straight line over a useful life of five years. The normal useful life of software is between four and six years. The normal useful life for large software projects may ex-tend over a longer period.

(s) Repossessed assets

In certain circumstances, assets are repossessed following the foreclosure on loans that are in default. Repossessed as-sets are measured at the lower of auction value and fair value less costs to sell, recognised in the Consolidated statement of financial position under "Other assets". Management intention on repossessed asset is to sale as soon as practicable, with the proceeds used to reduce the outstanding indebtedness.

(t) Deposits and other financial liabilities

Deposits and other financial liabilities are the Bank's main sources of debt funding. The Bank classifies capital instruments as financial liabilities or equity instruments in accordance with the substance of the contractual terms of the in-strument. Deposits and other financial liabilities are initially measured at fair value plus transaction costs, and subse-quently measured at their amortised cost using the effective interest method.

(u) Due to banks

Due to other banks. Amounts due to other banks are recorded when money or other assets are advanced to the Group by counterparty banks. The non-derivative liability is carried at AC. If the Group purchases its own debt, the liability is removed from the consolidated statement of financial position and the difference between the carrying amount of the liability and the consideration paid is included in gains or losses arising from [early] retirement of debt.

(v) Sale and repurchase agreements and lending of securities.

Sale and repurchase agreements ("repo agreements"), which effectively provide a lender's return to the counterparty, are treated as secured financing transactions. Securities sold under such sale and repurchase agreements are not de-recognised. The securities are not reclassified in the statement of financial position unless the transferee has the right by contract or custom to sell or repledge the securities, in which case they are reclassified as repurchase receivables. The corresponding liability is presented within amounts due to other banks or other borrowed funds.

Securities purchased under agreements to resell ("reverse repo agreements"), which effectively provide a lender's return to the Bank, are recorded as due from other banks or loans and advances to customers, as appropriate. The difference between the sale and repurchase price, adjusted by interest and dividend income collected by the counter-party, is treated as interest income and accrued over the life of repo agreements using the effective interest method.

Securities lent to counterparties for a fixed fee are retained in the Consolidated financial statements in their original category in the statement of financial position unless the counterparty has the right by contract or custom to sell or repledge the securities, in which case they are reclassified and presented separately. Securities borrowed for a fixed fee are not recorded in the Consolidated financial statements, unless these are sold to third parties, in which case the purchase and sale are recorded in profit or loss for the year within gains less losses arising from trading securities. The obligation to return the securities is recorded at fair value in other borrowed funds.

(w) Impairment of non-financial assets

The carrying amounts of the Group's non-financial assets, other than deferred tax assets, are reviewed at each report-ing date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. An impairment loss is recognised if the carrying amount of an asset or its cash-generating unit exceeds its recoverable amount. A cash-generating unit is the smallest identifiable asset Group that generates cash flows that largely are independent from other assets and Banks. Impairment losses are recognised in profit or loss.

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

Impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to de-termine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recog-nised.

(x) Provisions

A provision is recognised if, as a result of a past event, the Group has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obliga-tion. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability.

Loan loss provisions for contingent liabilities and commitments

Commitments and contingent are liabilities such as undrawn agreements to lend in case that they are formally binding and not just internal limits. Contingent liabilities may develop in a way not initially expected. Therefore, they are assessed continually to determine whether an outflow of resources embodying economic benefits has become proba-ble. In case that the contingent liability results in a present obligation that can be measured reliably, a provisionis recorded. Only irrevocable commitments give rise to a credit risk, therefore only irrevocable contingencies and com-mitments can be subject to provisioning. For significant exposures, the assessment is done individually. In case of portfolio-based assessment the portfolio-building and calculation of portfolio-based provisions has to be made as indicated in the impairment of Loans and Advances to customers.

(y) Share capital

Ordinary shares and non-redeemable preference shares with discretionary dividends are both classified as equity. Incremental costs directly attributable to the issue of new shares or options are shown in equity as a deduction, net of tax, from the proceeds. Any excess of the fair value of consideration received over the par value of shares issued is recorded as share premium in equity.

Dividends. Dividends are recorded in equity in the period in which they are declared. Any dividends declared after the end of the reporting period and before the Consolidated financial statements are authorised for issue, are disclosed in the subsequent events note. The statutory accounting reports of the Group are the basis for profit distribution and other appropriations. Albanian legislation identifies the basis of distribution as the current year net profit.

Earnings per share. Earnings per share are determined by dividing the profit or loss attributable to owners of the Bank by the weighted average number of participating shares outstanding during the reporting year.

(z) Credit related commitments

This item mainly includes contingent liabilities from undrawn loan commitments. Loan commitments must be reported when a credit risk may occur. These include commitments to provide loans, to purchase securities or to provide guarantees and acceptances. Loan loss provisions for loan commitments are reported under provisions for liabilities and charges. Often, loan commitments are only partially drawn and thus comprise a drawn and an undrawn commitment. If it is not possible to separately identify the expected credit losses applicable to a drawn commitment and those to an undrawn commitment, these are shown together with the impairments of the financial asset, in accordance with IFRS 7. The total expected credit losses are shown as a provision if they exceed the gross carrying amount of the financial asset.

(aa) Offsetting

Financial assets and liabilities are offset and the net amount reported in the Consolidated statement of financial posi-tion only when there is a legally enforceable right to offset the recognised amounts, and there is an intention to either settle on a net basis, or to realise the asset and settle the liability simultaneously. Such a right of set off (a) must not be contingent on a future event and (b) must be legally enforceable in all of the following circumstances: (i) in the nor-mal course of business, (ii) the event of default and (iii) the event of insolvency or bankruptcy.

(bb) Presentation of statement of financial position in order of liquidity.

The Group does not have a clearly identifiable operating cycle and therefore does not present current and non-current assets and liabilities in the statement of financial position. Instead, analysis of assets and liabilities by their expected maturities is presented in Note 34.

(cc) Comparability

All amounts are reported or disclosed with comparative information.

4. Critical accounting estimates and judgements

The Group makes estimates and assumptions that affect the amounts recognised in the Consolidated financial state-ments, and the carrying amounts of assets and liabilities within the next financial year. Estimates and judgements are continually evaluated and are based on management's experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. Management also makes certain judgements, apart from those involving estimations, in the process of applying the accounting policies. Judgements that have the most significant effect on the amounts recognised in the Consolidated financial statements and estimates that can cause a significant adjustment to the carrying amount of assets and liabilities within the next financial year include:

Going concern

The Group considers the liquidity risk in the recovery plans, in the internal capital adequacy assessment process, setting well-defined limits on its appetite for risk. The Group determines that its capital resources are available.

The Group performs regularly, stress test exercises, to test the possible impact of macroeconomic indicators in Group's key financial position, performance and regulatory compliance. These stress tests are mainly focused on the impact that some outlined macro and microeconomic scenarios might have on the loan portfolio, being the Group's main source of income,

If estimates or assessments are necessary for accounting and measuring under International Accounting Standards (IAS)/International Financial Reporting Standards (IFRS) rules, they are made in accordance with the respective standards. They are based on past experiences and other factors, such as planning and expectations or forecasts of future events that appear likely, based on current judgement. The estimates and underlying assumptions are reviewed on an ongoing basis. Alterations to estimates that affect only one period will be considered only in that period. If the following reporting periods are also affected, the alterations will be taken into consideration

Impairment in the lending business

The application of the Group's accounting policies requires accounting judgments of the management. The Group assesses on a forward-looking basis the expected credit losses associated with its debt instrument assets carried at amortized cost and with the exposure arising from loan commitments and financial guarantee contracts. The calcula-tion of expected credit losses (ECL) requires the use of accounting estimates that may not necessarily match actual results. In order to determine the amount of the impairment, significant credit risk parameters such as PD (Probability of Default), LGD (Loss Given Default) and EAD (Exposure at Default) as well as future-oriented information (eco-nomic forecasts) are to be estimated by management. The allowance for credit risks is adjusted for this expected loss at each reporting date. The methods for determining the amount of the impairment are explained in section Impair-ment general under Recognition and measurement principles. For additional disclosures on impairment of financial assets refer to note (31) Expected Credit Losses and note 36 Credit risks.

4. Critical accounting estimates and judgements (continued)
Impairment in the lending business (continued)

Dynamic tests are performed to evaluate the effect that a similar increase/decrease in customer's shock would have on each of the balance sheet, liability and profit and loss line items, for a specific period of time. The Group's man-agement has made an assessment of the Group's ability to continue as a going concern considering all the factors stated above and is satisfied that the Group has the resources to continue in business for the foreseeable future. Fur-thermore, management is not aware of any material uncertainties that may cast significant doubt upon the Group abil-ity to continue as a going concern. Therefore, the Consolidated Financial Statements continue to be prepared on the going concern basis. For additional disclosures on capital management refer to note 37.

Fair value of financial instruments

Fair value is the price received for the sale of an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

This applies regardless of whether the price can be directly observed or has been estimated on the basis of a meas-urement method. In determining the fair value of an asset or liability, the Group considers certain features of the asset or liability (e.g. condition and location of the asset, or restrictions in the sale and use of an asset) if market partici-pants would also consider such features in determining the price for the acquisition of the respective as-set or for the transfer of the liability at the measurement date. Where the market for a financial instrument is not active, fair value is established using a valuation technique or pricing model. For valuation methods and models, estimates are general-ly used depending on the complexity of the instrument and the availability of market-based data. The inputs to these models are derived from observable market data where possible. Under certain circum-stances, valuation adjustments are necessary to account for other factors such as model risk, liquidity risk or credit risk. The valuation models are described in the notes in the section on financial instruments –under recognition and measurement principles. In ad-dition, the fair values of financial instruments are disclosed in note (27) Fair value of financial instruments.

Net realizable value of repossessed assets

Repossessed assets represent real estate assets acquired by the Group in settlement of overdue loans which are classi-fied as inventories in accordance with IAS 2 "Inventories". The assets were initially recognised at fair value when acquired and are measured at the lower of cost and net realizable value and any write-down is recognized in the profit or loss. The Group revalue these assets on annual basis using a team of external independent valuers and internal certified appraisers, having appropriate recognised professional qualifications and recent experience in the location and category of the property being valued.

Deferred tax assets and liabilities

Deferred tax assets are recognized only to the extent that it is probable that in the future sufficient taxable profit will be available against which those tax loss carry-forwards, tax credits or deductible temporary differences can be utilized. A planning period of five years is used to this end. This assessment requires significant judgments and as-sumptions to be made by management. In determining the amount of deferred tax assets, the management uses his-torical tax capacity and profitability information and, if relevant, forecasted operating results based upon ap-proved business plans, including a review of the eligible carry-forward period.

Deferred taxes are not reported separately in the income statement and are disclosed under (26) Income taxes. By contrast, deferred taxes are shown separately in the statement of financial position and in the notes under (15) De-ferred Tax liabilities.

5. Application of new and revised standards

In the current year, the group has applied a number of amendments to IFRS Accounting Standards issued by the IASB that are mandatorily effective for an accounting period that begins on or after 1 January 2024. Their adoption has not had any material impact on the disclosures or on the amounts reported in these finan-cial statements:

- Amendments to IAS 1— Non-current Liabilities with Covenants. The Bank has adopted the amendments to IAS 1, published in November 2022, for the first time in the current year. The amendments specify that only cov-enants that an entity is required to comply with on or before the end of the reporting period affect the entity's right to defer settlement of a liability for at least twelve months after the reporting date (and therefore must be considered in assessing the classification of the liability as current or non-current). Such covenants affect whether the right exists at the end of the reporting period, even if compliance with the covenant is assessed only after the reporting date (e.g. a covenant based on the entity's financial position at the reporting date that is assessed for compliance only after the reporting date). The IASB also specifies that the right to defer set-tlement of a liability for at least twelve months after the reporting date is not affected if an entity only has to comply with a covenant after the reporting period. However, if the entity's right to defer settlement of a liability is subject to the entity complying with covenants within twelve months after the reporting period, an entity discloses information that enables users of financial statements to understand the risk of the liabilities becoming repayable within twelve months after the reporting period. This would include information about the covenants (including the nature of the covenants and when the entity is required to comply with them), the car-

5. Application of new and revised standards (continued)

rying amount of related liabilities and facts and circumstances, if any, that indicate that the entity may have difficulties complying with the covenants. The amendments did not have an impact on the Bank's statement of financial position, which is presented in order of liquidity.

- Amendments to IAS 7 Statement of Cash Flows and IFRS 7 Financial Instruments: Disclosures titled Sup-plier Finance Arrangements. The Bank has adopted the amendments to IAS 7 and IFRS 7 titled Supplier Finance Ar-rangements for the first time in the current year. The amendments add a disclosure objective to IAS 7 stating that an entity is required to disclose information about its supplier finance arrangements that enables users of financial statements to assess the effects of those arrangements on the entity's liabilities and cash flows. In addi-tion, IFRS 7 is amended to add supplier finance arrangements as an example within the requirements to disclose information about an entity's exposure to concentration of liquidity risk.

- Amendments to IFRS 16 Leases—Lease Liability in a Sale and Leaseback. The Bank has adopted the amend-ments to IFRS 16 for the first time in the current year. The amendments to IFRS 16 add subsequent meas-ure-ment requirements for sale and leaseback transactions that satisfy the requirements in IFRS 15 Revenue from Contracts with Customers to be accounted for as a sale. The amendments require the seller-lessee to deter-mine 'lease payments' or 'revised lease payments' such that the seller-lessee does not recognise a gain or loss that re-lates to the right of use retained by the seller-lessee, after the commencement date. The amend-ments do not affect the gain or loss recognised by the seller-lessee relating to the partial or full termination of a lease. Without these new requirements, a seller-lessee may have recognised a gain on the right of use it retains solely because of a remeasurement of the lease liability (for example, following a lease modification or change in the lease term) applying the general requirements in IFRS 16. This could have been particularly the case in a leaseback that in-cludes variable lease payments that do not depend on an index or rate. As part of the amendments, the IASB amended an Illustrative Example in IFRS 16 and added a new example to illustrate the subsequent measurement of a right-of-use asset and lease liability in a sale and leaseback transaction with variable lease payments that do not depend on an index or rate. The illustrative examples also clarify that the liability that arises from a sale and leaseback transaction that qualifies as a sale applying IFRS 15 is a lease liability. A seller-lessee applies the amendments retrospectively in accordance with IAS 8 to sale and leaseback transactions entered into after the date of initial application, which is defined as the beginning of the annual reporting period in which the entity first applied IFRS 16

The application of the above amendments had no significant impact on the Bank's separate financial state-ments.

New Accounting Pronouncements

At the date of authorisation of these financial statements, the Bank has not applied the following new and revised IFRS Accounting Standards that have been issued but are not yet effective:

4. Amendments to IAS 21 Lack of Exchangeability
5. IFRS 18 Presentation and Disclosures in Financial Statements.
6. IFRS 19 Subsidiaries without Public Accountability: Disclosures

Unless otherwise described above, the new standards and interpretations are not expected to affect significantly the Bank's financial statements.

Management provides that all relevant pronouncements will be approved for the first period beginning on or after the effective date of publication.

6. Cash, cash balances at central banks and other demand deposits

Cash and cash equivalents as at 31 December 2024 and 31 December 2023 are detailed as follows:

in LEK thousand	31 December 2024	31 December 2023
Cash on hand	18,102,478	18,660,044
Balances at central Banks	19,421,155	23,216,834
hereof restricted balance – Compulsory reserve	17,194,952	17,453,547
Other demand deposits at Banks	2,001,761	734,173
herof restricted balance as bank guarantees	166,434	156,754
Total	39,525,3941	42,611,051

Cash, cash balances at central Banks and other demand deposits includes cash in hand, balances due on call and compulsory reserves at Central Bank of Albania, and demand deposits at Banks that are due on call.

Mandatory reserves with Central Bank are not for everyday use by the Group and represent a minimum reserve deposit, required by the Central Bank of Albania and is not considered as cash for the statement of cash flow purposes. This reserve is calculated as a certain percentage of customer deposits that varies by currency or maturity. The required reserve rate in Lek is 7.5% and 5% of Lek's customer deposits, respectively, with a maturity of no more than 12 months and from 12 months to 2 years. The required reserve ratio in foreign currency is 12.5% and 20% of foreign currency deposits, respectively, when they are below 50% and over 50% of total customer depos-its.

Cash and cash equivalents include highly liquid financial assets with original maturities of three months or less from the date of acquisition that are subject to an insignificant risk of changes in their fair value and are used by the Group in the management of its short-term commitments. A break-down of cash and cash equivalents as in-cluded in the statement of cash flows is presented below:

in LEK thousand	**31 December 2024**	**31 December 2023**
Cash on hand	18,102,478	18,660,044
Balances at central bank, excluding compulsory reserve	2,226,204	5,763,286
Other demand deposits at banks net of restricted balances	1,835,327	577,419
Loans and advances to central banks	643	291
Loans and advances to other banks	19,797,063	27,248,444
Total cash and cash equivalents as included in the statement of cash flows	**41,961,715**	**52,249,484**

7. Financial assets – amortised cost

Financial assets at amortized cost are comprised of Debt securities and Loans and advances, as follows:

in LEK thousand	**As at 31 December 2024**			**As at 31 December 2023**		
	Gross carrying amount	Accumulated impairment	Carrying amount	Gross carrying amount	Accumulated impair-ment	Carrying amount
Debt securities	**107,200,650**	**(45,815)**	**107,154,835**	**104,647,840**	**(71,572)**	**104,576,268**
General governments	107,200,650	(45,815)	107,154,835	104,647,840	(71,572)	104,576,268
Banks	-	-	-	-	-	-
Loans and advances	**161,835,420**	**(8,438,441)**	**153,396,979**	**156,066,099**	**(8,473,953)**	**147,592,146**
Central Banks	643	-	643	291	-	291
General governments	321	(1)	320	232	(1)	231
Banks	19,797,110	(47)	19,797,063	27,248,489	(45)	27,248,444
Other financial corporations	4,417,368	(29)	4,417,339	523,654	(1,003)	522,651
Non-financial corporations	75,296,626	(5,281,429)	70,015,197	71,277,073	(5,338,048)	65,939,025
Households	62,323,352	(3,156,935)	59,166,417	57,016,360	(3,134,856)	53,881,504
Total	**269,036,070**	**(8,484,256)**	**260,551,814**	**260,713,939**	**(8,545,525)**	**252,168,414**

8. Financial assets- fair value through profit and loss

Financial assets Fair Value through profit and loss as at 31 December 2024 and 31 December 2023 are detailed as follows:

in LEK thousand	**31 December 2024**	**31 December 2023**
Debt securities	415,043	137,651
Total	**415,043**	**137,651**

9. Goodwill

During the year 2009, Raiffeisen Bank acquired 100% of the shares of the Raiffeisen INVEST – Shoqëri Admin-istruese e Fondeve të Pensionit dhe Sipërmarrjeve të Investimeve Kolektive sh.a. ("Raiffeisen INVEST"), for an amount of Lek 109,648 thousand. The purchase was approved by the Albanian Financial Supervisory Authority based on decision Nr.30, dated 26 March 2009, registered on the Albanian National Register on 23 April. Raif-feisen INVEST has a paid in capital of Lek 90 million as at 31 December 2024 (2023: Lek 90 million).

The goodwill on acquisition date was calculated as the excess of the cost of the business combination over the identified net assets of the acquired entity, resulting in an amount of Lek 92,783 thousand. The identified net as-sets of the acquired entity at acquisition date approximated their fair value at an amount of Lek 16,865 thousand.

Goodwill is tested for impairment at least annually or whenever there are indications that goodwill may be impaired. As at 31 December 2024, the carrying amount of the cash generating unit to which goodwill has been allocated, does not exceed its recoverable amount and therefore goodwill is considered not to be impaired. No impairment loss has been recognised in the consolidated statement of comprehensive income for the year ended 31 December 2024 (2023: nil).

10. Tangible and intangible fixed assets

Tangible and intangible fixed assets as at 31 December 2024 and 31 December 2023 are detailed as follows:

in LEK thousand	31 December 2024	31 December 2023
Tangible fixed assets	**3,265,285**	**3,468,559**
Land and buildings used by the Group for own purpose	683,370	673,336
Other land and buildings (investment property)	72,064	74,084
Office furniture, equipment, and other tangible fixed assets	1,096,794	1,204,409
Right of use assets (RoU)	1,413,057	1,516,730
Intangible fixed assets	**2,252,746**	**2,208,500**
Software	2,252,746	2,208,500
Total	**5,518,031**	**5,677,059**

There are no tangibles and intangible assets pledged as collateral as at 31 December 2024 (2023: none).

The item software comprises internally developed software amounting to Lek 110,153 thousand (2023: 115,123). The fair value of investment properties carried at cost model as at 31 December 2024 is 63,404 thousand lek, 31 December 2023 is 63,187 thousand lek.

Rental income from investment property of Lek 2,422 thousand (2023: Lek 4,619 thousand) has been recognised in other net operating income (please refer to note 22).

In LEK thousand	Tangible fixed asset	Land and buildings used by the Bank for own purpose	Other land and buildings (investment property)	Office furniture, equipment and other tangible fixed assets	Right of use assets (rou)	Intangible fixed assets	Software and licences	Total
As at January 1, 2024	**7,021,766**	**1,027,853**	**109,244**	**3,588,998**	**2,295,671**	**4,593,591**	**4,593,591**	**11,615,357**
Additions	408,434	56,668	-	209,689	142,077	402,243	402,243	810,677
Disposals	(213,337)	(401)	-	(151,843)	(61,093)	(67,627)	(67,627)	(280,964)
Transfers	(5,510)	(196)	-	196	(5,510)	-	-	(5,510)
Cost as at December 31, 2024	7,211,353	1,083,924	109,244	3,647,040	2,371,145	4,928,206	4,928,206	12,139,559

The Group recognized as at 31 December 2024 "internally generated intangible assets" in compliance to IAS 38 in the amount of Lek 110,153 thousand. They are staff cost & other relevant costs related to development of internally used software during calendar year 2024.

Fixed assets amortization is detailed as follows:

In LEK thousand	Tangible fixed asset	Land and buildings used by the Bank for own purpose	Other land and buildings (investment property)	Office furniture, equipment and other tangible fixed assets	Right of use assets (rou)	Intangible fixed assets	Software and licences	Total
Accumulated depereciation as at January 1, 2024	**(3,553,205)**	**(354,516)**	**(35,160)**	**(2,384,588)**	**(778,941)**	**(2,385,092)**	**(2,385,092)**	**(5,938,297)**
Accumulated depreciation on sales	**204,537**	389	-	146,702	57,446	**67,643**	67,643	**272,180**
Depreciation	**(597,400)**	(46,427)	(2,020)	(312,360)	(236,593)	**(358,012)**	(358,012)	**(955,412)**
Reclassification	-	-	-	-	-	-	-	-
Accumulated depereciation as at December 31, 2024	**(3,946,068)**	**(400,554)**	**(37,180)**	**(2,550,246)**	**(958,088)**	**(2,675,461)**	**(2,675,461)**	**(6,621,529)**
Carrying amount As at December 31, 2024	**3,265,285**	**683,370**	**72,064**	**1,096,794**	**1,413,057**	**2,252,746**	**2,252,746**	**5,518,031**

In LEK thousand	Tangible fixed asset	Land and buildings used by the Bank for own purpose	Other land and buildings (investment property)	Office furniture, equipment and other tangible fixed assets	Right of use assets (rou)	Intangible fixed assets	Software and licences	Total
As at January 1, 2023	**6,968,617**	**1,222,208**	**109,244**	**3,417,762**	**2,219,403**	**4,196,734**	**4,196,734**	**11,165,351**
Additions	**590,198**	58,880	-	444,184	87,134	**499,694**	499,694	**1,089,892**
Disposals	**(537,048)**	(253,234)	-	(272,948)	(10,866)	**(102,838)**	(102,838)	**(639,886)**
Transfers	-	-	-	-	-	-	-	-
Cost as at December 31, 2023	**7,021,766**	**1,027,853**	**109,244**	**3,588,998**	**2,295,671**	**4,593,591**	**4,593,591**	**11,615,357**

in LEK thousand	Tangible fixed asset	Land and buildings used by the Bank for own purpose	Other land and buildings (investment property)	Office furniture, equipment and other tangible fixed assets	Right of use assets (rou)	Intangible fixed assets	Software and licences	Total
Accumulated depreciation as at January 1, 2023	**(3,517,901)**	**(564,419)**	**(33,087)**	**(2,351,314)**	**(569,081)**	**(2,151,458)**	**(2,151,458)**	**(5,669,359)**
Accumulated depreciation on sales	**535,428**	252,731	-	262,069	20,628	**68,913**	68,913	**604,341**
Depreciation	**(570,735)**	(42,830)	(2,073)	(295,344)	(230,488)	**(302,545)**	(302,545)	**(873,280)**
Reclassification	-	-	-	-	-	-	-	-
Accumulated depereciation as at December 31, 2023	**(3,553,208)**	**(354,518)**	**(35,160)**	**(2,384,589)**	**(778,941)**	**(2,385,090)**	**(2,385,090)**	**(5,938,298)**
Carrying amount As at December 31, 2023	**3,468,559**	**673,336**	**74,084**	**1,204,409**	**1,516,730**	**2,208,500**	**2,208,500**	**5,677,059**

The Group leases various offices, IT Contracts and ATM Space. Rental contracts are typically made for fixed periods of 1 Year to 5 Years but have extension options. All leases are recognised as a right-of-use asset and a corresponding liability from the date when the leased asset becomes available for use by the Group.

The right of use assets by class of underlying items is analysed as follows:

	Buildings	IT Contracts	ATM Space	Cars	Total
Carrying amount at December 31, 2023	**1,482,085**	**3,007**	**18,577**	**13,061**	**1,516,730**
Additions	122,808	2,850	16,418	-	**142,076**
Early termination	(66,534)	-	(67)	-	**(66,601)**
Depreciation charge	(169,100)	(1,111)	(6,760)	(2,177)	**(179,148)**
Carrying amount at December 31, 2024	**1,369,259**	**4,746**	**28,168**	**10,884**	**1,413,057**

Total cash outflow for leases in 2024 was LEK 220,893 thousand (cash outflow 2023: LEK 233,031 thousand). Please see note 3 and 13 for Lease Liabilities disclosures. Please see note 24.3 for disclosure of the expense relat-ing to short-term leases accounted for applying IFRS 16.

11. Repossessed assets

Repossessed assets represent real estate assets acquired by the Group in settlement of overdue loans. The Group expects to dispose the assets in the foreseeable future. The assets do not meet the definition of non-current assets held for sale and are classified as inventories in accordance with IAS 2 "Inventories". The as-sets were initially recognised at fair value when acquired.

Repossessed assets as at 31 December 2024 and 31 December 2023 are detailed as follows:

in LEK thousand	31 December 2024	31 December 2023
Repossessed assets	930,952	1,277,706
Write down of repossessed assets	(704,638)	(918,264)
Total	**226,314**	**359,443**

Movements in the write down of repossessed assets are as follows:

in LEK thousand	31 December 2024	31 December 2023
Balance at the beginning of the year	918,264	853,947
Additional write down	73,800	166,136
Reversal of write down	(287,426)	(101,819)
Balance at the end of the year	704,638	918,264

12. Other assets

Other assets as at 31 December 2024 and 31 December 2023 are detailed as follows:

in LEK thousand	31 December 2024	31 December 2023
Prepayments and other deferrals	409,356	504,819
Other assets	963,756	577,531
Total	**1,373,112**	**1,082,350**

Prepayment and other deferrals are related to prepaid expenses for services that will be performed in future periods. Prepaid expenses in 2024 was LEK 302,288 thousand (2023: LEK 363,579 thousand). Other assets are related to Group's debtors.

13. Financial liabilities – amortized cost

Financial liabilities as at 31 December 2024 and 31 December 2023 are detailed as follows:

in LEK thousand	31 December 2024	31 December 2023
Due to Banks	**17,645,057**	**10,593,956**
Current accounts/overnight deposits/redeemable at notice	2,795,265	2,331,673
Deposits with agreed maturity	12,861,164	6,155,338
Subordinated financial liabilities	1,988,628	2,106,945
Deposits from customers	**252,259,692**	**254,723,652**
Current accounts/overnight deposits/redeemable at notice	224,845,135	226,282,082
Deposits with agreed maturity	27,414,557	28,441,570
Other financial liabilities	**730,550**	**1,857,056**
Lease liabilities lessee	**1,218,927**	**1,337,595**
Total	**271,854,226**	**268,512,259**

The above table provides a breakdown of deposits from banks and customers by product.

On 22nd of November 2023, RBAL obtained a subordinated debt from Raiffeisen International in the amount of EUR 20mn with a tenor of 10 years, non-cancelable for 5 years. As per official approval of the Local regulator, this instrument qualifies as Tier 2 capital for local capital requirements, starting from November 2023.

On October 2023, the Bank signed off Senior preferred facilities with EBRD in the amount EUR 50mn and OPEC Fund in the amount EUR 20mn, with a tenor of 6 years, non-cancelable for 5years, to be disbursed in tranches throughout period 2023-2025. As per official approval of the Local Resolution Authority (Central Bank of Alba-nia), these instruments qualify as MREL (minimum requirement for own funds and eligible liabilities) eligible according to LocaL Standards, starting from December 2023. As of 31st of December 2024, Bank received first and second tranches of the above-mentioned financing in the respective amounts, EUR 30mn from EBRD and EUR 20mn from OPEC Fund.

The following table shows the cashdiaries and non-cash effects for liabilities arising from financing activities according to IAS 7 as of December 31, 2024:

in LEK thousand	31 December 2023	Inflows	New leases	Dividend declared	Outflows	Interest accrued	Other changes (e.g. FX changes)	31 December 2024
Subordinated financial liabilities	2,106,945	-	-		(256,857)		138,540	**1,988,628**
Lease liabililities	1,337,595	-	156,827	-	(220,893)	28,653	(83,255)	**1,218,927**
Dividend payable	-	-	-	5,413,684	(5,413,684)	-	-	**-**
Total	**3,444,540**	**-**	**156,827**	**5,413,684**	**(5,891,434)**	**28,653**	**55,285**	**3,207,555**

The following table shows the cash and non-cash effects for liabilities arising from financing activities acording to IAS 7 as of December 31, 2023:

in LEK thousand	31 December 2022	Inflows	New leases	Dividend declared	Outflows	Interest accrued	Other changes (e.g. FX changes)	31 December 2023
Subordinated financial liabilities		2,106,945						2,106,945
Lease liabililities	1,522,083	-	105,001	-	(233,031)	27,633	(114,091)	1,337,595
Dividend payable	-	-	-	5,029,895	(5,029,895)	-	-	-
Total	1,522,083	-	105,001	5,029,895	(5,029,895)	27,633	(114,091)	3,444,540

Financial liabilities as at 31 December 2024 and 31 December 2023 are detailed as follows:

in LEK thousand	31 December 2024	31 December 2023
General governments	5,723,165	6,484,232
Banks	14,232,110	7,876,792
Other financial corporations	3,412,948	2,717,164
Non-financial corporations	54,620,443	55,420,786
Households	191,916,083	192,818,634
Total	**269,904,749**	**265,317,608**

The following table shows the maturity analysis of lease liabilities, showing the undiscounted lease payments to be paid after the reporting date; the respective carrying amounts are presented under financial liabilities –amortized cost:

in LEK thousand	31 December 2024	31 December 2023
Up to 1 year	211,443	213,618
More than 1 year, up to 5 years	700,929	729,396
More than 5 years	306,555	394,581
Total	**1,218,927**	**1,337,595**

14. Provisions for liabilities and charges

Provisions for liabilities and charges as at 31 December 2024 and 31 December 2023 are detailed as follows:

in LEK thousand	31 December 2024	31 December 2023
ECL for off-balance-sheet items	**231,873**	**289,121**
ECL for contingent liabilities and commitments	231,873	289,121
Accruals for staff	**148,725**	**145,918**
Bonus payments	148,725	145,918
Other provisions	**61,907**	**61,499**
Legal issues and tax litigation	59,517	61,399
Other provisions	2,390	100
Total	**442,505**	**496,538**

The following table shows the changes in provisions for liabilities and charges in the reporting year, although provisions for off-balance-sheet items pursuant to IFRS 9 of 231,873 LEK thousand are not included. These are shown under (31) Expected Credit losses.

in LEK thousand	1 January 2024	Allocation	Release	Usage	Transfers, exchange differences	31 dhjetor 2024
Accruals for staff	exchange	162,761	-	(159,592)	-	148,725
Bonus payments	differences	31 December 2024	-	(159,592)	-	148,725
Other provisions	**61,499**	**6,539**	**(4,673)**	**(1,458)**	-	**61,907**
Legal issues and tax litigation	61,399	4,149	(4,573)	(1,458)	-	59,517
Other provisions	100	2,390	(100)	-	-	2,390
Total	**207,055**	**169,300**	**(4,673)**	**(161,050)**	-	**210,632**

15. Deferred tax liabilities

Deferred tax assets/liabilities derived from the following items:

in LEK thousand	31 December 2023	Recognised in profit or loss	31 December 2024
Tangible and Intangible Fixed Assets	(51,208)	18,696	**(32,512)**
Total	(51,208)	18,696	**(32,512)**

in LEK thousand	31 December 2022	Recognised in profit or loss	31 December 2023
Tangible and Intangible Fixed Assets	(26,314)	(19,982)	(46,296)
Total	**(26,314)**	**(19,982)**	**(46,296)**

16. Current tax liabilities

Current tax liabilities is related with the tax to be paid to Tax authority regarding income tax (please refer to note 26 for more details).

in LEK thousand	31 December 2024	31 December 2023
Current tax liabilities	295,839	546,920
Total	**295,839**	**546,920**

17. Other liabilities

Other liabilites as at 31 December 2024 and 31 December 2023 are detailed as follows:

in LEK thousand	31 December 2024	31 December 2023
Deferred income and accrued expenses	443,211	292,808
Due to employees	79,314	67,556
Other tax liabilities	160,238	113,269
Sundry liabilities	307,497	253,680
Overdue vacations	**67,678**	**38,248**
Total	**1,057,938**	**765,561**

Accrued expenses are related to wages of personnel, marketing campaigns, rent, building security, IT, legal and oth-er operating expenses of the period for which an invoice has not been obtained yet, as such accruals have been booked. Accrued expenses amount in 2024 is thousand LEK 300,287 (2023: thousand LEK 268,838). The increase of liabilities compared to prior period is due to the increase in expenses for IT maintenance and legal expenses.

18. Equity

Equity as at 31 December 2024 and 31 December 2023 are detailed as follows:

in LEK thousand	31 December 2024	31 December 2023
Share capital	14,178,593	14,178,593
Other reserves	3,306,190	3,306,190
Retained earnings	16,527,603	14,269,751
hereof profit for the year	7,671,536	6,555,376
Total	**34,012,386**	**31,754,534**

The development of equity is shown under the statement of changes in equity section.

- **Share capital**

The Group's capital is LEK 14,178,593 thousand comprised of 7,000 shares (2023: 7,000 shares). The Parent's capi-tal is equal to LEK 14,178,593 thousand and the nominal value of each share is LEK 2,025,513 (2023: LEK 14,178,593 thousand comprised of 7,000 shares of nominal value of LEK 2,025,513 each).

- **Other reserves**

Legal reserve is established from the distribution of net profit after tax in accordance with the law No. 9901, dated 14 April 2008, "On Entrepreneurs and commercial companies".
The regulatory reserve is established in accordance wit the decision of the Supervisory Council of the Group of Albania No. 69, dated 18 December 2014.

in LEK thousand	31 December 2024	31 December 2023
Regulatory reserves	1,852,979	1,852,979
Legal reserves	1,453,211	1,453,211
Total	**3,306,190**	**3,306,190**

19. Net interest income

Net interest income for the year ended 31 December 2024 and 31 December 2023 are detailed as follows:

in LEK thousand	31 December 2024	31 December 2023
Interest income		
Financial assets - amortized cost	13,861,853	12,602,091
Other assets	96,748	98,121
Interest income on financial liabilities	-	-
Interest income calculated using the effective interest method	13,958,601	12,700,212
Other interest income	13,235	4,215
Total interest income	**13,971,836**	**12,704,427**
Interest expenses		
Financial liabilities - amortized cost	(707,679)	(216,028)
Interest expenses on financial assets	-	(1,581)
Interest expense on lease liabilities	(28,677)	(27,712)
Total interest expenses	**(736,356)**	**(245,321)**
Total	**13,235,480**	**12,459,106**

Interest income using effective interest rate recognized for Loans and advances in 2024 is LEK 9,453 million (2023: LEK 9,445 million).

Interest expense from Financial liabilities - amortized cost, is mostly related to the Subordinated Loan received from Raiffeisen International in 2024 is LEK 255 million (2023: LEK 29 million) and senior preferred loans received from EBRD and OPEC Fund (MREL elidgible) in 2024 is LEK 267 million (2023: LEK 8 million).

20. Net fee and commission income

Net fee and commission income for the year ended 31 December 2024 and 31 December 2023 are detailed as fol-lows:

in LEK thousand	31 December 2024	31 December 2023
Clearing, settlement and payment services	3,475,111	3,150,647
Loan business commissions	235,925	133,132
Custody services	36,272	37,449
Foreign exchange transactions	613,857	344,970
Other	790,971	704,418
Total fee and commission income from contracts with customers	**5,152,136**	**4,370,616**
Financial guarantee contracts and loan commitments	18,075	22,710
Total fee and commission income	**5,170,211**	**4,393,326**
Clearing, settlement and payment services	(1,539,733)	(1,411,932)
Loan and guarantee business	(219,790)	(231,379)
Other	(438,156)	(361,431)
Total Fee and commission expenses	**(2,197,679)**	**(2,004,742)**
Net fee and commission income	**2,972,532**	**2,388,584**

Fee and commissions do not include fees received for loans and advances to customers (transaction costs), which are adjusted on initial recognition for the carrying value of these financial assets as per effective interest rate meth-od. Fee and commission income from contracts with customers is measured based on the consideration specified in a contract with a customer. The Group recognises revenue when it transfers control over a service to only a cus-tomer.

The Group provides banking services only to retail and corporate customers, including account management, provision of overdraft facilities, foreign currency exchange transactions, credit card and servicing fees. Fees for ongoing account management are charged to the customer's account on a monthly basis. The Group sets the rates separately for retail and corporate banking customers on a regular basis. In other income is inlcuded the Administration in-come, which represents asset management fees and is considered as revenue from services rendered to Pensions/Investment Funds under administration. This income is recognized over time. Almost all other part of other income is comprised of the broker fees collected from the insurance services provided to the clients. The group has been licensed by the financial supervisory authority in Albania to offer the insurance broker services to clients which request it. The group works with several insurance companies as their agent to offer such services and col-lects a fee from them monthly.

Transaction-based fees for interchange, foreign currency exchange transactions and overdrafts are charged to the customer's account when the transaction takes place. The Group has not disclosed information about the allocation of the transaction price to remaining performance obligations in contracts. This is due to the contract periods being typically less than one year in duration. Where contracts do have a longer duration, they are subject to the variable consideration constraint, and, therefore, not included within the transaction price.

Servicing fees are charged on a monthly basis and are based on fixed rates reviewed regularly by the Group.

Revenue from account service and servicing fees is recognised over time as the services are provided. Revenue related to transactions is recognised at the point in time when the transaction takes place.

21. Net trading (expense)/income

Net trading for the year ended 31 December 2024 and 31 December 2023 are detailed as follows:

in LEK thousand	31 December 2024	31 December 2023
Net (loss)/gain on financial assets and liabilities - fair value through profit or loss	(43,894)	(33,205)
Debt securities	(43,894)	(33,205)
Exchange differences, net	483,400	(185,019)
Total	**439,506**	**(218,224)**

Exchange differences, net has a positive result due to the decreasing trend of EUR/ALL exchange rate by 5.84%, from 103.88 in Dec'23 vs 98.15 in Dec'24.

22. Other net operating loss

Other net operating for the year ended 31 December 2024 and 31 December 2023 are detailed as follows:

in LEK thousand	31 December 2024	31 December 2023
Sundry operating income	300,041	132,140
Rental income from investment property incl. Operating lease (real estate)	2,422	4,619
Other operating income	302,463	136,759
Write down of repossessed assets	(73,800)	(166,136)
Expense from allocation and release of other provisions	(5,887)	(169,894)
Loss on derecognition of non-financial assets	(4,091)	(682)
Sundry operating expenses	(290,636)	(114,029)
Other operating expense	(374,414)	(450,741)
Total	**(71,951)**	**(313,982)**

Sundry operating expenses balance relates to the result from other operating activities of the group. It is mostly related to expenses from the termination of the building lease contract, expenses losses from the written-off of debtors, fraud losses, losses from cash operations and ATM-POS. During 2024 there is a increase in the sundry operating expenses as the RBAL completed the sale of Albanian Gov Eurobond from HTM portfolio, during July – Aug 2024. The sale led to booking of loss from derecognition in the amount of LEK 127 million (2023: LEK 0 million).

23. General administrative expenses

General administrative expenses for the year ended 31 December 2024 and 31 December 2023 are detailed as follows:

in LEK thousand	31 December 2024	31 December 2023
Staff expenses	(3,235,188)	(2,866,640)
Other administrative expenses	(2,426,681)	(2,187,034)
Depreciation of tangible and intangible fixed assets	(954,663)	(884,646)
Total	**(6,616,532)**	**(5,938,320)**

23.1 Staff expenses

Staff expenses for the year ended 31 December 2024 and 31 December 2023 are detailed as follows:

in LEK thousand	31 December 2024	31 December 2023
Wages and salaries	(2,786,012)	(2,456,962)
Social security costs and staff-related taxes	(330,642)	(294,448)
Other voluntary social expenses	(54,805)	(56,232)
Staff expenses under deferred bonus program	(27,397)	(31,257)
Expenses for defined contribution pension plans	(33,610)	(17,651)
Termination benefits	(2,722)	(10,090)
Total	**(3,235,188)**	**(2,866,640)**

23.1.1 Expenses for defined contribution pension plans

Expenses for defined contribution pension plans for the year ended 31 December 2024 and 31 December 2023 are detailed as follows:

in LEK thousand	31 December 2024	31 December 2023
Members of the management board and senior staff	(9,472)	(7,405)
Other employees	(20,647)	(20,336)
Total	**(30,119)**	**(27,741)**

23.2 other administrative expenses

Other administrative expenses for the year ended 31 December 2024 and 31 December 2023 are detailed as follows:

in LEK thousand	31 December 2024	31 December 2023
IT expenses	(1,095,958)	(1,010,462)
Legal, advisory and consulting expenses	(244,751)	(183,498)
Expenses for Audit services	(16,954)	(19,224)
Office space expenses	(232,661)	(219,950)
Advertising, PR and promotional expenses	(287,788)	(255,692)
Security expenses	(129,816)	(130,260)
Car expenses	(43,875)	(44,607)
Other taxes	(43,620)	(43,298)
Expenses related to credit risk	(25,675)	(25,754)
Training expenses for staff	(29,815)	(30,746)
Traveling expenses	(37,332)	(35,180)
Expenses for leases	(14,617)	(14,624)
Communication expenses	(14,411)	(15,555)
Office supplies	(18,729)	(18,458)
Sundry administrative expenses	(190,679)	(139,726)
Total	**(2,426,681)**	**(2,187,034)**

23.3 Depreciation of tangible and intangible assets

Depreciation of tangible and intangible assets for the year ended 31 December 2024 and 31 December 2023 are detailed as follows:

in LEK thousand	31 December 2024	31 December 2023
Tangible fixed assets	(596,668)	(579,375)
Intangible fixed assets	(357,995)	(305,271)
Total	**(954,663)**	**(884,646)**

24. Special govermental measures

Special governmental measures for the year ended 31 December 2024 and 31 December 2023 are detailed as follows:

in LEK thousand	31 December 2024	31 December 2023
Resolution fund	(150,592)	(140,524)
Deposit insurance fees	(674,526)	(660,569)
Total	**(825,118)**	**(801,093)**

The contribution for the resolution fund is in compliance with the Law no. 133/2016 on "On Recovery and Interven-tion in Groups in the Republic of Albania" and relevant bylaws, where each Group in Albania pays an annual contri-bution calculated in a proportionate manner with the relevant market share, for the creation of a certain level of emer-gency intervention fund. This fund is calculated by Bank of Albania and is managed by Albanian Deposit In-surance Agency" (ADIA) in compliance with the investment policy of the financial instruments of the fund.

The calculation of the deposit insurance premium is based on regulation no. 53/2014 dated 22.05.2014 "On Deposit Insurance".

25. Impairment recoveries/(expenses) on financial assets

Impariment expenses/recoveries on financial assetsfor the year ended 31 December 2024 and 31 December 2023 are detailed as follows:

in LEK thousand	31 December 2024	31 December 2023
Loans and advances	(154,895)	311,234
Debt securities	25,756	15,122
Loan commitments, financial guarantees and other commit-ments given	56,992	(72,499)
Total	**(72,147)**	**253,857**

Impairment loan losses in December 2024 showed a negative outcome, primarily driven by higher expenses related to Stage 3 corporate customers. This was due to new default entries and the implementation of an updated Special Risk Factor. Additionally, the retail segment experienced an increase in Stage 3 exposures, mainly attributable to the introduction of an ESG overlay factor applied to the Individual Mortgage Performing Portfolio.

26. Income taxes

Income tax in Albania is assessed at the rate of 15% (2023: 15%) of taxable income:

in LEK thousand	31 December 2024	31 December 2023
Current income taxes	(1,269,639)	(788,150)
Deferred taxes	(4,913)	(19,982)
Total	**(1,274,552)**	**(808,133)**

The following reconciliation shows the relationship between profit before tax and the effective tax burden:

in LEK thousand	31 December 2024	31 December 2023
Profit before tax	**9,061,770**	**7,829,928**
Theoretical income tax expense using the domestic tax rate of 15%	1,359,266	1,174,489
Tax effect of:		
Tax-exempt income/expense	(48,875)	(8,218)
Non-deductible expenses	80,940	118,048
Tax-exempt income	(1,097)	(9,767)
Effective tax burden	**1,390,234**	**1,274,552**
Effective tax rate in per cent	15.34%	16.28%

The Group's uncertain tax positions are reassessed by management at the end of each reporting period. Liabilities are recorded for income tax positions that are determined by management as more likely than not to result in addi-tional taxes being levied if the positions were to be challenged by the tax authorities. The assessment is based on the interpretation of tax laws that have been enacted or substantively enacted by the end of the reporting period, and any known court or other rulings on such issues. Liabilities for penalties, interest and taxes other than on income are recognized based on management's best estimate of the expenditure required to settle the obligations at the end of the reporting period.

27. Fair value of financial instruments

Fair value measurement in the Group is based on external data sources. Financial instruments measured on the basis of quoted market prices are mainly listed securities. These financial instruments are assigned to Level I of the fair value hierarchy.

If a market value is used and the market cannot be considered to be an active market in view of its restricted liquidi-ty, the underlying financial instrument is assigned to Level II of the fair value hierarchy. If no market prices are avail-able, valuation models based on observable market data are used to measure these financial instruments. These observable market data are mainly reproducible yield curves, credit spreads and volatilities.

If fair value cannot be measured using either sufficiently regularly quoted market prices (Level I) or using valuation models which are entirely based on observable market prices (Level II), then individual input parameters which are not observable on the market are estimated using appropriate assumptions. If parameters which are not observ-able on the market have a significant impact on the measurement of the underlying financial instrument, it is as-signed to Level III of the fair value hierarchy. These measurement parameters, which are not regularly observable, are mainly credit spreads derived from internal estimates.

Assigning certain financial instruments to the level categories requires regular assessment, especially if measure-ment is based on both observable parameters and also parameters which are not observable on the market. The clas-sification of an instrument can also change over time to take account of changes in market liquidity and thus price transparency.

Fair value of financial instruments reported at fair value

In the tables below, the financial instruments reported at fair value in the statement of financial position are grouped according to items in the statement of financial position and classified according to measurement category. A dis-tinction is made as to whether the measurement is based on quoted market prices (Level I), or whether the valuation models are based on observable market data (Level II) or on parameters which are not observable on the market (Level III). Items are assigned to levels at the end of the reporting period.

Assets	31 December 2024			31 December 2023		
in LEK thousand	Level I	Level II	Level III	Level I	Level II	Level III
Financial assets - fair value through profit or loss			**415,043**			**137,651**
Debt securities			415,043			137,651

Qualitative information for the valuation of financial instruments in Level III

Assets 2024	Fair value in LEK thousand	Valuation technique	Significant unobservable inputs	Range of unobservable inputs
Financial assets - fair value through profit or loss	-	-	-	-
Treasury bills, fixed coupon bonds	415,043	Discounted cash flow method (DCF)	ALL base rate -last auctions yields -T bills	3.19% - 2.97%
Total	**415,043**			

Fair value of financial instruments not reported at fair value

The financial instruments in the following table are not managed on a fair value basis and are therefore not measured at fair value in the statement of financial position. For these instruments the fair value is calculated only for the purposes of providing information in the notes and has no impact on the consolidated statement of financial posi-tion or on the consolidated income statement. The calculation of the fair value of receivables and liabilities not re-ported at fair value was reclassified and, among other things, input factors are also used in the models which are not observable on the market, but which have a significant influence on the calculated value. A simplified fair value calculation method for retail and non-retail portfolios is applied for all short term transactions (transactions with maturities up to 3 months). The fair value of these short term transactions will be equal to the carrying amount of the product. For the other transactions the methodology as described in the section entitled Fair value of financial in-struments reported at fair value is applied.

2024 in LEK thousand	**Level I**	**Level II**	**Level III**	**Fair value**	**Carrying amount**	**Difference**
Assets						
Cash, cash balances at central banks and other demand deposits	-	39,525,394	-	39,525,394	39,525,394	-
Debt securities	-	-	107,590,330	107,590,330	107,154,835	435,495
Loans and advances	-	-	153,396,979	153,396,979	153,396,979	-
Liabilities						
Deposits and subordinated	-	-	269,843,669	269,843,669	269,904,749	(61,080)
Other financial liabilities	-	-	1,949,477	1,949,477	1,949,477	-

2023 in LEK thousand	**Level I**	**Level II**	**Level III**	**Fair value**	**Carrying amount**	**Difference**
Assets						
Cash, cash balances at central banks and other demand deposits	-	42,611,051	-	42,611,051	42,611,051	-
Debt securities	-	-	103,776,989	103,776,989	104,576,268	(799,279)
Loans and advances	-	-	147,592,146	147,592,146	147,592,146	-
Liabilities						
Deposits and subordinated	-	-	265,277,477	265,277,477	265,317,608	(40,131)
Other financial liabilities	-	-	3,194,651	3,194,651	3,194,651	-

Level I Quoted market prices
Level II Valuation techniques based on market data
Level III Valuation techniques not based on market data

28. Loan commitments, financial guarantees and other commitments

The following table shows the loan commitments given, financial guarantees and other commitments given.

in LEK thousand	**31 December 2024**	**31 December 2023**
Loan commitments given	19,465,470	21,903,988
Financial guarantees given and other commitments given	9,960,292	9,048,932
Total	**29,425,762**	**30,952,920**
Expected credit losses for off-balance-sheet items	(231,873)	(289,121)

The following table shows the nominal amount and provisions for off-balance-sheet liabilities from commitments and financial guarantees.

2024 in LEK thousand	Nominal amount			Provisions for off-balance-sheet items under IFRS 9		
	Stage 1	Stage 2	Stage 3	Stage 1	Stage 2	Stage 3
Banks	707,203	16,723	-	6	5	-
Other financial corporations	285,200	-	-	981	-	-
Non-financial corporations	22,270,844	1,706,519	97,307	67,230	20,664	89,084
Households	4,323,684	3,804	14,478	39,711	1,028	13,164
Total	**27,586,931**	**1,727,046**	**111,785**	**107,928**	**21,697**	**102,248**

2023 in LEK thousand	Nominal amount			Provisions for off-balance-sheet items under IFRS 9		
	Stage 1	Stage 2	Stage 3	Stage 1	Stage 2	Stage 3
Banks	1,568,419	59,104	-	19	15	-
Other financial corporations	-	-	-	-	-	-
Non-financial corporations	24,119,320	1,027,520	108,762	117,439	8,268	105,127
Households	4,048,673	4,616	16,506	42,889	1,023	14,341
Total	**29,736,412**	**1,091,240**	**125,268**	**160,347**	**9,306**	**119,468**

Legal

In the normal course of business, the Group may be presented with legal claims. As at December 31, 2024, the Group had outstanding legal cases considered normal through the course of business, having no material impact on the Group's activity.

29. Credit quality analysis

The credit quality analysis of financial assets is a point in time assessment of the probability of default of the assets. It should be noted that for financial assets in stage 1 and 2, due to the relative nature of significant increase in credit risk it is not necessarily the case that stage 2 assets have a lower credit rating than stage 1 assets, although this is normally the case. The following list provides a description of the Banking of assets by probability of default:

- Excellent are exposures which demonstrate a strong capacity to meet financial commitments, with negligi-ble or no probability of default (PD range 0.0000 - 0.0300 per cent).
- Strong are exposures which demonstrate a strong capacity to meet financial commitments, with negligible or low probability of default (PD range 0.0300 - 0.1878 per cent).
- Good are exposures which demonstrate a good capacity to meet financial commitments, with low default risk (PD range 0.1878 - 1.1735 per cent).
- Satisfactory are exposures which require closer monitoring and demonstrate an average to fair capacity to meet financial commitments, with moderate default risk (PD range 1.1735 - 7.3344 per cent).
- Sub-standard are exposures which require varying degrees of special attention and default risk is of greater concern (PD range 7.3344 - 100.0 per cent).
- Credit impaired are exposures which have been assessed as impaired (PD range 100.0 per cent).

The following table shows the carrying amounts of the financial assets – amortized cost by rating category and stag-es:

2024 **in LEK thousand**	Stage 1 12 month ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	Total
Excellent	18,803,189	-	-	18,803,189
Strong	37,741,491	3,522	-	37,745,013
Good	119,508,074	297,175	-	119,805,249
Satisfactory	54,552,227	9,647,507	-	64,199,734
Substandard	5,357,094	7,478,016	-	12,835,110
Credit impaired	-	-	7,358,534	7,358,534
Unrated	8,020,782	227,812	40,647	8,289,241
Gross carrying amount	**243,982,857**	**17,654,032**	**7,399,181**	**269,036,070**
Accumulated impairment	(1,258,310)	(1,774,367)	(5,451,579)	(8,484,256)
Carrying amount	**242,724,547**	**15,879,665**	**1,947,602**	**260,551,814**

2023 **in LEK thousand**	Stage 1 12 month ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	Total
Excellent	19,388,808	-	-	19,388,808
Strong	44,755,205	18,753	-	44,773,958
Good	109,331,892	3,217,659	-	112,549,551
Satisfactory	48,547,489	6,256,690	-	54,804,179
Substandard	5,818,754	8,050,773	-	13,869,527
Credit impaired	-	-	7,628,278	7,628,278
Unrated	7,478,778	180,687	40,173	7,699,638
Gross carrying amount	**235,320,926**	**17,724,562**	**7,668,451**	**260,713,939**
Accumulated impairment	(1,270,894)	(1,782,483)	(5,492,148)	(8,545,525)
Carrying amount	**234,050,032**	**15,942,079**	**2,176,303**	**252,168,414**

The following table shows the nominal values of off-balance-sheet commitments by rating category and stages:

2024 **in LEK thousand**	Stage 1 12 month ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	Total
Excellent	365,805	-	-	365,805
Strong	1,285,129	19,099	-	1,304,228
Good	11,037,385	154,449	-	11,191,834
Satisfactory	10,161,650	1,215,988	-	11,377,638
Substandard	196,243	336,745	-	532,988
Credit impaired	-	-	111,785	111,785
Unrated	4,540,719	765	-	4,541,484
Total	**27,586,931**	**1,727,046**	**111,785**	**29,425,762**
Provisions for off-balance-sheet items	(107,928)	(21,697)	(102,248)	**(231,873)**

The category unrated includes off-balance sheet commitments for several retail customers for whom no ratings are available. The rating is therefore based on qualitative factors.

2023 **in LEK thousand**	Stage 1 12 month ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	Total
Excellent	94,731	-	-	94,731
Strong	2,420,204	5,186	-	2,425,390
Good	11,523,479	190,287	-	11,713,766
Satisfactory	11,308,154	719,680	-	12,027,834
Substandard	201,794	175,284	-	377,078
Credit impaired	-	-	125,268	125,268
Unrated	4,188,050	803	-	4,188,853
Total	**29,736,412**	**1,091,240**	**125,268**	**30,952,920**
Provisions for off-balance-sheet items under IFRS 9	(160,347)	(9,306)	(119,468)	**(289,121)**

The category unrated includes off-balance sheet commitments for several retail customers for whom no ratings are available. The rating is therefore based on qualitative factors.

30. Collateral and maximum exposure to credit risk

It should be noted that the collateral values shown in the tables are capped at the maximum value of the gross carry-ing amount of the financial asset. The following table shows financial assets at amortized cost subject to impair-ment:

2024 **in LEK thousand**	Maximum exposure to credit risk	Fair value of collateral	Credit risk exposure net of collateral
Central Banks	643	-	643
General governments	107,054,977	-	107,054,977
Banks	19,797,063	-	19,797,063
Other financial corporations	4,415,681	-	4,415,681
Non-financial corporations	70,015,197	26,827,285	43,187,911
Households	59,166,417	23,458,445	35,707,972
Commitments/guarantees issued	30,716,559	5,754,059	24,962,501
Total	**291,166,537**	**56,039,789**	**235,126,748**

2023 **in LEK thousand**	Maximum exposure to credit risk	Fair value of collateral	Credit risk exposure net of collateral
Central Banks	291	-	291
General governments	104,555,950	-	104,555,950
Banks	27,248,444	-	27,248,444
Other financial corporations	4,543,014	-	4,543,014
Non-financial corporations	65,941,996	20,568,157	45,373,839
Households	53,881,504	21,335,971	32,545,533
Commitments/guarantees issued	30,982,899	8,070,194	22,912,705
Total	**287,154,098**	**49,974,322**	**237,179,776**

The following table contains details of the maximum exposure from financial assets in Stage 3 and the correspond-ing collateral:

2024 in LEK thousand	Maximum exposure credit risk (Stage 3)	Fair value of collateral (Stage 3)	Credit risk exposure net of collateral (Stage 3)	Impairment (Stage 3)
Non-financial corporations	1,348,621	941,138	407,482	(3,931,800)
Households	813,140	121,001	692,140	(1,617,967)
Commitments/ guarantees issued	111,785	8,222	103,563	(102,248)
Total	**2,273,546**	**1,070,361**	**1,203,185**	**(5,652,015)**

2023 in LEK thousand	Maximum exposure credit risk (Stage 3)	Fair value of collateral (Stage 3)	Credit risk exposure net of collateral (Stage 3)	Impairment (Stage 3)
Non-financial corporations	1,343,482	922,415	421,068	(3,905,402)
Households	873,836	198,877	674,958	(1,586,745)
Commitments/ guarantees issued	125,268	3,635	121,633	(119,468)
Total	**2,342,586**	**1,124,927**	**1,217,659**	**(5,611,615)**

31. Expected credit losses

Impairment losses for all debt instruments which are not measured at fair value in profit or loss and for loan commitments and financial guarantees (hereinafter referred to in this section as financial instruments) are recorded in the amount of the expected credit loss. Equity instruments are not subject to the impairment rules of IFRS 9.

If the credit risk for financial instruments has significantly increased since initial recognition, the impairment for a financial instrument must be measured at the amount of the expected credit losses over the (remaining) term. If the credit risk for financial instruments has not significantly increased since initial recognition, the impairment for a financial instrument must be measured at the amount of the present value of an expected twelve-month loss. The expected twelve-month loss is that portion of the credit losses expected over the lifetime which correspond to the expected credit losses from expected default events for a financial instrument within the twelve months following the reporting date. RBI assesses at the end of every reporting period whether or not the credit risk for a financial instrument has significantly increased since initial recognition. Based on the method outlined above, RBI classifies its financial instruments into Stage 1, Stage 2, Stage 3 and POCI as follows:

- Stage 1 essentially includes all financial instruments whose credit default risk has not significantly increased since their initial recognition. Stage 1 also includes all transactions which show a low credit risk on the reporting date and where RBI has utilized the option available under IFRS 9 to waive the assessment of a significant increase in credit risk. A low credit risk exists for all debt securities whose internal credit rating on the reporting date is within the investment grade range. RBI did not make use of the exemption for low credit risks in the lending business. On ini-tial recognition of loans, the bank records an impairment in the amount of the expected twelve-month loss. Stage 1 also includes loans where the credit risk improved again, and which have thus been reclassified from Stage 2.
- Stage 2 includes those financial instruments whose credit risk has significantly increased since their initial recogni-tion and which, as at the reporting date, are not classified as transactions with limited credit risk. Impairments in Stage 2 are recognized in the amount of the financial instrument's lifetime expected credit loss. Stage 2 also in-cludes loans where the credit risk improved, and which have thus been reclassified from Stage 3.
- Stage 3 includes financial instruments which are classified as impaired as at the reporting date. RBI's criterion for this classification is the definition of a default. The expected credit loss over the entire remaining lifetime of the financial instrument is also to be used as the basis for recognizing impairment of Stage 3 loans in default.
- POCI: Aktivet financiare të blera ose të krijuara nga kreditë janë aktive financiare të cilat ishin zhvlerësuar tashmë në kohën e njohjes fillestare. Në njohjen fillestare, aktivi regjistrohet me vlerën e drejtë pa ndonjë zhvlerësim, duke përdorur një normë efektive të interesit që është rregulluar për aftësinë kreditore. Zhvlerësimi i njohur në periudhat vijuese është i barabartë me ndryshimin kumulativ në humbjen e pritshme të kredisë të instrumentit financiar që nga njohja fillestare në pasqyrën e pozicionit financiar. Kjo mbetet baza për matje, edhe nëse vlera e instrumentit financiar është rritur.

Expected credit losses from financial instruments should reflect an unbiased and probability-weighted amount that is determined by evaluating a range of possible outcomes, the time value of money and reasonable and supportable information that is available without undue cost or effort at the reporting date about past events, current conditions and forecasts of future economic conditions. RBI calculates the expected credit loss as the probability-weighted, expected value of all payment defaults taking into account various scenarios over the expected lifetime of a finan-cial instrument discounted with the effective interest rate that was originally determined. The expected credit losses are the present value of the difference between the contractually agreed and actually expected cash flows.

General approach

The measurement of impairment for expected credit loss on financial assets measured at amortized cost and fair value through other comprehensive income is an area that requires the use of complex models and significant assumptions about future economic conditions and payment behavior. Significant judgements are required in applying the accounting requirements for measuring expected credit losses, inter alia:

- Determining criteria for significant increase in credit risk
- Choosing appropriate models and assumptions for the measurement of expected credit losses
- Establishing the number and relative weightings of forward-looking scenarios for each type of product/market and the associated expected credit losses
- Establishing groups of similar financial assets for the purposes of measuring expected credit losses.

Credit risk is the risk of suffering financial loss should customers, clients or market counterparties fail to fulfil their contractual obligations or fail to do so on time. Credit risk arises mainly from interbank, commercial and personal loans, and loan commitments, but can also arise from financial guarantees given, such as, credit guarantees, letters of credit, and acceptances.

Other credit risks arise from investments in debt securities and from trading activities (trading credit risks), as well as from settlement balances with market counterparties and reverse repurchase agreements.

Models are applied in order to estimate the likelihood of defaults occurring, the associated default ratios and the default correlations between counterparties. Group measures credit risks using the probability of default (PD), exposure at default (EAD) and loss given default (LGD).

IFRS 9 prescribes a three-stage model for impairment based on changes in credit quality from the point of initial recognition. ESG factors are not yet explicitly included in ECL modelling.

Significant increase in credit risk

The Group considers a financial instrument to have experienced a significant increase in credit risk when one or more of the following quantitative, qualitative or backstop criteria have been met:

Quantitative criteria

Rating systems incorporate all available quantitative and qualitative information relevant for forecasting the credit risk into the PD. This metric is based primarily on a statistical selection and weighting of all available indicators. In addition, the PD adjusted in accordance with IFRS 9 requirements takes into account not only historical information and the current economic environment, but also, in particular, forward-looking information such as the forecast for the development of macroeconomic conditions. As a consequence, the PD are used as a frame of reference for assessing whether the credit risk of a financial instrument has risen significantly since the date of its initial recognition. By embedding the review of the relative transfer criterion within the robust processes and procedures of the bank's Group-wide credit risk management framework, the bank ensures that a significant increase in the credit risk is identified in a reliable and timely manner based on objective criteria. The review to determine whether the credit default risk as at the financial reporting date has risen significantly since the initial recognition of the respective financial instrument is performed as at the reporting date. This review compares the observed probability of default over the residual maturity of the financial instrument (Lifetime PD) against the lifetime PD over the same period as expected on the date of recognition.

The Group uses quantitative criteria as the primary indicator of significant increase in credit risk for all material portfolios. For quantitative staging the bank compares the lifetime PD curve at reporting date with the forward lifetime PD curve at the date of initial recognition. Given the different nature of products between non-retail and retail customers, the methods for assessing potential significant increases in credit risk also differ slightly.

In order to make the two curves for credit risk of non-retail customers comparable, the PDs are scaled down to annualized PDs. A significant increase in credit risk is considered to have occurred if the PD increase was 250 per cent or greater. For longer maturities the threshold of 250 per cent is reduced to account for a maturity effect.

For retail exposures, the remaining cumulative PDs are compared as the logit difference between lifetime PD at reporting dateand lifetime PD at origination conditional to survival up to the reporting date. A significant increase in credit risk is considered to have occurred once this logit difference is above a certain threshold. The threshold levels are calculated separately for each portfolio which is covered by individual rating-based lifetime PD models.

Qualitative criteria

Group uses qualitative criteria in addition to quantitative criteria to recognize a significant increase in credit risk for all material portfolios. A movement to Stage 2 takes place when the criteria below are met.

For the corporate customer, sovereign, bank and project finance portfolios, a transfer takes place if the borrower meets one or more of the following criteria:

- Detection of first signs of credit deterioration in the early warning system
- Changes in contract terms as a forbearance measure
- External risk factors with a potentially significant impact on the client's repayment ability

The assessment of a significant increase in credit risk incorporates forward-looking information and is performed on a quarterly basis at an individual transaction level for all corporate customer, sovereign, bank and project finance portfolios.

For retail portfolios, a Stage 2 transfer takes place if the borrower meets one or more of the following qualitative criteria:

- Forbearance flag active
- Default of material exposure (> 20 per cent of total exposure) of the same customer on another product (PI seg-ment)
- Holistic approach – applicable for cases where new forward-looking information becomes available for a segment or portion of the portfolio and this information is not yet captured in the rating system. If such cases are identi-fied, management measures this portfolio with lifetime expected credit losses (as a collective assessment).

Backstop

A backstop is applied and the financial instrument considered to have experienced a significant increase in credit risk if the borrower is more than 30 days overdue on its contractual payments. In a few limited cases, financial assets which are more than 30 days overdue may not show a significantly higher credit risk.

Low credit risk exemption

In selected cases for mostly sovereign debt securities, bank makes use of the low credit risk exemption. All securi-ties which are presented as low credit risk have a rating equivalent to investment grade or better i.e. minimum S&P BBB-, Moody's Baa3 or Fitch BBB-. Bank has not used the low credit risk exemption for any lending business.

Definition of default and credit-impaired assets

The Group defines a financial instrument as in default, which is fully aligned with the definition of credit-impaired.

The "Credit-impaired" indicators according to IFRS 9 is assessed by referring to quantitative and qualitative triggers. Firstly, a borrower is considered to be defaulted, if they are assessed to be more than 90 days past due. Second-ly, a borrower is considered to be in default if they are in significant financial difficulty and are unlikely to repay any credit obligation in full. The default definition has been applied consistently to model the Probability of Default (PD), Exposure at Default (EAD) and Loss given Default (LGD) throughout bank's expected loss calculations.

Explanation of inputs, assumptions and estimation techniques

The expected credit loss is measured on either a 12-month or lifetime basis depending on whether a significant increase in credit risk has occurred since initial recognition or whether an asset is considered to be credit-impaired. Forward-looking economic information is also included in determining the 12-month and lifetime PD, EAD and LGD. These assumptions vary by product type. Expected credit losses are the discounted product of the probability of default (PD), loss given default (LGD) and exposure at default (EAD). Effective interest rate is used for the ECL discount.

The basis for all Retail ECL component parameter estimates are the relating Pillar I/II models developed within the Basel framework.

Probability of Default (PD)

The probability of default represents the likelihood of a borrower defaulting on its financial obligation either over the next twelve months or over the remaining lifetime of the obligation. In general, the lifetime probability of de-fault is calculated using the regulatory twelve-month probability of default, stripped of any conservative adjust-ments, as a starting point. Thereafter various statistical methods are used to generate an estimate of how the default profile will develop from the point of initial recognition throughout the lifetime of the loan or portfolio of loans. The default profile is based on historical observed data and parametric functions.

Different models have been used to estimate the default profile of outstanding lending amounts and these can be grouped into the following categories:

- Corporate customers, project finance and financial institutions: The default profile is generated using a paramet-ric survival regression (Weibull) approach. Forward-looking information is incorporated into the probability of default using the Vasicek one factor model. The default rate calibration is based on Kaplan Maier methodology with withdrawal adjustment.
- Retail lending and mortgage loans: The default profile is generated using parametric survival regression in com-peting risk frameworks. Forward-looking information is incorporated into the probability of default using satel-lite models.
- Sovereigns, local and regional governments, insurance companies and collective investment undertakings: The default profile is generated using a transition matrix approach. Forward-looking information is incorporated into the probability of default using the Vasicek one factor model.

In the limited circumstances where some inputs are not fully available grouping, averaging and benchmarking of inputs is used for the calculation.

Loss Given Default (LGD)

Loss given default represents the Group's expectation of the extent of loss on a defaulted exposure. Loss given default varies by type of counterparty and product. Loss given default is expressed as a percentage loss per unit of exposure at the time of default. Loss given default is calculated on a twelve-month or lifetime basis, where twelve-month loss given default is the percentage of loss expected to be made if the default occurs in the next twelve months and lifetime loss given default is the percentage of loss expected to be made if the default occurs over the remaining expected lifetime of the loan.

Different models have been used to estimate the loss given default of outstanding lending amounts and these can be grouped into the following categories:

- Sovereign: The loss given default is found by using market implied sources, as no sufficient loss data is avail-able for the sovereign segment. The method is based on external sovereign default events between 1998 and 2015.Only the GDP turned out to have a significant impact.
- Corporate customers, project finance, financial institutions, local and regional governments, insurance com-pa-nies: The loss given default is generated by discounting cash flows collected during the workout process. For-ward looking information is incorporated into the loss given default using the Vasicek model.
- Retail mortgages and other retail lending: For portfolios with developed IRB models, the pool level Basel LGD values is used as a starting point for deriving IFRS 9 compliant LGD estimates.

The key difference between Basel LGD and IFRS 9 LGD is that for Basel the intention is to have a TTC average estimate of the discounted value of post-default recoveries enlarged with margins of conservatism to account for pru-dency, whereas for IFRS 9 the LGD estimate has to be an unbiased point in time estimate that should consider for-ward-looking information. Therefore, the Basel LGD estimates must be adjusted for IFRS 9 purposes.

- Retail lending and mortgage loans: The loss given default is generated by stripping the downturn adjustments and other margins of conservatism from the regulatory loss given default. Forward-looking information is incorpo-rated into the loss given default using various satellite models.

In the limited circumstances where some inputs are not fully available alternative recovery models, benchmarking of inputs and expert judgement is used for the calculation.

Exposure at Default (EAD)

Exposure at Default (EAD)

Exposure at default is based on the amounts the Group expects to be owed at the time of default, over the next twelve months or over the remaining lifetime. The twelve-month and lifetime EADs are determined based on the expected payment profile, which varies by product type. For amortizing products and bullet repayment loans, this is based on the contractual repayments owed by the borrower over a twelve-month or lifetime basis. Where relevant, early repayment/refinance assumptions are also considered in the calculation.

For revolving products, the exposure at default is predicted by taking current drawn balance and adding a credit conversion factor which allows for the expected drawdown of the remaining limit by the time of default. The prudential regulatory margins are removed from the credit conversion factor. In the limited circumstances where some inputs are not fully available benchmarking of inputs is used for the calculation.

Discount factor (D)

In general, financial assets and assets off the statement of financial position which are not leasing or POCI, the dis-count rate used in the expected credit loss calculation is the effective interest rate or an approximation thereof.

Calculation

For loans in Stage 1 and 2, the expected credit loss is the product of PD, LGD and EAD times the probability not to default prior to the considered time period. The latter is expressed by the survivorship function S. This calculates future values of expected credit losses, which are then discounted back to the reporting date and summed. The cal-culated values of expected credit losses are then weighted by forward-looking scenario.

Different models have been used to estimate the provisions in Stage 3, and these can be grouped into the following categories:

Corporate customers, project finance, sovereigns, financial institutions, local and regional governments, insurance companies and collective investment undertakings: Estimation of future cash flow for Stage 3 provisions are done by workout managers and the provision calculation is done by our local system.

For retail loans Stage 3 impairments are determined for the majority of Group units by calculating the statistically derived best estimate of expected loss adjusted for indirect costs.

Shared credit risk characteristics

Almost all of the provisions under IFRS 9 are measured collectively. Only for non-retail Stage 3 are most of the provisions individually assessed. For expected credit losses provisions modelled on a collective basis a grouping of exposures is performed on the basis of shared credit risk characteristics so that the exposures within each group are similar. Retail exposure characteristics are grouped on country level, customer classification (households and Mi-cro), product level (e.g. mortgage, personal loans, overdraft facilities or credit cards), PD rating grades and LGD pools. Each combination of the above characteristics is considered as a group with a uniform expected loss profile. Non-retail exposure characteristics are assigned to a probability of default according to rating grades and customer segments. This groups customer types into individual assessment models. For the determination of LGD and EAD parameters, the portfolio is grouped by country and product.

Forward looking information

As a rule, the risk parameters specific to IFRS 9 are estimated not only on historical default information but also particularly on the current economic environment (point-in-time perspective) and forward-looking information. This assessment primarily involves regularly reviewing the effects which the bank's macroeconomic forecasts will have regarding the amount of the ECL and including these effects in the determination of the ECL.

The assessment of significant increase in credit risk and the calculation of expected credit losses both incorporate fol card looking information. The Group has performed historical analysis and identified the key economic varia-bles impacting credit risk and expected credit losses for each portfolio.

These economic variables and their associated impact on the probability of default, loss given default and exposure at default vary by category type. Forecasts of these economic variables (the base economic scenario) are provided by RBI Raiffeisen Research on a quarterly basis and provide the best estimate view of the economy over the next three years. Beyond three years, no macroeconomic adjustment is carried out.

That means after three years, to project the economic variables for the full remaining lifetime of each instrument, a mean reversion approach has been used, which means that economic variables tend to either a long-term average rate or a long-term average growth rate until maturity. The impact of these economic variables on the probability of default, loss given default and exposure at default has been determined by performing statistical regression to un-derstand the impact changes in these variables have had historically on default rates and on the components of loss given default and exposure at default.

In addition to the base economic scenario, Raiffeisen Research, a department of the parent entity, also estimates an optimistic and a pessimistic scenario to ensure non-linearities are captured. The Group has concluded that three or fewer scenarios appropriately captured non-linearity. Expert judgment on idiosyncratic risks has also been applied in this process on the level of Raiffeisen Research in coordination with the Group risk management, resulting in selective adjustments to the optimistic and pessimistic scenarios.

As with any economic forecasts, the projections and likelihoods of occurrence are subject to a high degree of inherent uncertainty and therefore the actual outcomes may be significantly different to those projected.

The Group considers these forecasts to represent its best estimate of the future outcomes and cover any potential non-linearities and asymmetries within the Group's different portfolios.

For the development of a macroeconomic model, a variety of relevant macroeconomic variables were considered. The model employed is a linear regression model with the aim of explaining changes in or the level of the default rate. The following types of macro variables were considered as drivers of the credit cycle: real GDP growth, unemployment rate, 3-month money market rate, 10-year government bond yield, housing price index, FX rates, and the HICP inflation rate. For each country (or portfolio in case of retail exposure), a relevant set is determined based on the ability to explain historically observed default rates. Through the cycle, PDs are overlaid with the results of the

macro-economic model to reflect the current and expected state of economy. For the LGD, the macro model is applied on the underlying cure rates. i.e. a positive macro-economic outlook drives up the cure rates and this reduces the LGD. For retail exposures, the workout LGD is modelled in a similar manner to the default rates either directly or as well via the components like cure rate, loss given cure as well as loss given non-cure. The long-run average LGDs are overlaid with the results of the macro models to reflect current and expected state of economy. The weightings assigned to each scenario at the end of the reporting year-end are as follows: 25 per cent optimistic, 50 per cent base and 25 per cent pessimistic scenarios.

For corporate customers, the following risks and complications resulting from current economic and political developments are included in the macroeconomic models: High inflation rates by historical standards are currently triggering significant increases in key interest rates in many countries, leading to higher financing costs for companies. This development is incorporated into the models of major parts of the portfolio through a change in the 3-month money market rate and the yield on government bonds, resulting in an increase in expected default risk. While high inflation rates may be associated with higher default risk in bivariant analyses, the underlying drivers of higher default risk are actually higher interest rates as a result of higher inflation and economic growth trending down-wards, which often occur simultaneously. These drivers are directly captured in the economic growth and interest rate models. In macroeconomic terms, the years 2020 and 2021 were characterized by extremely high volatility, starting with a strong decline in real GDP followed by a similar rate of positive economic growth. In contrast to comparable recessions after the great financial crisis, these developments have not been met by a wave of insolven-cies and defaults, which can be attributed to two factors.

For one, the COVID-driven recession primarily consisted of a temporary suspension of economic activity, which did not necessitate significant structural adjustments. Furthermore, massive political measures were taken to support the economy in order to avoid long-term consequences stemming from events such as unemployment and insolvencies. These developments underscore how the relationship between macroeconomic indicators and credit risk are influ-enced by circumstances that are difficult to capture by quantitative means. In order to avoid implicit distortions in the macroeconomic regression models caused by the correlation of events during the COVID pandemic, observations from the years 2020 and 2021 were not incorporated into the model. The development of real GDP during the COVID pandemic also showed how models need to take a sufficiently long history of economic developments into consideration in order to differentiate between strong economic growth immediately following a massive recession (which leads to no notable reduction in the average default risk) and generally strong economic growth (which does lead to a reduction in default risk). For segments with a longer period of historical data, current models are able to make such a differentiation, which leads to more accurate projections.

The core assumption underlying the application of macroeconomic credit risk models is that the empirical correlations between macroeconomic indicators and default risk can be extrapolated to future. In the case of the war in Ukraine, such an assumption should be critically examined.

The empirical correlation between these two factors can be characterized by a direct but transitory rise in default risk. Due to the uncertainty surrounding the extent to which such a correlation can be applied to the current situation, the empirical regression model for corporate customers is averaged with the results of a second model, in which the rise in default risk resulting from a recession is strongly delayed.

Overlays and other risk factors

In situations where the existing input parameters, assumptions and modelling do not cover all relevant risk factors, post-model adjustments and additional risk factors are the most important types of overlays. This is generally the case if there are temporary circumstances, time restrictions to adequately incorporate relevant new information into the rating or re-segmentation of the portfolio and if individual loans within a loan portfolio develop differently than originally expected.

For the central models in the corporate segment, the additional risk was considered using the risk factors, while in the local retail segment the risks were applied on top of the models. Special risk factors for real estate scenario ap-plied for non-retail, post-model adjustments are the main types of overlays applied for the calculation of the ex-pected credit losses. For the retail, the ESG methodology for mortgages focuses on the damage and the subsequent decreased market value of the property caused by potential physical risk events, resulting in an ESG-adjusted mar-ket value. The shock from physical risk hazards is introduced into Expected Credit Loss through LGD. ESG LGD overlay factor model for usage in IFRS9 provision calculation is developed and validated by RBI.Generally, post-model adjustments are only a temporary solution to avoid potential distortions. They are temporary and typically not valid for more than one to two years. The overlays relevant for 2024 are shown in the table below and split ac-cording to the relevant categories.

31. Expected credit losses (continued)

Overlays and other risk factors (continued)

31 December 2024	Modelled ECL							Total
	000 LEK	Special Risk Factor				Other		
Central banks	10	-	0%	-	0%	-	0%	10
General governments	45,817	-	0%	-	0%	-	0%	45,817
Banks	61	-	0%	-	0%	-	0%	61
Other financial corporations	1,443	-	0%	-	0%	-	0%	1,443
Non-financial corporations	758,690	812,893	107%	-	0%	812,893	107%	1,571,584
Households	2,577,220	594,965	23%	-	0%	594,965	23%	3,172,185
Total	**3,383,241**	**1,407,859**	**42%**	**-**	**0%**	**1,407,859**	**42%**	**4,791,100**

A special risk factor related to the potential impact of interest rate hike is applied during 2024, resulted in additional Stage 1 and 2 provisions of Lek 1,407,858 thousand.

31 December 2023	Modelled ECL							Total
	000 LEK	Special Risk Factor				Other		
Central banks	29	-	0%	-	0%	-	0%	29
General governments	71,573	-	0%	-	0%	-	0%	71,573
Banks	80	-	0%	-	0%	-	0%	80
Other financial corporations	1,181	-	0%	-	0%	-	0%	1,181
Non-financial corporations	760,763	720,729	95%	-	0%	720,729	95%	1,481,492
Households	1,455,359	118,546	8%	-	0%	118,546	8%	1,573,905
Total	**2,288,985**	**839,275**	**37%**	**-**	**0%**	**839,275**	**37%**	**3,128,260**

Other risk factors

For corporate customers additional expected credit loss effects have been built into the modelled expected credit losses by means of an industry matrix, country specifics or, if necessary, by means of other special risk factors. On top of the existing country-specific view, we use an industry-based differentiation to further modulate risk parameters. This industry matrix combines a short-term state of the industry within the economic cycle and the recovery path on a three-year horizon. For example, for hotels, GDP determines the macroeconomic outlook, while the industry matrix indicates a pessimistic scenario and, on top of that, the special risk factor occupancy drives the elevated level of Stage 2 impairments. Another component of the forward-looking information is the time delay of inflow to non-performing exposure and Stage 3 due to moratoria and support measures. The one-off effect of us-ing the more differentiated methodology has fully compensated for the previous overlay.

Sensitivity analysis

The most significant assumptions affecting the sensitivity of the expected credit loss allowance are as follows:

- Gross domestic product (all portfolios)
- Unemployment rate (all portfolios)
- Long term government bond rate (non-retail portfolios especially)

The table below provides a comparison between the reported accumulated impairment for expected credit losses for financial assets in Stage 1 and 2 (weighted by 25 per cent optimistic, 50 per cent base and 25 per cent pessi-mistic scenarios) and then each scenario weighted by 100 per cent on their own. The optimistic and pessimistic scenarios do not reflect extreme cases, but the average of the scenarios which are distributed in these cases. This information is provided for illustrative purposes.

2024	31/12/2024	100%	100%	100%
in LEK thousand	(25/50/25%)	Optimistic	Base	Pessimistic
Accumulated impairment (Stage 1 & 2)	**3,101,844**	**2,741,390**	**3,019,176**	**3,277,839**

2023	31/12/2024	100%	100%	100%
in LEK thousand	(25/50/25%)	Optimistic	Base	Pessimistic
Accumulated impairment (Stage 1 & 2)	**3,128,493**	**2,706,591**	**3,005,639**	**3,490,785**

Write-OffsLoans and debt securities are written off (either partially or fully) where there is no reasonable expectation of recovery. This happens when the borrower does not have income from operations anymore and collateral values cannot generate sufficient cash flows to repay amounts subject to the write-off. For the exposure of companies in bankruptcy, loans are written down on the value of the collateral if the company no longer generates cash flows from its operating business. The retail business takes into account qualitative factors. In cases where no payment has been made for one year, the outstanding amounts are derecognised whereby depreciated assets can continue to be subject to enforcement activities. For the exposure of companies in gone concern cases, loans are written down to the value of the collateral if the company no longer generates cash flows from its operating business. The retail business takes into account qualitative factors. In cases where no payment has been made for one year, the outstanding amounts are written off here. The contractual amount outstanding on financial assets that were written off during the reporting period and are still subject to enforcement activity were immateri-al/amounts to LEK thousand.

32. Gross exposure by stages

The following table shows the gross carrying amount and impairments of the financial assets – amortized cost that have moved from measurement on the basis of expected 12-month losses to measurement on the basis of expected lifetime losses or vice versa:

2024 in LEK thousand	Gross carrying amount			Accumulated impairment			ECL Coverage Ratio		
	Stage 1	Stage 2	Stage 3	Stage 1	Stage 2	Stage 3	Stage 1	Stage 2	Stage 3
Central Banks	643	-	-	-	-	-	0.00%	0.00%	0.00%
General governments	107,200,971	-	-	(45,817)	-	-	0.04%	0.00%	0.00%
Banks	19,797,110	-	-	(47)	-	-	0.00%	0.00%	0.00%
Other financial corporations	4,417,329	39	-	(42)	13	-	0.00%	-32%	0.00%
Non-financial corporations	57,733,697	12,561,016	5,001,912	(721,217)	(730,024)	(3,830,188)	1.25%	5.81%	76.57%
Households	54,833,121	5,092,964	2,397,268	(491,200)	(1,044,344)	(1,621,390)	0.90%	20.51%	67.63%
hereof mortgage	23,908,570	2,139,729	234,424	(164,659)	(502,193)	(210,555)	0.69%	23.47%	89.82%
Total	**243,982,871**	**17,654,019**	**7,399,180**	**(1,258,323)**	**(1,774,355)**	**(5,451,578)**	0.52%	10.05%	73.68%

The following table shows the contingent liabilities and other off-balance-sheet commitments by counterparties and stages. This reveals the Group's focus on non-financial company customers.

2024 in LEK thousand	Nominal amount			Provisions for off-balance-sheet items under IFRS 9			ECL Coverage Ratio		
	Stage 1	Stage 2	Stage 3	Stage 1	Stage 2	Stage 3	Stage 1	Stage 2	Stage 3
Central Banks	-	-	-	-	-	-	0.00%	0.00%	0.00%
Banks	707,203	16,723	-	6	5	-	0.00%	-0.03%	0.00%
General governments	-	-	-	-	-	-	0.00%	0.00%	0.00%
Other financial corporations	285,200	-	-	981	-	-	-0.34%	0.00%	0.00%
Non-financial corporations	22,270,844	1,706,519	97,307	67,230	20,664	89,084	-0.30%	-1.21%	-91.55%
Households	4,323,684	3,804	14,478	39,711	1,028	13,164	-0.92%	-27.02%	-90.92%
Total	**27,586,931**	**1,727,046**	**111,785**	**107,928**	**21,697**	**102,248**	-0.39%	-1.26%	-91.47%

The following table shows the the allowances and provisions for credit loss of the financial assets – amortized cost that have been transferred between Stag-es:

2024 in LEK thousand	Gross carrying amount		Gross carrying amount			
	12 month ECL	Lifetime ECL	12 month ECL	Lifetime ECL	12 month ECL	Lifetime ECL
Movement from 12 month ECL to lifetime ECL						
Non-financial corporations	(5,881,775)	5,881,775	(67,954)	350,155	1.16%	5.95%
Households	(1,626,190)	1,626,190	(26,257)	239,287	1.61%	14.71%
Movement from lifetime ECL to 12 month ECL	-	-	-	-		
Non-financial corporations	834,099	(834,099)	11,869	(54,072)	1.42%	6.48%
Households	1,112,345	(1,112,655)	21,610	(181,079)	1.94%	16.27%

The following table shows the gross carrying amount of the financial assets – amortized cost that have been transferred between Stages:

	Gross carrying amount						
	Transfers between Stage 1 and Stage 2		Transfers between Stage 2 and Stage 3		Transfers between Stage 1 and Stage 3		Transfer to POCI from Stage 3
	To Stage 2 from Stage 1	To Stage 1 from Stage 2	To Stage 3 from Stage 2	To Stage 2 from Stage 3	To Stage 3 from Stage 1	To Stage 1 from Stage 3	To POCI from Stage 3
Debt securities	-	-	-	-	-	-	-
General governments	-	-	-	-	-	-	-
Loans and advances	7,492,288	1,936,451	827,481	5,143	15,678	-	9,993
Other financial corporations	-	-	-	-	-	-	-
Non-financial corporations	5,871,892	834,093	756,901	5	9,883	-	6
Households	1,620,396	1,102,358	70,580	5,138	5,794	-	9,987

32. Gross exposure by stages (continued)

The following table shows the the allowances and provisions for credit loss of the financial assets – amortized cost that have been transferred between Stag-es:

	Allowances and provisions for credit losses							
	Transfers between Stage 1 and Stage 2		Transfers between Stage 1 and Stage 3		Transfer to POCI from Stage 3			
	To Stage 2 from Stage 1	To Stage 1 from Stage 2	To Stage 3 from Stage 1	To Stage 1 from Stage 3	To POCI from Stage 3			
Debt securities	-	-	-	-	-			
General governments	-	-	-	-	-			
Loans and advances	**(109,345)**	**(233,634)**	**(6,665)**	**(2,412)**	**(98,493)**			
Other financial corporations	-	-	-	-	-			
Non-financial corporations	(84,372)	(54,876)	(894)	(19)	(11,014)			
Households	(24,973)	(178,758)	(5,771)	(2,393)	(87,479)			
	Provision Amounts Transferred INTO Stage (Positive Sign)							
Debt securities	**-**	**-**	**-**	**-**	**-**			
General governments	-		-					
Loans and advances	**596,177**	**34,203**	**547,494**	**2,218**	**15,063**	**171**	-	
Other financial corporations	-	-	-	-	-	-	-	
Non-financial corporations	360,280	12,674	516,321	3	7,187	18	-	
Households	235,897	21,528	31,173	2,215	7,875	153	-	

33. Development of impairments

The following table shows the development of impairments on loans and bonds in the measurement categories of financial assets – amortized cost and financial assets.

in LEK thousand	Stage 1 12 month ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	POCI	Total
As at January 1, 2024	**1,270,890**	**1,782,552**	**4,731,197**	**760,953**	**8,545,593**
Increases due to origination and acquisition	248,648	27,400	18,945	-	294,993
Decreases due to derecognition	(57,895)	(215,307)	(49,228)	(301,106)	(623,536)
Changes due to change in credit risk (net)	(203,205)	216,019	782,723	(51,529)	744,008
Decrease in allowance account due to write-offs	(139)	(36,209)	(430,021)	(10,433)	(476,802)
As at December 31, 2024	**1,258,299**	**1,774,455**	**5,053,616**	**397,885**	**8,484,256**

in LEK thousand	Stage 1 12 month ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	POCI	Total
As at January 1, 2023	**1,263,688**	**1,479,791**	**5,423,534**	**1,154,913**	**9,321,927**
Increases due to origination and acquisition	143,331	25,387	56,744	-	225,462
Decreases due to derecognition	(36,248)	(77,906)	(119,451)	-	(233,605)
Changes due to change in credit risk (net)	(99,715)	393,492	2,920	(380,042)	(83,345)
Decrease in allowance account due to write-offs	(166)	(38,212)	(632,550)	(13,918)	(684,846)
As at December 31, 2023	**1,270,890**	**1,782,552**	**4,731,197**	**760,953**	**8,545,593**

The following table shows the development of provisions for loan commitments given, financial guarantees and other commitments:

in LEK thousand	Stage 1 12 month ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	Total
As at January 1, 2024	**160,347**	**9,306**	**119,468**	**289,121**
Increases due to origination and acquisition	175,999	15,454	113,143	304,596
Decreases due to derecognition	(113,766)	(7,365)	(92,031)	(213,162)
Changes due to change in credit risk (net)	(114,652)	4,301	(38,331)	(148,682)
As at December 31, 2024	**107,928**	**21,696**	**102,249**	**231,873**

in LEK thousand	Niveli 1 12 month ECL	Niveli 2 Lifetime ECL	Niveli 3 Lifetime ECL	Totali
As at January 1, 2023	**121,120**	**18,093**	**76,513**	**215,726**
Increases due to origination and acquisition	157,233	9,378	35,160	201,771
Decreases due to derecognition	(58,088)	(9,177)	(45,627)	(112,892)
Changes due to change in credit risk (net)	(59,918)	(8,988)	53,422	(15,484)
As at December 31, 2023	**160,347**	**9,306**	**119,468**	**289,121**

Past due status

The following table shows the overdue claims and bonds in the measurement categories amortized cost and fair value through other comprehensive income:

2024	Carrying amount								
	Past Due Assets without significant increase in credit risk since initial recognition (Stage 1)			Past Due Assets with significant increase in credit risk since initial recognition but not credit-impaired (Stage 2)			Past Due Credit-impaired assets (Stage 3)		
in LEK thousand	≤ 30 days	> 30 days	> 90 days	≤ 30 days	> 30 days	> 90 days	≤ 30 days	> 30 days	> 90 days
Non-financial corporations	2,889,029	-	-	1,626,657	1,420,376	-	61,776	221,110	380,678
Households	455,244	-	-	768,130	251,614	-	44,458	24,517	561,137
Total	**3,344,273**	**-**	**-**	**2,394,787**	**1,671,990**	**-**	**106,234**	**245,627**	**941,815**

2023	Carrying amount								
	Past Due Assets without significant increase in credit risk since initial recognition (Stage 1)			Past Due Assets with significant increase in credit risk since initial recognition but not credit-impaired (Stage 2)			Past Due Credit-impaired assets (Stage 3)		
in LEK thousand	≤ 30 days	> 30 days	> 90 days	≤ 30 days	> 30 days	> 90 days	≤ 30 days	> 30 days	> 90 days
Non-financial corporations	2,995,503	-	-	1,018,113	187,037	-	109,408	48,703	429,951
Households	496,405	-	-	546,030	276,523	-	64,026	33,378	576,685
Total	**3,491,908**	**-**	**-**	**1,564,143**	**463,560**	**-**	**173,434**	**82,081**	**1,006,636**

34. Breakdown of remaining terms of maturity

Assets	Current assets			Non-current assets	
2024 in LEK thousand	Due at call or without maturity	Up to 3 months	More than 3 months, up to 1 year	More than 1 year, up to 5 years	More than 5 years
Cash, cash balances at central Bank and other demand deposits	22,329,083	1,359	-	-	-
Financial assets - amortized cost	100,178	74,731,210	36,965,596	113,379,301	43,859,785
Financial assets - fair value through profit or loss	-	-	226,849	-	-
Other assets	-	26,493	-	-	-
Total	**22,429,261**	**74,759,062**	**37,192,445**	**113,379,301**	**43,859,785**

Liabilities	Short-term liabilities			Long-term liabilities	
2024 in LEK thousand	Due at call or without maturity	Up to 3 months	More than 3 months, up to 1 year	More than 1 year, up to 5 years	More than 5 years
Financial liabilities - amortized cost	232,000,092	10,269,163	20,318,397	6,961,493	2,305,081
Other liabilities	53,625	253,873	-	-	-
Total	**232,053,717**	**10,523,036**	**20,318,397**	**6,961,493**	**2,305,081**

Assets	Current assets			Non-current assets	
2023 in LEK thousand	Due at call or without maturity	Up to 3 months	More than 3 months, up to 1 year	More than 1 year, up to 5 years	More than 5 years
Cash, cash balances at central Bank and other demand deposits	25,157,497	6	-	-	-
Financial assets - amortized cost	20,549	91,236,188	37,340,677	89,997,854	41,980,557
Financial assets - fair value through profit or loss	-	269	137,382	-	-
Other assets	-	30,001	-	-	-
Total	**25,178,046**	**91,266,464**	**37,478,059**	**89,997,854**	**41,980,557**

Assets	Current assets			Non-current assets	
2023 in LEK thousand	Due at call or without maturity	Up to 3 months	More than 3 months, up to 1 year	More than 1 year, up to 5 years	More than 5 years
Financial liabilities - amortized cost	228,623,419	12,114,256	20,441,865	1,706,084	5,626,635
Other liabilities	47,731	205,949	-	-	-
Total	**228,671,150**	**12,320,205**	**20,441,865**	**1,706,084**	**5,626,635**

Compulsory reserve has not been included in the maturity analysis for 2024 and 2023 as it is not a contractual financial instrument.

35. Foreign currency volumes

in LEK thousand	**31 December 2024**	**31 December 2023**
Assets	137,184,683	141,909,743
Liabilities	133,017,781	136,455,388

For further details on the foreign currency exposures and sensitivity analysis refer to Note 36 "Risk Manage-ment" below.

36. Risk management

a) Overview

Active risk management is a core competency of the the Group. In order to effectively identify, measure, and manage risks the Group continues to develop its comprehensive risk management system. Risk management is an integral part of overall Group management. In particular, in addition to legal and regulatory requirements, it takes into account the nature, scale, and complexity of the Group's business activities and the resulting risks. The risk report describes the principles and organization of risk management and describes current risk expo-sure in all material risk categories.

(1) Risk management principles

The Group has a system of risk principles and procedures in place for measuring and monitoring risk, which is aimed at controlling and managing material risks in the Group. The risk policies and risk management princi-ples are laid out by the Management Board. The principles include the following risk policies:

- Risk management: State-of-the-art risk management and risk controlling technologies are used which are commensurate with the materiality of the risks; risk data and risk report technologies are also ef-fectively combined. Credit country, market, liquidity, and operational risks are managed as key risks on a Bank-wide basis. For this purpose, these risks are measured, limited, aggregated, and compared to available risk coverage capital.
- Regulatory requirements: All provisions and requirements of the supervisory authorities relating to risk management are taken into account and complied with.

36. Risk management(continued)
(a) Overview (continued)
(1) Risk management principles (continued)

- Continuous planning: Risk strategies and risk capital are reviewed and approved in the course of the annual budgeting and planning process; whereby special attention is also paid to preventing risk con-centrations.
- Independent control: A clear personnel and organizational separation is maintained between business operations and all risk management or risk control activities.
- Ex ante and ex post control: Risks are consistently measured within the scope of product selling and in risk-adjusted performance measurement. Thereby it is ensured that business in general is conducted only under risk-return considerations and that there are no incentives for taking high risks.

Individual risk management units of the Group develop detailed risk strategies, which set more concrete risk targets and specific standards in compliance with these general principles. The overall Group risk strategy is derived from the Group's business strategy and the risk appetite and adds risk relevant aspects to the planned business structure and strategic development. These aspects include for example structural limits and capital ratio targets which have to be met in the budgeting process and in the scope of business decisions. More spe-cific targets for individual risk categories are set in detailed risk strategies.

(2) Organization of risk management

The Management Board of the Group ensures the proper organization and ongoing development of risk man-agement. It decides which procedures are to be employed for identifying, measuring, and monitoring risks, and makes steering decisions according to the risk reports and analyses. The Management Board is supported in undertaking these tasks by independent risk management units and special committees.

Risk management functions are performed on different levels in the Group. The Group develops and imple-ments the relevant concepts as the parent credit institution. Risk management units implement the risk policies for specific risk types and take active steering decisions within the approved risk budgets in order to achieve the targets set in the business policy. For this purpose, they monitor resulting risks using standardized meas-urement tools and report them to central risk management units via defined interfaces.

The Central Bank Risk Controlling division assumes the independent risk controlling function required by Banking law. Its responsibilities include developing the Group-wide framework for overall Group risk man-agement (integrating all risk types) and preparing independent reports on the risk profile for the Supervisory Board's Risk Committee, the Group Management Board and the heads of individual business units. It also measures the required risk coverage capital for different Group units and calculates the utilization of the allo-cated risk capital budgets in the internal capital adequacy framework.

Risk committees

The Group Risk Committee is the most senior decision-making body for all of the Group's risk-related topic areas. It decides on the risk management methods and on the control concepts used for the overall Group and for key subdivisions, and is responsible for ongoing development and implementation of methods and parame-ters for risk quantification and for refining steering instruments.

This also includes setting the risk appetite and the various risk budgets and limits at overall Group level as well as monitoring the current risk situation with respect to internal capital adequacy and the corresponding risk limits. It approves risk management and control activities (such as the allocation of risk capital) and ad-vises the Management Board in these matters.

The Group Asset/Liability Committee assesses and manages the statement of financial position structure and liquidity risk and defines the standards for internal funds transfer pricing. In this context it plays an important role in planning long-term funding and hedging structural interest rate and foreign exchange risks.

The Market Risk Committee controls market risks arising from trading and Banking book transactions and establishes corresponding limits and processes. In particular, it relies on profit and loss reports, the risks cal-culated and the limit utilization, as well as the results of scenario analyses and stress tests with respect to mar-ket risks.

The Credit Committees are staffed by front office and back office representatives, with the staff assignments depending on the type of customer (corporate customers, Groups, sovereigns and retail). The committees de-cide upon the specific lending criteria for the different customer segments and make all credit decisions con-cerning those segments in connection with the credit approval process (depending on rating and exposure size).

The Problem Loan Committee is the most important committee in the evaluation and decision-making process concerning problem loans. It primarily comprises decision making authorities; its chairman is the Chief Risk Officer (CRO) of the Group. Further members with voting rights are those members of the Management Board responsible for the customer divisions, the Chief Financial Officer (CFO), and the relevant division and de-partmental managers from risk management and special exposures management (workout).

The Group Operational Risk Management & Control Committee comprises representatives of the business areas (retail, market and corporate customers) and representatives from Compliance (including financial crime), Internal Control System, Operations, Security and Risk Controlling, under chairmanship of the CRO.

36. Risk management (continued)
(a) Overview (continued)
(1) Risk committees(continued)

This committee is responsible for managing the Group's operational risk (including conduct risk). It derives and sets the operational risk strategy based on the risk profile and the business strategy and also makes deci-sions regarding actions, controls and risk acceptance.

Quality assurance and internal audit

Quality assurance with respect to risk management refers to ensuring the integrity, soundness, and accuracy of processes, models, calculations, and data sources. This is to ensure that the Group adheres to all legal require-ments and that it can achieve the highest standards in risk management-related operations.

All these aspects are coordinated by the Group Compliance division, which analyzes the internal control sys-tem on an ongoing basis and – if actions are necessary to address any deficiencies – is also responsible for tracking their implementation.

Two very important functions in assuring independent oversight are performed by the divisions Audit and Compliance: Independent internal auditing is a legal requirement and a central pillar of the internal control system. Internal Audit periodically assesses all business processes and contributes considerably to securing and improving them. It sends its reports directly to the Management Board of the Group, which discusses them on a regular basis in its board meetings.

The Compliance Office is responsible for all issues concerning compliance with legal requirements in addition to and as an integral part of the internal control system. Thus, compliance with existing regulations in daily operations is monitored.

(3) Overall Group risk management

Maintaining an adequate level of capital is a core objective of the Group. Capital requirements are monitored regu-larly based on the risk level as measured by internal models, and in choosing appropriate models the ma-teriality of risks annually assessed is taken into account. This concept of overall Group risk management pro-vides for meeting capital requirements from both a regulatory perspective (sustainability and going-concern status) and from an economic perspective (target rating). Thus it covers the quantitative aspects of the internal capital adequacy as-sessment process (ICAAP) as legally required. The full ICAAP process of the Group is audited by Internal Audit during the supervisory review process on an annual basis.

The Risk Appetite Framework (RAF) limits the Group's overall risk in accordance with the Group's strategic business objectives and allocates the risk capital calculated to the different risk categories and business areas. The primary aim of the RAF is to limit risk, particularly in adverse scenarios and for major singular risks in such a way as to ensure compliance with regulatory minimum ratios. The RAF is therefore based on the ICAAP's three pillars (target rating, going-concern, sustainability perspective) and sets the concentration risk limits for the risk types identified as sig-nificant in the risk assessment. In addition, the risk appetite decided by the Management Board and the Group's risk strategy and its implementation are reported regularly to the Su-pervisory Board's Risk Committee.

Target	Risk	Measurement technique	Confidence level
Target rating perspective	Risk of not being able to satisfy claims from the Group's senior debt holders	The unexpected loss for the one-year risk horizon (economic capital) may not exceed the present level of equity and subordinated liabilities	99.92 per cent as derived from the target rating's probability of default
Going concern perspective	Risk of not meeting the regulatory capital require-ment pursuant to the CRR	Risk taking capacity (pro-jected earnings plus capital in excess of the regula-tory requirement) may not exceed the Group's value at risk (one-year risk horizon)	95 per cent, reflecting the owners' willingness to inject additional own funds
Sustainability perspective	Risk of falling below a sus-tainable tier 1 ratio through-out an economic cycle	Capital and earnings projection for a three-year planning period based on assumptions of a significant downturn in the economy	85–90 per cent, based on potential management decisions to reduce risk temporarily or raise ad-ditional equity capital

b) Credit risk

Credit risk is the largest risk for the Group's business. Credit risk means the risk of suffering financial loss should any of the Group's customers or counterparties fail to fulfil their contractual obligations to the Group. Credit risk arises mainly from loans and advances to Group, loans and advances, lending commitments and financial guarantees given. The Group is also exposed to other credit risks arising from investments in debt securities and other exposures associated with trading activities, settlement agreements and reverse repo transactions.

The total credit exposure used in portfolio management includes both exposures on and off the statement of financial position before the application of credit-conversion factors, and thus represents the total credit expo-sure. It is not reduced by the effects of credit risk mitigation such as guarantees or physical collateral, ef-fects that are, however, considered in the total assessment of credit risk. The total credit exposure is used – if not ex-plicitly stated otherwise – for referring to exposures in all subsequent tables in the risk report.

The following table shows total credit exposure, by asset class:

in LEK thousand	31 December 2024	31 December 2023
Corporate customers	78,407,625	75,224,605
Project finance	6,864,473	7,058,834
Retail customers	80,764,516	75,335,391
Banks	45,327,842	48,793,883
Sovereigns	126,622,770	127,865,197
Total	**337,987,226**	**334,277,910**

Total credit exposure comprises cash balances at central banks and other demand deposits at banks (Note 6), financial assets at amortized cost (Note 7) and loan commitments, financial guarantees given and other com-mitments given (Note 28).

Credit portfolio – corporate customers

The internal rating models for corporate customers take into account qualitative parameters, various ratios from the statement of financial position, and profit ratios covering different aspects of customer creditworthi-ness for various industries and countries. In addition, the model for smaller corporates also includes an ac-count behavior component.

The following table shows the total credit exposure internal corporate rating (large corporates, mid-market and small corporates). For presentation purposes, the individual grades of the rating scale have been combined into nine main rating grades.

in LEK thousand		31 December 2024	Share	31 December 2023	Share
1	Minimal risk	-	0.00%	-	0.00%
2	Excellent credit standing	-	0.00%	-	0.00%
3	Very good credit standing	-	0.00%	163	0.00%
4	Good credit standing	4,994,667	6.37%	1,967,427	2.62%
5	Sound credit standing	22,587,295	28.81%	30,257,453	40.22%
6	Acceptable credit standing	30,057,427	38.33%	23,550,293	31.31%
7	Marginal credit standing	13,068,839	16.67%	10,120,029	13.45%
8	Weak credit standing / sub-standard	3,393,001	4.33%	4,671,671	6.21%
9	Very weak credit standing / doubtful	645,895	0.82%	791,932	1.05%
10	Default	3,657,363	4.66%	3,855,123	5.12%
NR	Not rated	3,138	0.01%	10,514	0.01%
Total		**78,407,625**	**100.00%**	**75,224,605**	**100.00%**

The rating model for project finance has five grades and takes both individual probabilities of default and available collateral into account. The breakdown of the Group's project finance exposure is shown in the table below:

in LEK thousand		As at 31 December 2024	Share	As at 31 December 2023	Share
6.1	Excellent project risk profile – very low risk	-	0.00%	-	00.00%
6.2	Good project risk profile – low risk	6,723,708	97.95%	6,836,164	96.85%
6.3	Acceptable project risk profile – average risk	-	0.00%	-	0.00%
6.4	Poor project risk profile – high risk	-	0.00%	-	0.00%
6.5	Default	140,737	2.05%	222,657	3.15%
NR	Not rated	28	0.00%	13	0.00%
Totali		**6,864,473**	**100.00%**	**7,058,834**	**100.00%**

The table below provides a breakdown of the total credit exposure to corporates and project finance by industry:

in LEK thousand	31 December 2024	Share	31 December 2023	Share
Manufacturing	15,068,135	17.67%	17,746,378	19.52%
Wholesale and retail trade	26,747,407	31.37%	24,952,667	32.04%
Financial intermediation	904,513	1.06%	974,656	1.31%
Real estate	1,100,875	1.29%	1,407,479	2.37%
Construction	12,088,098	14.18%	11,510,860	13.16%
Transport, storage and communica-tion	3,994,022	0.05%	41,450	0.05%
Electricity, gas, steam and hot water supply	19,816,293	4.68%	3,989,953	4.29%
Freelance/technical services	43,426	23.24%	15,914,171	20.06%
Other industries	5,509,329	6.46%	5,745,825	7.21%
Total	**85,272,098**	**100.00%**	**82,283,439**	**100.00%**

Credit portfolio – Retail customers

Retail customers are subdivided into private individuals and small and medium-sized entities (SMEs). For retail custom-ers a two-fold scoring system is used, consisting of the initial and ad-hoc scoring based on cus-tomer data and of the behavioral scoring based on account data. The table below shows the Group's credit exposure to retail customers:

in LEK thousand	31 December 2024	Share	31 December 2023	Share
Retail customers – private individuals	66,670,311	83%	61,108,939	81%
Retail customers – small and medi-um-sized entities	14,094,205	17%	14,226,452	19%
Total	**80,764,516**	**100%**	**75,335,391**	**100%**

36. Risk management (continued)
b) Credit risk (continued)
Credit portfolio – Retail customers (continued)

The following table shows the total credit exposure to retail customers (private individuals and micro compa-nies) by internal rating:

in LEK thousand		31 December 2024	Share	31 December 2023	Share
0.5	Minimal risk	1,938,292	2.79%	1,921,332	3.01%
1.0	Excellent credit standing	6,189,446	8.91%	5,183,224	8.13%
1.5	Very good credit standing	11,741,084	16.90%	9,845,150	15.44%
2.0	Good credit standing	13,184,109	18.97%	11,883,452	18.64%
2.5	Sound credit standing	11,603,146	16.70%	10,973,422	17.21%
3.0	Acceptable credit standing	8,106,740	11.67%	8,299,383	13.02%
3.5	Marginal credit standing	3,768,284	5.42%	3,937,556	6.18%
4.0	Weak credit standing / sub-standard	2,443,211	3.52%	2,044,490	3.21%
4.5	Very weak credit standing / doubtful	3,437,277	4.95%	2,763,845	4.34%
5.0	Default	2,454,991	3.53%	2,427,889	3.81%
NR	Not rated	4,618,755	6.65%	4,466,987	7.01%
Totali		**69,485,335**	**100%**	**63,746,730**	**100%**

The following table shows the total credit exposure to retail customers (small enterprise companies) by internal rating:

in LEK thousand		31 December 2024	Share	31 December 2023	Share
1	Minimal risk	594,024	5.69%	94,620	0.87%
2	Excellent credit standing	810,786	7.72%	768,791	6.91%
3	Very good credit standing	1,159,664	10.10%	804,508	7.37%
4	Good credit standing	1,919,152	17.98%	1,776,335	15.84%
5	Sound credit standing	2,077,379	19.04%	2,017,742	17.97%
6	Acceptable credit standing	1,539,155	14.18%	1,953,262	16.75%
7	Marginal credit standing	1,227,483	9.77%	2,018,916	16.38%
8	Weak credit standing / sub-standard	644,798	3.18%	839,562	6.06%
9	Very weak credit standing / doubtful	184,297	1.49%	228,788	1.89%
10	Default	1,118,635	10.84%	1,073,807	9.85%
NR	Not rated	3,808	0.01%	12,330	0.11%
Totali		**11,279,181**	**100.00%**	**11,588,661**	**100.00%**

The table below shows the total retail credit exposure by product:

in LEK thousand	31 December 2024	Share	31 December 2023	Share
Mortgage loans	30,139,157	37.32%	27,557,290	36.58%
Personal loans	29,171,927	36.12%	26,096,895	34.64%
SME financing	12,246,450	15.16%	10,893,237	14.46%
Overdraft	6,655,289	8.24%	6,274,736	8.33%
Credit cards	2,551,693	3.16%	2,337,058	3.10%
Car loans	-	0.00%	2,176,175	2.89%
Total	**80,764,516**	**100%**	**75,335,391**	**100%**

36. Risk management (continued)
b) Credit risk (continued)

Credit portfolio – Banks

The following table shows the total credit exposure by internal rating for Banks (excluding central Banks). Due to the small number of customers (i.e. observable defaults), the default probabilities of individual rating grades in this asset class are calculated based on a combination of internal and external data.

in LEK thousand		31 December 2024	Share	31 December 2023	Share
1	Minimal risk	-	0%	-	0%
2	Excellent credit standing	7,045,374	21%	10,026,972	21%
3	Very good credit standing	14,946,118	38%	18,491,215	38%
4	Good credit standing	18,313,838	38%	18,728,653	38%
5	Sound credit standing	4,510,868	0%	239,068	0%
6	Acceptable credit standing	511,562	2%	977,921	2%
7	Marginal credit standing	-	0%	234,800	0%
8	Weak credit standing / sub-standard	-	0%	95,223	0%
9	Very weak credit standing / doubtful	-	0%	-	0%
10	Default	-	0%	-	0%
NR	Not rated	82	0%	31	0%
Total		**45,327,842**	**100.00%**	**48,793,883**	**100.00%**

The table below shows the total credit exposure to Banks (excluding central Banks) by product:

in LEK thousand	31 December 2024	Share	31 December 2023	Share
Money market	19,797,110	44%	27,248,489	56%
Bonds	-	0%	-	0%
Loans and advances	6,417,770	14%	1,257,821	3%
Repo	-	0%	-	0%
Other	19,112,962	42%	20,287,573	42%
Total	**45,327,842**	**100%**	**48,793,883**	**100%**

Credit portfolio – Sovereigns

Another asset class is formed by central governments, central Banks, and regional municipalities as well as other public sector entities. The table below provides a breakdown of the total credit exposure to sovereigns (including central Banks) by internal rating:

in LEK thousand		31 December 2024	Share	31 December 2023	Share
A1	Excellent credit standing	16,544,431	13.07%	17,379,940	13.59%
A2	Strong credit standing	6,656,592	5.26%	12,179,006	9.52%
A4	Good credit standing	2,344,581	1.85%	23	0.00%
A5	Good credit standing	88,641,704	70.00%	1,052,682	0.82%
B1	Excellent credit standing	2,130,717	1.68%	-	0.00%
B2	Strong credit standing	-	0.00%	3,143,452	2.46%
B4	Weak credit standing	34	0.00%	-	0.00%
B5	Good credit standing	-	0.00%	90,815,399	71.02%
C1	Excellent credit standing	-	0.00%	2,008,979	1.57%
C2	Strong credit standing	10,304,507	8.14%	1,285,608	1.01%
C3	Strong credit standing	-	0.00%	-	0.00%
C4	Good credit standing	-	0.00%	-	0.00%
NR	Not rated	204	0.00%	108	0.00%
Total		**126,622,770**	**100.00%**	**127,865,197**	**100.00%**

The table below shows the total credit exposure to sovereigns (including central Banks) by product:

Credit portfolio – Sovereigns (Vazhdim)

in LEK thousand	31 December 2024	Share	31 December 2023	Share
Loans and advances	19,421,476	15.34%	23,217,066	18.16%
Bonds	107,200,651	84.66%	104,647,840	81.84%
Money market	643	0.00%	291	0.00%
Total	**126,622,770**	**100.00%**	**127,865,197**	**100.00%**

Non-performing exposures (NPEs)

The following table shows non-performing exposures and includes both non-defaulted and defaulted expo-sures.

	NPE		NPE ratio		NPE coverage ratio	
in LEK thousand	**2024**	**2023**	**2024**	**2023**	**2024**	**2023**
Non-financial corportions	5,003,757	5,451,793	6.65%	7.62%	79.06%	77.25%
Households	2,362,422	2,663,881	3.79%	4.18%	13.71%	66.76%
Loans and advances	**7,366,179**	**8,115,674**	**5.35%**	**2.64%**	**31.26%**	**73.97%**
Total	**7,366,179**	**8,115,674**	**5.35%**	**2.64%**	**31.26%**	**73.97%**

Non-performing loans (NPL)

According to Article 178 CRR, the definition of default and thus a non-performing loan (NPL) is triggered if it can be assumed that a customer is unlikely to fulfil all of its credit obligations to the Group, or if the debtor is overdue at least 90 days on any material credit obligation to the Group. For non-retail customers, twelve dif-ferent indicators are used to identify a default event. For example, a default event applies if a customer is in-volved in insolvency or similar proceedings, if it has been necessary to recognize an impairment or a direct write-down on a customer loan, or if credit risk management has judged a customer account receivable to be not wholly recoverable or the Workout Unit is considering a restructuring.

The following table shows the share of non-performing loans (NPL) in the defined asset classes (excluding items off the statement of financial position):

	NPL		NPL ratio		NPL coverage ratio	
in LEK thousand	**2024**	**2023**	**2024**	**2023**	**2024**	**2023**
Non-financial corporations	5,002,629	5,451,596	1.95%	7.62%	79.08%	77.26%
Households	2,362,422	2,663,881	3.77%	4.18%	75.43%	66.76%
Total non-Banks	**7,365,051**	**8,115,477**	**2.31%**	**4.18%**	**77.87%**	**73.97%**
Total	**7,365,051**	**8,115,477**	**2.31%**	**4.18%**	**77.87%**	**73.97%**

The following tables show the changes in non-performing loans in the defined asset classes (excluding items off the statement of financial position):

in LEK thousand	**As at January 1, 2024**	**Additions**	**Decrease**	**As at December 31, 2024**
Non-financial corporations	5,451,596	1,676,905	(2,125,872)	5,002,629
Households	2,663,881	825,940	(1,127,399)	2,362,422
Total non-Banks	8,115,477	2,502,845	(3,253,271)	7,365,051
Total	**8,115,477**	**2,502,845**	**(3,253,271)**	**7,365,051**

In disposals are included repayments, write offs and reclassication out of NPL.

in LEK thousand	**As at January 1, 2023**	**Additions**	**Decrease**	**As at December 31, 2023**
Non-financial corporations	7,702,461	1,094,981	(3,345,846)	5,451,596
Households	2,662,229	1,028,068	(1,026,416)	2,663,881
Total non-Banks	10,364,690	2,123,049	(4,372,262)	8,115,477
Total	**10,364,690**	**2,123,049**	**(4,372,262)**	**8,115,477**

Concentration risk

The credit portfolio of the Group is well diversified in terms of geographical region and industry. Single name con-centrations are also actively managed (based on the concept of groups of connected customers) by way of limits and regular reporting. As a result, portfolio granularity is high. As part of the Group's strategic realign-ment, the limit structures for concentration risk were reviewed for each customer segment. The regional breakdown of the exposures reflects the broad diversification of credit business in the Group's markets. The following table shows the distribution of credit exposures across all asset classes by the borrower's home country, grouped by regions:

in LEK thousand	**2024**	**Share**	**2023**	**Share**
Albania	273,109,048	81%	(7,729)	0.00%
Austria	13,149,974	4%	4,425,628	1.32%
Germany	5,535,053	2%	3,463,745	1.04%
Netherlands	1,182,188	0%	64,452	0.02%
France	9,252,124	3%	135,827	0.04%
North America	2,840,484	1%	22,058,440	6.60%
Switzerland	139,382	0%	5,068,481	1.52%
Italy	2,396,793	1%	71,275	0.02%
Great Britain	66,707	0%	2,599,608	0.78%
Romania	407	0%	908	0.00%
Poland	714	0%	29,040,649	8.69%
Czech Republic	133	0%	263,916,089	78.95%
Bulgaria	1	0%	803	0.00%
Other	4,346,342	1%	2,981	0.00%
Other European Union	24,377,947	7%	2,008,110	0.60%
Rest of World	1,589,929	0%	1,428,643	0.43%
Total	**337,987,225**	**100.00%**	**334,277,910**	**100.00%**

The following table shows credit exposure across all asset classes by currency:

in LEK thousand	**31 December 2024**	**Share**	**31 December 2023**	**Share**
Euro (EUR)	129,257,842	38.34%	137,798,308	41.37%
US-Dollar (USD)	22,364,059	6.63%	19,085,708	5.73%
Swiss franc (CHF)	336,244	0.10%	381,702	0.11%
Albanian lek (ALL)	180,786,842	53.62%	170,756,400	51.27%
Other foreign currencies	4,383,266	1.30%	5,059,553	1.52%
Total	**337,128,253**	**100.00%**	**333,081,671**	**100.00%**

The following table shows the Group's total credit exposure based on customer industry classification:

in LEK thousand	31 December 2024	Share	31 December 2023	Share
Banking and insurance	83,755,017	24.78%	91,599,023	27.60%
Public administration and defence and social insurance institutions	68,284,698	20.40%	44,547,810	22.28%
Private households	68,965,924	20.20%	69,296,612	12.86%
Retail trade except repair of motor vehicles	31,947,689	0.00%	30,674,270	10.34%
Electricity, gas, steam and hot water supply	19,962,342	0.00%	18,347,953	6.04%
Manufacture of basic metals	15,763,363	0.45%	19,939,925	5.74%
Construction	13,817,467	4.09%	14,198,016	4.06%
Extraction of crude petroleum and natural gas	2,277,131	1.56%	7,941,289	2.73%
Other transport	4,573,245	9.45%	5,003,899	1.54%
Other business activities	5,271,986	5.91%	4,785,219	1.52%
Real estate activities	1,523,953	4.66%	3,525,644	1.20%
Land transport, transport via pipelines	406,838	1.35%	2,755,965	0.79%
Wholesale trade and commission trade (except car trading)	-	0.12%	-	0.00%
Sale of motor vehicles	-	0.01%	-	0.00%
Manufacture of machinery and equipment	-	0.00%	-	0.00%
Manufacture of food products and beverages	23,019	0.00%	25,414	0.05%
Other industries	21,414,554	0.67%	21,636,873	3.25%
Total	**337,987,226**	**100%**	**334,277,910**	**100%**

c) Market risks

Market risk is defined as the risk of experiencing losses due to adverse changes in market prices. This includes changes in the value of traded assets, movements directly or indirectly in observable prices and effects of changes in the volatility and liquidity of these factors. Market risk, therefore, arises from present value chang-es of on and off-balance sheet positions in the bank's trading and banking book.

Market risk estimations are based on changes in exchange rates, interest rates, credit spreads, equity and commodity prices, and other market parameters (e.g., implied volatilities). The Capital Markets division is responsible for proprietary trading, market making, and customer business in money market and capital mar-ket products.

Organization of market risk management

All market risks are measured, monitored, and managed on Group level.

The Market Risk Committee is responsible for strategic market risk management issues. It is responsible for managing and controlling all market risks in the Group. The Group's overall limit is set by the Management Board on the basis of the risk-taking capacity and income budget. This limit is apportioned to sub-limits in coordination with business divisions according to the strategy, business model and risk appetite.

The Market Risk Management department ensures that the business volume and product range comply with the defined strategy of the Group. It is responsible for implementing and enhancing risk management process-es, risk management infrastructure and systems, manuals, and measurement techniques for all market risk cat-egories and credit risk arising from market price changes in derivative transactions. Furthermore, Market Risk Management independently measures and reports all market risks on a daily basis according to internal and regulatory requirements.

All products in which open positions can be held are listed in the product catalog. New products are added to this list only after successfully completing the product approval process. Product applications are investigated thoroughly for any risks. They are approved only if the new products can be implemented in the Group's front- and back-office risk management systems.

Limit system

The Group uses a comprehensive risk management approach for both the trading and the Banking book (total-return approach). Market risk is therefore managed consistently in all trading and Banking books. The follow-ing indicators are measured and limited on a daily basis in the market risk management system:

Value-at-Risk (VaR) – (confidence level: 99 per cent; risk horizon: one day)

- Value-at-risk is the main market risk steering instrument in liquid markets and normal market situa-tions. VaR is measured based on a hybrid simulation approach in which 5,000 scenarios are calculat-ed. The approach combines the advantages of a historical simulation and a Monte-Carlo simulation and derives market parameters from 500 days of historical data. Distribution assumptions include modern features such as volatility declustering and random time changes, which helps in accurately reproducing fat-tailed and asymmetric distributions and base interest rate risk factors. Value-at-risk results are not only used for limiting risk but also in the allocation of economic capital.

Sensitivities (to changes in exchange rates and interest rates, gamma, vega, equity and commodity prices)

- Sensitivity limits are to ensure that concentrations are avoided in normal market situations and are the main steering instrument under extreme market situations and in illiquid markets or in markets that are structurally difficult to measure.
- Stoploss - Stop loss limits serve to strengthen the discipline of traders such that they do not allow losses to accumulate on their own proprietary positions but strictly limit them instead.

A comprehensive stress testing concept complements this multi-level limit system. It simulates potential pre-sent value changes of defined scenarios for the total portfolio. The results on market risk concentrations shown by these stress tests are reported to the Market Risk Committee and taken into account when setting limits. Stress test reports for individual portfolios are included in daily market risk reporting.

Value-at-Risk (VaR)

The following tables show the VaR (99 per cent, one day) for the individual market risk categories in the trad-ing book. The Group's VaR mainly results from currency risk for trading book and interest rate risk for Bank-ing book

Trading book VaR 99% 1d	VaR as at	VaR as at
in LEK thousand	**December 31, 2024**	**December 31, 2023**
Currency risk	98.1%	99%
Interest rate risk	1.9%	1%
Credit spread risk	0%	0%
Share price risk	0%	0%
Vega risk	0%	0%
Basis risk	0%	0%
Total value	**(9,552)**	**(2,585)**

Trading book VaR 99% 1d	VaR as at	VaR as at
in LEK thousand	**December 31, 2024**	**December 31, 2023**
Currency risk	0%	0%
Interest rate risk	36.80%	46.50%
Credit spread risk	61.60%	52.70%
Vega risk	0%	0%
Basis risk	1.60%	0.8%
Total	**(432,166)**	**(663,614)**

Trading book VaR 99% 1d	VaR as at	VaR as at
in LEK thousand	**December 31, 2024**	**December 31, 2023**
Currency risk	0.20%	2.90%
Interest rate risk	17.20%	35.50%
Credit spread risk	81.60%	59.90%
Share price risk	0%	0%
Vega risk	0%	0%
Basis risk	1.00%	1.70%
Total	(508,069)	(291,617)

36. Risk management (continued)
c) Market risks (continued)
Value-at-Risk (VaR) (continued)

Vega risk is the measurement of an option's price sensitivity to changes in the volatility of the underlying as-set. Vega represents the amount that an option contract's price changes in reaction to a 1% change in the im-plied volatility of the underlying asset. The bank is not exposed to Vega Risk.

Basis risk is the financial risk that offsetting investments in a hedging strategy will not experience price changes in entirely opposite directions from each other. This imperfect correlation between the two invest-ments creates the potential for excess gains or losses in a hedging strategy, thus adding risk to the position. To quantify the amount of the basis risk, the bank take the current market price of the asset being hedged and subtract the futures price of the contract.

Exchange rate risk and capital ratio

Market risk in the Group results primarily from exchange rate risk, exchange rate fluctuations also influence current revenues and expenses. They also affect regulatory capital requirements for assets denominated in foreign currencies, even if they are financed in the same currency and thus do not create an open foreign ex-change position.

The Group aims at stabilizing its capital ratio when managing exchange rate risks. This risk is managed on a monthly basis in the Group Asset/Liability Committee based on historical foreign exchange volatilities, ex-change rate forecasts, and the sensitivity of the regulatory capital ratio to changes in individual foreign ex-change rates.

The following table shows all material open foreign exchange rate positions as at 31 December 2024 and the corresponding values for the previous year.

in LEK thousand	31 December 2024	December 31, 2023
AUD	(24,872)	7,680
CAD	(8,716)	(19,345)
CHF	36,427	26,251
DKK	(33)	(35)
EUR	3,686,345	5,514,506
GBP	(19,402)	65,826
JPY	1,879	2,266
NOK	(7)	(8)
SEK	(29)	(40)
USD	(64,747)	(129,908)

The negative open foreign position show that financial liabilities are bigger than financial assets in the respec-tive currency, while if the open foreign position is positive shows that financial assets are bigger than financial liabilities.

Interest rate risk in the trading book

The following tables show the largest present value changes for the trading book of the Group given a one-basis-point interest rate increase for the whole yield curve in LEK thousand for the reporting dates 31 Decem-ber 2024 and 31 December 2023.

2024 in LEK 000	Total	< 3 m	> 3 to 6 m	> 6 to 12 m	> 1 to 2 y	> 2 to 3 y	> 3 to 5 y	> 5 to 7 y	> 7 to 10 y	> 10 to 15 y	> 15 to y	>20y
ALL	(88.16)	(0.01)	(0.07)	(19.82)	(1.95)	(2.21)	(64.09)					

2023 in LEK 000	Total	< 3 m	> 3 to 6 m	> 6 to 12 m	> 1 to 2 y	> 2 to 3 y	> 3 to 5 y	> 5 to 7 y	> 7 to 10 y	> 10 to 15 y	> 15 to y	>20y
ALL	(12.32)	(0.01)	(0.01)	(12.30)								

Different maturities and repricing schedules of assets and the corresponding liabilities (i.e. deposits and fi-nancing from money markets and capital markets) cause interest rate risk in the Group. This risk arises in par-ticular from different interest rate sensitivities, rate adjustments, and other optionality of expected cash flows. Interest rate risk in the Banking book is material for the EUR and US dollar as major currencies.

Management of the statement of financial position is a core task of the Treasury division, which is supported by the Group Asset/Liability Committee. They base their decisions on various interest income analyses and simulations that ensure proper interest rate sensitivity in line with expected changes in market rates and the overall risk appetite.

Interest rate risk in the Banking book is not only measured within a value-at-risk framework but also managed by the traditional tools of nominal and interest rate gap analyses. Interest rate risk is subject to quarterly re-porting in the context of the interest rate risk statistic submitted to the Banking supervisor.

36. Risk management (continued)
c) Market risks (continued)
Interest rate risk in the trading book (continued)

The following table shows the change in the present value of the Group's Banking book given a one-basis-point interest rate increase for the whole yield curve in LEK thousand for reporting dates 31 December 2024 and 31 December 2023.

2024 in LEK 000	Total	< 3 m	> 3 to 6 m	> 6 to 12 m	> 1 to 2 y	> 2 to 3 y	> 3 to 5 y	> 5 to 7 y	> 7 to 10 y	> 10 to 15 y	> 15 to y	>20y
ALL	**(416)**	(28)	(481)	(1,233)	(779)	772	1,761	(1,208)	(35)	449	242	124
CHF	**(2.4)**	(0.2)	(0.1)	(1.9)	(0.3)	-	-	-	-	-	-	-
EUR	**6,879**	(39)	37	(239)	2,197	2,771	4,515	(2,311)	(29)	(17)	(5.2)	(1.8)
GBP	**23**	0.6	1	21	0.8	-	0.3	-	-	-	-	-
USD	**418**	76	18	84	195	245	187	(386)	-	-	-	-

2023 in LEK 000	Total	< 3 m	> 3 to 6 m	> 6 to 12 m	> 1 to 2 y	> 2 to 3 y	> 3 to 5 y	> 5 to 7 y	> 7 to 10 y	> 10 to 15 y	> 15 to y	>20y
ALL	**2,465**	(59)	(146)	(414)	(1,016)	1,193	2,802	(1,537)	135	1,093	387	27
CHF	**(5)**	-	-	(3)	-	-	(1)	(1)	(1)	-	-	-
EUR	**8,311**	(62)	(151)	(321)	1,692	2,746	5,472	469	(1,267)	(52)	(55)	(159)
GBP	**14**	(4)	1	16	1	-	-	-	-	-	-	-
USD	**112**	96	5	125	15	194	192	(515)	-	-	-	-

d) Liquidity management

Funding structure

The Group's funding structure is highly focused on retail deposit taking in the local market. Different funding sources are utilized in accordance with the principle of diversification. These include the use of third-party financing loans and risk sharing schemes with different supranational organizations. Partly due to tight coun-try limits and partly due to beneficial pricing, the Group is also using interGroup borrowing and placements with local and international Groups.

Principles

Liquidity management in the Group ensures the continuous availability of funds required to cover day-to-day business operations. It is therefore one of the most crucial business processes in overall Group steering. Li-quidity adequacy is ensured over the entire maturity spectrum from both an economic and also a regulatory perspective.

In economic perspective, RBI Group has established a governance framework comprising internal limits and control measures on liquidity positions, which is in accordance with the Principles for Sound Liquidity Risk Management and Supervision established by the Basel Committee on Banking Supervision. The Group has also implemented the same framework, as one of the network Groups of RBI Group.

The regulatory component is addressed by complying with reporting requirements under Basel III (Liquidity Coverage Ratio, Net Stable Funding Ratio and Additional Liquidity Monitoring Metrics) and by keeping the respective minimum requirements in the form of regulatory limits. Moreover, the Group has added to the group based liquidity framework, additional liquidity and reporting requirements established by Group of Albania (BoA), and Albanian Financial Supervisory Authority.

Responsibility and Organization

The responsibility to ensure adequate levels of liquidity lies with the entire Board of Management. However, in terms of functions, the responsible Board members are the Chief Executive Officer (Treasury and IB) and the Chief Risk Officer/Chief Financial Officer. Consequently, the processes related to liquidity risk are mainly carried out by two areas within the Group. Firstly, Treasury/Dealing Room department manage the liquidity risk positions within the strategy, guidelines and parameters set by decisions taken in Asset/Liability Commit-tee (ALCO) meetings which reflect all regulatory constraints.

Secondly, these are monitored and supported by independent Integrated Risk division (Market Risk depart-ment). Market risk department measures and implements limits on different liquidity positions, as well as mon-itors their compliance. In addition to the aforementioned line functions, ALCO and Research department is responsible for implementing Group wide methodology on liquidity risk models.

Liquidity strategy

Our Group's Liquidity Strategic objectives include self-sustainability of Group's liquidity position, continuous stabilization of customer deposit base, and the ongoing compliance with regulatory requirements and with internal policies and limits. Another objective is the avoidance of costly excess liquidity and the efficient utili-zation of funds. Liquidity Risk Management units (Treasury/Dealing Room, Market Risk, ALCO and Research) in the Group have a variety of direct or indirect measures at hand for steering the balance sheets and liquidity positions of the Group. Treasury/ Dealing Room is committed to achieve all key performance indicators (kpis) and to comply with risk-based principles.

Key performance indicators include general targets (i.e. return on risk adjusted capital (RORAC) or coverage ratios), as well as specific Treasury targets for liquidity (such as a minimum survival horizon in defined stress scenarios or the diversification of the refinancing structure). Besides achieving a structural contribution by means of a maturity transformation that reflects the liquidity and market risk assumed by the Group, Treas-ury/Dealing Room pursues a prudent and sustainable risk policy in its balance sheet management.

Liquidity risk framework

Liquidity refers to the Group's ability to retain and/or attract, at any time, available funds in required curren-cies and enough amounts at reasonable costs in order to meet its financial obligations when they become due. Liquidity risk represents the possibility of negative effects on the financial result and equity due to inability of the Group to meet its payment obligations due to:

Withdrawal of existing sources of funding and/or the inability to secure new sources of funding (funding li-quidity risk)

Difficulties in converting assets into liquid funds due to market disturbances (market liquidity risk)

Bank defines the framework for liquidity risk management, which will enable Group to respond the matured obligations in terms of the normal business conditions, but also in time of crisis. Group manages the risk in all currencies and separately in major currencies, provides stability and diversification of financing sources, timely and adequately treated in the case of the increased risk.

The liquidity risk framework comprises of definition of established risk appetite and limit structure, models applied for capturing customer and market behaviour (going concern and stress), system of Early Warning Indicators, contingency plans.

Risk Management process consists of measuring and modelling risks, setting and monitoring limits, maintain-ing exposures within these limits and handling limit excesses, and aligning the exposure management with business targets.

Risk appetite and liquidity limits

The Risk Appetite Framework (RAF) aims to provide the management, together with the formulation and ap-proval of a top-down Risk Appetite statement, a tool to set and constrain the level of overall risk the group is willing and able to take on, to achieve its strategic and business goals. There is a close interconnection to the Internal Capital Adequacy Assessment Process (ICAAP) as the main objective of the RAF is to align strategic and business targets with the necessity to fulfil minimum regulatory capital requirements in adverse scenarios as well as in the case of large singular risk events, and to ensure that senior creditors do not bear losses in an extreme risk scenario.

The risk appetite is defined as the level of risk that the group is willing to take and is expressed by a risk appe-tite that requires a minimum survival period (TTW) of 30 days in a period of severe stress (combined crisis) without the execution of any countermeasures, or 90 days with countermeasures, respectively. This is ensured either by a structurally positive liquidity profile or by a sufficiently high liquidity buffer. In case of market disruptions, an ad hoc individual steering with more conservative targets for the total position or selected cur-rencies might be put into place.

In the business-as-usual case (GC Scenario) the maturity transformation must be covered completely by avail-able liquidity buffer in the midterm. This means that the cumulative liquidity position over a period of up to one year must be positive. In the long term (one year or more), maturity transformation is permitted up to a certain level.

Risk apetitte defined on internal models is supplemented by limits based to regulatory liquidity ratios.

In accordance with the defined risk appetite, the bank has a survival horizon of several months (TTW) in a severe, combined stress scenario (reputational and market stress). This is ensured by both a structurally posi-tive liquidity profile and by a sufficiently high liquidity buffer. In a normal going concern environment, ma-turity transformation is fully covered by the available liquidity buffer in the medium term. This means that the cumulative liquidity position over a period of up to one year is positive. In the long term (one year or more), maturity transformation is permitted up to a certain level.

Regulatory Liquidity Ratios

Market Risk unit based on BoA Regulation no 71 "On Liquidity Risk Management" should calculate and re-port in case of any ecess the Liquidity ratios to the BoA. Market Risk calculates the ratio of liquid assets against the short-term liabilities:

1. Denominated in the national currency (ALL) at the minimum level 15% (fifteen per cent) and in the foreign currency at the minimum level 20% (twenty per cent);
2. As a total at the minimum level 20 % (twenty percent).

Liquidity Coverage Ratio (LCR)

Based on the BoA regulation No 27/2019, RBAL shall ensure at any time a liquidity coverage ratio of at least:

a. 100% for total currencies

b. 80% for the total of significant foreign currencies

The liquidity position is monitored at the Bank level and is restricted by means of a comprehensive limit sys-tem. In accordance with defined risk appetite Bank defined limits which limit Liquidity Positions in a dual form: by a set of Going concern liquidity limits and a set of TTW liquidity limits.

Net Stable Funding Ratio (NSFR)

The NSFR is defined as the proportion of Available Stable Funding ("ASF") via the liabilities and capital over Required Stable Funding ("RSF") for the assets. The Group monitors its structural liquidity and maturity trans-formation of assets also with the capital structural indicator – net stable funding ratio (NSFR), which is the long-term indicator of liquidity, which assesses whether the bank has the appropriate funding structure in rela-tion to the structure of assets

Based on the BoA regulation No. 70/2022, RBAL shall ensure at any time a Net stable funding ratio of at least:

- 100% for total currencies

Liquidity monitoring

The Group uses a series of customized measuring instruments and early warning indicators which provide the Management Board and senior management with timely and forward-looking information. The limit frame-work ensures that the Group can continue to operate in a period of severe stress.

Monitoring of limits and reporting limit compliance is performed regularly and effectively. Any breach by different Group business lines is reported to the Group ALCO and escalated. In such cases, appropriate steps are undertaken in consultation with the relevant unit or contentious matters are escalated to the next highest responsible body.

Liquidity stress testing

Stress tests are conducted for the individual Group units on a daily basis and on Group level on a weekly basis, in RBI HO. The tests cover three scenarios (market, reputational and com-bined crisis), consider the effects of the scenarios for a period of several months and demon-strate that stress events can simultaneously result in a time-critical liquidity requirement in sev-eral currencies. The stress scenarios include the principal funding and market liquidity risks, without considering beneficial diversification effects. This means that in the stress tests of the Group, all network units are simultaneously subject to a pronounced combined crisis for all their major products.

The results of the stress tests are reported to the Chief Risk Officer and the Chief Financial Officer as well as other members of management on a weekly basis; they also form a key component of the monthly ALCO meet-ings and are included in the Group's strategic planning and contingency planning.

A conservative approach is adopted when establishing outflow ratios based on historical data and expert opin-ions. The simulation assumes a lack of access to the money or capital market and simultaneously significant outflows of customer deposits. In this respect, the de-posit concentration risk is considered by assigning high-er outflow ratios to large customers. Furthermore, stress assumptions are formulated for the drawdown of guarantees and credit obligations. In addition, the liquidity buffer positions are adapted by haircuts in order to cover the risk of disadvantageous market movements, and the potential outflows resulting from collateralized derivative transactions are estimated. The Group continuously monitors whether the stress assumptions are still appropriate or whether new risks need to be consid-ered. The time to wall concept has established itself as the main control instrument for day-to-day liquidity management and is therefore a central component of funding planning and budgeting. It is also fundamental to determining performance ratios relating to liquidity.

Liquidity buffer

As shown by the daily liquidity risk reports, the Group actively maintains and manages liquidity buffers, in-cluding high quality liquid assets (HQLA) which are always sufficient to cover the net outflows ex-pected in crisis scenarios.

The Group has sizeable, unencumbered, and liquid securities portfolios eligible for Central Bank outright auc-tion transactions in order to ensure sufficient liquidity in local currency.

The Group is responsible for ensuring the availability of liquidity buffers, testing its ability to utilize cen-tral Group funds, evaluating constantly its collateral positions as regards to their market value and encumbrance, as well examining the counterbalancing capacity, including the secured and unse-cured funding potential and the liquidity of the assets. Generally, a haircut is applied to all liquidity buffer positions. These haircuts in-clude a market-risk specific haircut and a Central Bank haircut. While the market risk haircut represents the potential price volatility over the next 20 trading days of the securities held as assets as part of the liquidity buffer, the Central Bank haircut represents an addi-tional haircut by the Central Bank that may be offered as collateral. The eligibility criteria on group level further considers intra-group lending restrictions such as the legal lending limit.

Intraday Liquidity Management

In compliance with regulatory requirements for intraday liquidity management, Dealing Room Department is fulfilling the following tasks:

- Fulfilling Group legal liquidity requirements (minimum reserve requirements);
- Optimize the liquidity flows, financing costs and the return on investments;
- Provides available funds for outgoing payments on our NOSTRO accounts with correspond-ent Groups.
- Follow up and continuous reporting on market liquidity situation

Money Market Desk within Dealing Room Department is in charge to manage daily liquidity needs and man-age the short-term liquidity risk in local and foreign currency. Treasury takes information for all local and international payments from other departments and pro-vides available funds on our NOSTRO account nor-mally with value date T+2. There are special re-quests for value date T+1, T+0. For all the payments in local and international market should be re-spect the Group's cut off time until then the transaction can be per-formed. For payments in Local currency the cut off time fixed by Group of Albania (BoA) is 3.30 p.m. For payments in foreign currency the cut off time is 4.30 p.m.

The Group is using AIPS (Albanian InterGroup Payment System) as platform for monitoring online our Nostro Account with Group of Albania for all the payments / incomings in local currency LEK. The monitoring of our Nostro accounts in foreign currency is done using online platforms on this purpose, which facilitate the daily liquidity management. Daily queries produced by core Banking sys-tem MIDAS are used for the daily liquidi-ty management.

Reuters dealing platform is used to performing trading deals in interGroup market. Money Market Desk is responsible to provide enough funds for payments executed on each value date. The basic information on the payments executed is received via e-mail by the Payment Pro-cessing & SWIFT unit (Central Operations & Facility Management Department) with value date T+2 and with specific request with value date T+0.

The whole Group liquidity position is monitored and updated during the day after each transaction done. We keep our liquidity position by using excel and update it manually using the information re-ceived from differ-ent sources as Payment Processing & SWIFT unit (Central Operations & Facility Management Department, Trade Finance & Short-Term Financing (Corporate and SE Products De-partment), Treasury Back Office (Cen-tral Operations & Facility Management Department), Foreign Exchange & Cash Desk, Corporate Department.

The excess of liquidity in FCY is invested as short term in the internal and international market.

Contingency funding plan

The Group is analysing the potential impact from the Pandemic Covid -19 on the liquidity of the Group in 2021. Under difficult liquidity conditions, the Group will switch to a contingency process in which it will fol-low a predefined liquidity contingency plan. These contingency plans also constitute an element of the liquidi-ty management framework and are mandatory for all RBI Group members. The emergency management pro-cess is designed so that the Group can retain a strong liquidity position even in serious crisis situations.

The LCP defines three stages of a liquidity crisis which are described by events as listed below:

Stage A: early stage of liquidity contingency

Stage B: more severe stage of liquidity contingency

Stage C: liquidity recovery stage

Liquidity position

Liquidity position of the Group is founded on a strong customer deposit base supplemented by whole-sale funding. Funding instruments are appropriately diversified and are used in case of need. The ability to procure funds is precisely monitored and evaluated by the Treasury/Dealing Room, Treasury Sales as well as ALCO and Research Department.

In the past year and to date, our Group's liquidity was significantly above all regulatory and internal limits. The result of the internal time to wall stress test demonstrates that the Group would survive throughout the modelled stress phase of several months even without applying contingency measures. The Going Concern report shows the structural liquidity position. It covers all material risk drivers which might affect the Group in a business-as-usual scenario. The results of the going concern scenario are shown in the following table. It illustrates excess liquidity and the ratio of expected cash inflows plus counterbalancing capacity to cash out-flows (liquidity ratio) for selected maturities on a cumulative basis. Based on assumptions employing expert opinions, statistical analyses and country specifics, this calculation also incorporates estimates of the stability of the customer deposit base, outflows from items off the statement of financial position and downward market movements in relation to positions which influence the liquidity counterbalancing capacity.

in LEK thousand	As at 31 December 2024		As at 31 December 2023	
Maturity	1 month	1 year	1 month	1 year
Liquidity surplus	94,077,662	108,055,839	118,161,851	144,922,920

Liquidity coverage ratio (LCR)

Liquidity coverage ratio (LCR) refers to the proportion of highly liquid assets (HQLAs) held by the Group, to meet potential liability run offs (short-term obligations). HQLAs can be converted into cash to meet liquidity needs for a minimum of 30 calendar days in a liquidity stress scenario.

The calculation of expected inflows and outflows of funds and the high liquidity assets is based on regulatory specifications. In 2023 and 2024, the regulatory limit for the LCR stood at 100 per cent.

in LEK thousand	31 December 2024	31 December 2023
Average liquid assets	90,857,970	94,198,879
Net outflows	18,912,253	16,058,641
Inflows	29,367,665	31,917,420
Outflows	48,279,918	47,976,062
Liquidity Coverage Ratio	480%	586%

Net Stable Funding Ratio (NSFR)

The NSFR is defined as the proportion of Available Stable Funding ("ASF") via the liabilities over Required Stable Funding ("RSF") for the assets. Sources of Available Stable funding includes: customer deposits, long-term wholesale funding (from the interGroup lending market), and equity.

in LEK thousand	31 December 2024	31 December 2023
Required stable funding	152,843,682	141,802,443
Available stable funding	230,536,989	237,595,096
Net Stable Funding Ratio	151%	167%

Liquidity Coverage Ratio and Net Stable Funding Ratio are presented in Local ALCO meetings on a monthly basis. The Group aims to assure liquidity consistency with Basel III requirements.

Funding liquidity risk

Funding liquidity risk is mainly driven by changes in the risk strategy of lenders or by a deterioration in the creditworthiness of a Group that needs external funding. Funding rates and supply rise and fall with credit spreads, which change due to the market- or Group-specific situation.

As a consequence, long-term funding depends on restoring confidence in Groups and increased ef-forts in collecting customer deposits. The Group Banking activities are financed by combining retail deposit-taking and wholesale funding. In the Group's funding plans, special attention is paid to a diversi-fied structure of funding to mitigate funding liquidity risk. Wholesale funding measures in the Group are responsibility of Treasury Sales and IB Department, where Funding Manager is Mr. Christian Canacaris, the CEO of the Group. During this process we check the gap between assets and liabilities and check if we do have any funding needs.

36. Risk management (continued)
d) Liquidity management (continued)
Funding liquidity risk (continued)

The following table shows a breakdown of cash flows according to the contractual maturity of financial assets:

2024 in LEK thousand	Carrying amount	Contractual	Up to 3 months	More than 3 months, up to 1 year	More than 1 year, up to 5 years	More than 5 years
Non-derivative financial assets	**300,077,208**	**335,602,519**	**108,453,339**	**28,186,897**	**81,615,403**	**117,257,888**
Cash, cash balances at central Banks and other demand deposits	up to 5 years	More than 5 years	39,525,394	-	-	-
Loans and advances	**153,396,979**	**181,179,549**	**35,503,467**	**21,358,300**	**11,611,183**	**112,617,607**
Central Banks	643	643	643	-	-	-
General governments	320	320	320	-	-	-
Banks	19,797,063	19,797,063	19,797,063	-	-	-
Other financial corporations	4,417,339	4,417,352	55,989	-	4,361,364	-
Non-financial corporations	70,015,196	81,614,221	14,742,005	21,044,091	5,229,383	40,509,749
Households	59,166,418	75,349,950	907,447	314,209	2,020,436	72,107,858
Debt securities	**107,154,835**	**114,897,576**	**33,424,478**	**6,828,597**	**70,004,220**	**4,640,281**
General governments	107,154,835	114,897,576	33,424,478	6,828,597	70,004,220	4,640,281
Banks	-	-	-	-	-	-

2023 in LEK thousand	Carrying amount	Contractual	Up to 3 months	More than 3 months, up to 1 year	More than 1 year, up to 5 years	More than 5 years
Non-derivative financial assets	**294,779,465**	**330,606,894**	**127,540,485**	**29,285,127**	**63,184,881**	**110,596,403**
Cash, cash balances at central Banks and other demand deposits	42,611,051	42,611,051	42,611,051	-	-	-
Loans and advances	**147,592,146**	**176,552,291**	**40,097,575**	**25,846,340**	**9,154,796**	**101,453,581**
Central Banks	291	291	291	-	-	-
General governments	231	231	231	-	-	-
Banks	27,248,444	27,248,444	27,248,444	-	-	-
Other financial corporations	522,651	538,327	(4,023,000)	535,004	4,026,324	-
Non-financial corporations	65,939,025	77,145,791	15,878,830	25,063,309	3,718,017	32,485,634
Households	53,881,504	71,619,207	992,779	248,027	1,410,455	68,967,947
Debt securities	**104,576,268**	**111,443,552**	**44,831,859**	**3,438,787**	**54,030,085**	**9,142,822**
General governments	104,576,268	111,443,552	44,831,859	3,438,787	54,030,085	9,142,822
Banks	-	-	-	-	-	-

36. Risk management (continued)
d) Liquidity management (continued)
Funding liquidity risk (continued)

The following table shows a maturity analysis of undiscounted cash flows according to the contractual maturity of financial liabilities:

2024 in LEK thousand	Carrying amount	Contractual	Up to 3 months	More than 3 months, up to 1 year	More than 1 year, up to 5 years	More than 5 years
Non-derivative financial liabilities	**301,054,460**	**305,115,660**	**242,232,266**	**33,559,911**	**24,517,120**	**4,806,361**
Deposits	**271,123,676**	**274,959,348**	**237,359,554**	**20,705,632**	**13,701,995**	**3,192,165**
General governments	5,723,165	5,723,165	5,723,165	-	-	-
Banks	14,232,110	17,983,593	2,890,140	541,997	11,665,846	2,885,610
Other financial corporations	3,412,948	3,415,951	3,243,095	152,569	20,286	-
Non-financial corporations	54,852,056	54,856,747	54,626,828	39,087	143,214	47,618
Households	192,903,397	192,979,892	170,876,326	19,971,979	1,872,649	258,937
Other financial liabilies	730,550	730,550	730,550	-	-	-
Financial guarantees given and other commitments given	9,960,292	9,960,292	1,633,821	3,159,642	5,040,651	126,178
Loan commitments given	19,239,942	19,465,470	2,508,341	9,694,637	5,774,474	1,488,018

2023 in LEK thousand	Carrying amount	Contractual	Up to 3 months	More than 3 months, up to 1 year	More than 1 year, up to 5 years	More than 5 years
Non-derivative financial liabilities	**299,236,594**	**303,385,244**	**240,798,132**	**33,629,119**	**18,875,772**	**10,082,222**
Deposits	**266,655,203**	**270,575,268**	**234,597,810**	**20,924,541**	**7,875,093**	**7,177,824**
General governments	6,484,232	6,484,232	6,484,232	-	-	-
Banks	7,876,792	11,775,432	(1,629,265)	466,799	6,154,654	6,783,243
Other financial corporations	2,726,829	2,730,803	2,576,151	56,735	97,917	-
Non-financial corporations	55,690,722	55,695,438	55,425,261	41,327	145,916	82,935
Households	193,876,628	193,889,363	171,741,431	20,359,680	1,476,606	311,646
Other financial liabilies	1,857,056	1,857,056	1,857,056	-	-	-
Financial guarantees given and other commitments given	9,048,932	9,048,932	2,109,437	3,216,222	3,587,378	135,896
Loan commitments given	21,675,403	21,903,988	2,233,829	9,488,356	7,413,301	2,768,502

e) Operational risk

Operational risk is defined as the risk of losses resulting from inadequate or failed internal processes, people and systems or from external events, including legal risk. In this risk category internal risk drivers such as unauthorized activities, fraud or theft, conduct-related losses, modelling errors, execution and process errors, or business disruption and system failures are managed. External factors such as damage to physical assets or fraud are managed and controlled as well.

This risk category is analyzed and managed based on own historical loss data and the results of risk assess-ments.

As with other risk types the principle of firewalling of risk management and risk controlling is also applied to operational risk in the Group. To this end, individuals are designated and trained as Operational Risk Manag-ers for each business area. Operational Risk Managers provide central Operational Risk Controlling with re-ports on risk assessments, loss events, indicators and measures. They are supported in their work by Dedicated Operational Risk Specialists (DORS).

Operational risk controlling units are responsible for reporting, implementing the framework, developing con-trol measures and monitoring compliance with requirements. Within the framework of the annual risk man-agement cycle, they also coordinate the participation of the relevant second line of defense departments (Fi-nancial Crime Management, Compliance, Vendor Management, Outsourcing Management, Insurance Man-agement, Information Security, Physical Security, BCM, Internal Control System) and all first line of defense partners (Operational Risk Managers).

Risk identification

Identifying and evaluating risks that might endanger the Group's existence (but the occurrence of which is highly improbable) and areas where losses are more likely to arise more frequently (but have only limited impact) are important aspects of operational risk management.

Operational risk assessment is executed in a structured and Group-wide uniform manner according to risk categories such as business processes and event types. Moreover, risk assessment applies to new products as well.

All Group units grade the impact of high probability/low impact events and low probability/high impact inci-dents according to their estimation of the loss potential for the next year and in the next ten years. Low proba-bility/high impact events are quantified by a Group-wide analytical tool (scenarios). The internal risk profile, losses arising and external changes determine which cases are dealt with in detail.

Monitoring

In order to monitor operational risks, early warning indicators are used that allow prompt identification and minimization of losses.

Loss data is collected in a central database called ORCA (Operational Risk Controlling Application) in a struc-tured manner and on a Group-wide basis according to the event type and the business line. In addition to the requirements for internal and external reporting, information on loss events is exchanged with international data pools to further develop operational risk management tools as well as to track measures and control effec-tiveness. Since 2010, The Group has been a participant in the ORX data pool (Operational Risk Data Exchange Association), whose data are currently used for internal benchmark purposes and analyses and as part of the operational risk model. The ORX data consortium is an association of Groups and insurance Groups for statis-tical purposes. The results of the analyses as well as events resulting from operational risks are reported in a comprehensive manner to the relevant Operational Risk Management & Control Committee and RBI Group Operational Risk Controller Committee on a regular basis.

Quantification and mitigation

Since October 2016, the operational risk activities is taken on by Financial Crime Management. Financial Crime Management provides support for the prevention and identification of fraud. The Group also conducts an extensive staff training program and has different contingency plans and back-up systems in place.

37. Administrimi i kapitalit

The Group's objectives when managing capital are (i) to comply with the capital requirements set by the Central Bank of Albania and (ii) to safeguard the Group's ability to continue as a going concern.

Regulatory capital

The Group monitors the adequacy of its capital using, among other measures, the rules and ratios established by the Albanian regulator, the Group of Albania ("BoA"), which ultimately determines the statutory capital required to underpin its business. The regulation "On capital adequacy" is issued pursuant to Law No. 8269 date 23 December.1997 "On the Group of Albania", and "Banking Law of the Republic of Albania".

Capital Adequacy Ratio

The Capital Adequacy Ratio is the proportion of the regulatory capital to risk weighted assets and off balance-sheet items, expressed as a percentage. The minimum required Capital Adequacy Ratio is 12%.

The Modified Capital Adequacy Ratio is the proportion of the base capital to risk-weighted assets and off bal-ance-sheet items, expressed as a percentage. The minimum modified capital adequacy ratio is 6%.

Risk-Weighted Assets (RWAs)

Assets are weighted according to broad categories of national risk, being assigned a risk weighting according to the amount of capital deemed to be necessary to support them. Five categories of risk weights (0%, 20%, 50%, 100%, 150%) are applied; for example, cash and money market instruments have a zero-risk weighting which means that no capital is required to support the holding of these assets. Premises and equipment carry a 100% risk weighting, meaning that it must be supported by capital equal to 12% of the carrying amount.

Off-balance-sheet credit related commitments are taken into account. The amounts are then weighted for risk using the same percentages as for on-balance-sheet assets.

in LEK thousand	31 December 2024	31 December 2023
Total risk weighted assets	152,097,368	144,436,582
Regulatory capital	31,070,298	28,625,539
Capital adequacy ratio	20.43%	19.82%

The Group's policy is to maintain a strong capital base so as to maintain investor, creditor and market confi-dence and to sustain future development of the business. The impact of the level of capital on shareholder return is also recognised and the Group recognises the need to maintain a balance between the higher returns that might be possible with greater gearing and the advantages and security afforded by a sound capital posi-tion.

The Group has complied with all externally imposed capital requirements throughout the period. There have been no material changes in the Group's management of capital during the period.

38. Related parties

Transactions with related parties (companies and individuals) are limited to Banking business transactions that are carried out at fair market conditions. Disclosures on related parties (individuals) are reported under note (39) Relations to key management.

in LEK thousand	31 December 2024	31 December 2023
Selected financial assets		
Loans and advances	7,356,128	12,401,228
Raiffeisen Bank International AG (parent company)	6,413,476	4,800,863
Raiffeisen Leasing Kosovo LLC	-	1,142,935
RLB KI-Gruppe Salzburg	942,652	5,125,532
Other assets	80,105	89,435
Raiffeisen Bank International AG (parent company)	77,755	82,898
Raiffeisen Bank Kosovo J.S.C.	2,350	7,832
Selected financial liabilities		
Deposits	**2,086,343**	**2,423,106**
Raiffeisen Bank International AG (parent company)	2,086,262	2,423,088
Raiffeisen Bank Kosovo J.S.C.	81	18
Provisions & Other liabilities	**45,342**	**53,613**
Raiffeisen Bank International AG (parent company)	45,342	53,613
Loan commitments, financial guarantees and other commitments given	**982,181**	**1,028,831**
Raiffeisen Bank International AG (parent company)	491,431	1,028,831
Raiffeisen Leasing Kosovo LLC	490,750	-

in LEK thousand	31 dhjetor 2024	31 dhjetor 2023
Interest income	**325,807**	**310,847**
Raiffeisenbank a.s.	-	-
Raiffeisen Bank International AG (parent company)	243,284	198,513
RLB KI-Gruppe Salzburg	68,016	70,031
Raiffeisen Leasing Kosovo LLC	14,507	42,303
Interest expenses	**(255,849)**	**(31,710)**
Raiffeisen Bank International AG (parent company)	(255,849)	(31,710)
RLB KI-Gruppe Salzburg	-	-
Fee and commission income	**673**	**7,647**
Raiffeisen Bank International AG (parent company)	479	561
Raiffeisen Bank Kosovo J.S.C.	-	6,827
Raiffeisenbank Austria d.d.	194	259
Fee and commission expenses	**(249,787)**	**(254,509)**
Ukrainian Processing Center PJSC	(65,083)	(81,818)
Regional Card Processing Center s.r.o.	(78,382)	(75,103)
Centralised Raiffeisen International Services & Payments S.R.L.	(12,286)	(11,743)
Raiffeisen Bank International AG (parent company)	(94,036)	(85,845)

Average number of staff

Full-time equivalents	31 December 2024	31 December 2023
Salaried employees	1,261	1,235
Wage earners	40	40
Total	**1,301**	**1,275**

Relations to key management

in LEK thousand	**31 December 2024**	**31 December 2023**
Assets	417,369	403,276
Liabilities	163,907	147,942

Remuneration of members of the Management Board

The following table shows total remuneration of the members of the Management Board according to IAS 24.17. The expenses according to IAS 24 were recognized on an accrual basis and according to the rules of the underlying standards:

in LEK thousand	**31 December 2024**	**31 December 2023**
Short-term employee benefits	168,485	177,437
Other long-term benefits	87,603	84,729
Totali	**256,088**	**262,166**

Remuneration of members of the Supervisory Board

in LEK thousand	**31 December 2024**	**31 December 2023**
Remuneration Supervisory Board	21,764	14,559

Regulatory capital of Supplementary Pension Funds and Investment Funds Management Company (sub-sidiary of the Bank)

Based on Law no 10197 and 10198 dated 10 December 2009, supplementary pension funds and investment funds Management Companies, should, at any time, maintain a minimum capital of 15,625 thousand Lek, cal-culated as the net assets of the Fund in the statement of financial position. When the value of funds' net assets under administration of the management company, exceeds the amount of Lek 31,250 million, the management company should increase the capital, to the extent that increase in capital is at least equal to 0.02% of the amount by which the value of funds' net assets under administration exceed the above mentioned limit. How-ever, it is not necessary for the capital to be increased beyond a limit of Lek 1,250,000 thousand. As at 31 De-cember 2024 and 2023, Raiffeisen INVEST is in compliance with legal requirements on regulatory capital.

Regulatory capital of Leasing Company (subsidiary of the Bank)

Based on the regulation of the Bank of Albania "Licencing of Non-banking institutions" the finance leasing activity is included in the activities of non-banking financial institutions and among others, the requirement for minimum capital to start leasing activities is 100,000 thousand Lek. As at 31 December 2023 and 2022, Raiffeisen Leasing sh.a is in compliance with legal requirements on regulatory capital.

The Group's policy is to maintain a strong capital base so as to maintain investor, creditor and market confi-dence and to sustain future development of the business. The impact of the level of capital on shareholder return is also recognised and the Group recognises the need to maintain a balance between the higher returns that might be possible with greater gearing and the advantages and security afforded by a sound capital posi-tion.

The Group and its individually regulated operations have complied with all externally imposed capital re-quirements throughout the period. There have been no material changes in the Group's management of capital during the period.

Unconsolidated structured entities

Based on IFRS 10 requirements, exposure to variable returns should be well above the exposure from market level asset management fees in order to consider consolidation of the funds managed by the entity, which is not the case for the Group which is entitled to 1.5% of the Funds's net assets value. Further, the Group does not own any investment units either in the pension fund or in the investment funds. The Fund's assets are "ring fenced" from the Administration company (subsidiary of the Group). According to the Albanian legislation on pension fund and investment funds, the legal title on the assets of the Fund remains with the contributors. As a consequence, the Group did not consolidate any of the Funds administered by one of its subsidiaries in 2024 consolidated financial statements. Information about unconsolidated structured entities is as follows:

	Year ended 31 December 2024	**At 31 December 2024**		
In thousands of LEK	Income from the structured entity for the year	Carrying amount of assets of the structured entity	Carrying amount of liabilities of structured entity	Net assets of the structured entity
Prestige Fund	1,182,365	37,893,174	54,206	37,838,967
Pension Fund	90,781	1,668,803	5,578	1,663,225
Vizion Fund	465,567	10,836,071	14,230	10,821,841
Euro Fund	75,494	3,960,181	9,464	3,950,718
Mix Fund	6,351	373,045	770	372,275
Solid Fund	-	147,081	248	146,833
Total	**1,820,558**	**54,878,355**	**84,496**	**54,793,860**

39. Events after the end of the reporting date

The management of the Group is not aware of any subsequent events that would require either adjustments or additional disclosures in the financial statements.

Statement of legal representatives

We confirm to the best of our knowledge that the separate financial statements give a true and fair view of the assets, liabilities, financial position and profit or loss of the Group as required by the applicable accounting standards and that the Group management report gives a true and fair view of the development and perfor-mance of the business and the position of the Group, together with a description of the principal risks and uncertainties the Group faces.

The Management Board

Christian Canacaris
Chief Executive Officer

Alexander Zsolnai
Deputy CEO

Erion Serti
AMember of the Management Board respon-sible for CIO/COO

Vilma Bace
Member of the Management Board respon-sible for Retail Customers

Elona Mullahi
Member of the Management Board respon-sible for Corporate& SE Customers

Raiffeisen Leasing

Raiffeisen Leasing Sh.a. (the "Company") is an Albanian joint stock Company, registered in the Albanian Commercial Register by Tirana District Court, decision No. 35733, dated 15 May 2006. The Company started the activity in May 2006.

The Company's principal activity is providing finance leasing to companies and individuals.

The share capital is registered in Albanian Lek. From October 10, 2016, Raiffeisen Bank Sh.a. is the sole immediate parent of Raiffeisen Leasing Sh.a. The registered office of the Company is at Rruga "Komuna e Parisit", Building 1, Apr. 1-3, Tirana.

The Company's main shareholder is registered in Tirana. The ultimate controlling party is Raiffeisen Bank International AG.

The financial statements for the year ended 31 December 2024 were authorized for issue by the Board of Directors on 07 March 2025. The financial statements are subject to final approval by the Shareholders in the Annual General Meeting. The Shareholders have the power to amend the financial statements after issue.

Composition of Board of Directors and Managing Board as of as 31 December 2024 is as follows:

Board of Directors (Supervisory Board)

Dieter Schiedl	Chairman Supervisory Board
Erion Balli	Supervisory Board Member
Migena Arkaxhiu	Supervisory Board Member

Managing Board

Ankleida Shehu	Front Office Managing Director
Estela Themeli	Back Office Managing Director

In 2024, Raiffeisen Leasing Albania continued to solidity its leading position in the Albanian leasing market.

The total value of new business for the year reached € 26,33 million, with € 23,44 million or 89%, dedicated to vehicle financing, and € 2.89 million or 11% allocated to equipment and real estate deals.

Raiffeisen Leasing's core products are vehicle financing, equipment leasing and real estate.

These services were primarily offered to business clients, including both corporate and medium-sized enterprises, while individuals mainly utilized leasing services for personal vehicles.

Business distribution was as follows: 43% with corporate customers, 24% with SE (small enterprise) customers, 22% with micro business, and 12 % with individual customers.

One of RLAL's strategic objectives is to further expand its ESG-related business by offering financing products that promote environmental, social, and governance initiatives. In 2024 alone, ESG leasing assets financed amounted to approximately EUR 3.2million representing around 12% of RLAL new business.

The company maintained a strong liquidity position, with total assets covering total liabilities by approximatly 114% on December 31, 2024 slighly higher from the previous year. Additionally, recevaibles from financial leases covered about 97% of long-term debt versus 96% of the year before. Payments of short-term liabilities against suppliers have not been influenced and company has not reduced operational activity with suppliers. Raiffeisen Leasing does not anticipate sale of financial rent portfolio.

In 2024, RLAL focused on strengthening long-term partnership with clients of Raiffeisen Banking Group, offering efficient support to meet their business needs. Special emphasis was placed on enhancing relationships with key dealer networks operating in Albania, aiming to the improve the company's service offering and strategic cooperation.

By upholding the high professional standards established by its founders, Raiffeisen Leasing continues to deliver top quality products and services, ensuring clients are fully informed about the structure and transparency of each transaction.

Part of our activity is also vehicle remarketing and resale. We are also positioned in the ranks of experts concerning the establishment of standards in the re-sale market due to procedures we have implemented. However, the company used the know-how and experience of International Leasing Steering and Product Management and other leasing companies operating in the region, concerning its products, financial leasing services and marketing. Moreover, the company has full access to the large network of international suppliers of heavy tonnage vehicles, machinery and equipment, with which the Raiffeisen Group keeps stable relations, in order that the existing and prospective customers of the company benefit and realize their plans for investment.

By the end of 2024, Raiffeisen Leasing had 21 employees, providing their clients with prompt and highly competent services.

Raiffeisen Leasing remains active across multiply digital channels including Instagram, Facebook, LinkedIn focusing on strengthening its online presence by promoting leasing products and services often in collaboration with local concessionaires, it's key business partners.

We take this opportunity to sincerely thank our clients and business partners for their outstanding cooperation and trust throughout 2024. We also extend our deep appreciation to our employees for their commitment and efforts, confident that the Raiffeisen Leasing team will continue to maintain its strong market position in the coming years.

Prospect 2025

In 2025, Raiffeisen Leasing sh.a will continue to actively support the business and investment plans of its clients by providing financing solutions for vehicles and equipment with an increase focus on ESG related products.

Building on the successful pilot of our new "Residential Real Estate" leasing product in the Albanian market, Raiffeisen Leasing plans to expand its presence and market share in this segment. With this initiative, we aim to be a pioneer in the Albanian leasing market by offering this innovative long-term product in response to evolving market.

We remain fully committed to strengthening our long-term partnerships with clients and dealers. We will continue to proactively address their needs by enhancing our products and service offering.

Our key objectives for 2025 include: growing new business volumes, boosting cross-selling activities with Raiffeisen bank across all client segments, continuously improving existing products, developing innovative solutions, maintaining rigorous risk management practices and increasing operational efficiency through cost optimization. We are fully dedicated to preserving the stability of our portfolio by prioritizing quality over quantity and adhering to a strict risk policy.

Supported by the strength and the experience of Raiffeisen Group, along with our solid capital base and high-quality portfolio, Raiffeisen Leasing remains a reliable and secure partner for our clients and dealers in the years ahead.

Raiffeisen Invest Sh.a

The year 2024 has been an excellent year for the asset management company where we achieved exceptional performance and sustained leadership in the investment funds industry, commanding an impressive 88% market share. Our unwavering dedication to our clients has been pivotal, resulting in substantial growth in assets under management and robust revenue increases.

Our sales activity has been particularly strong, with gross sales totalling 162.5 million EUR and net sales contributing positively to growth at 71.5 million EUR. Our disciplined investment strategies, rigorous risk management practices, and market development efforts have yielded impressive returns for our clients.

We would like to thank all our colleagues for their outstanding efforts in achieving these impressive sales results and in our success.

Our Assets Under Management (AUM) soared to approximately 558 million EUR across all funds, marking a remarkable 29.4% growth for the year. We successfully expanded our client base by 10.7%, underscoring our ability to attract and retain clients effectively.

In a significant milestone, we introduced the first ESG fund to the Albanian market, reinforcing our commitment to sustainability and bringing the number of funds under management to 6. This initiative not only diversifies our product offering but also seeks to enhance public awareness of responsible investing.

Financially, we achieved a 23% increase in revenues, matched by a corresponding 23% growth in distribution expenditure. Profit Before Tax (PBT) plus distribution expenditure reached 4.65 million EUR, significantly surpassing our initial forecasts. The number of investment plans sold remained steady at nearly 8,000 throughout the year.

Beyond financial performance, we have remained steadfast in our commitment to client service, nurturing long-lasting partnerships. Digital sales have emerged as a key growth area, with the digital share of gross sales tripling compared to 2023. We are on track to complete our new customer acquisition project via RON by the second quarter of 2025.

As we look at 2025, we recognize the challenges posed by geopolitical uncertainties, market volatility, and evolving customer expectations. These factors demand our vigilance, adaptability, and strategic foresight. We are actively pursuing technological advancements, such as enhanced digital platforms, while reinforcing our contributions to sustainability through ongoing community engagement programs. Our commitment to these values will guide our strategy as we navigate the complexities of the evolving investment landscape.

Funds' performance and financial markets development during 2024

During 2024, the funds under management provided the following net returns to the investors:

- Raiffeisen Private Pension Fund: +4.60 per cent on annual basis
- Raiffeisen Prestige Fund: +6.16 per cent on annual basis
- Raiffeisen Vision Fund: +9.06 per cent on annual basis
- Raiffeisen Invest Euro Fund: +3.28 per cent on annual basis
- Raiffeisen Mix Fund: +7.68 per cent on annual basis

Raiffeisen Solid Sustainable Fund had a net performance of 4.14% from launch date on 7th of May 2025 till December 31, 2025.

Year 2024 was characterized by significant changes in economic conditions globally, which impacted positively the performance of the funds. The outlook for positive global economic growth improved throughout the year, since the risk sentiment remained positive.

The inflation was more near target levels although disinflation trend was very slow, and the reason was mainly related to the high service inflation.

The tightening cycle of the monetary policy with increasing interest rates ended in most of the economies worldwide during 2024, and this was a positive indication that the inflation was under control, although still above the targets of many Central banks, but at least it was in a downward trend.

In the euro area the European central bank start cutting interest rates in summer and in overall made 4 cuts by 1% in 2024. Federal Reserve in the US started later than ECB cutting rates, in September 2024 and in overall made 3 cuts with 1% in total. The accommodative monetary policy in US and EU was supportive for bond and equity markets, since lower rates means a boost for the economy. Anyway, the interest rate pricing was too optimistic at the beginning of the year, but Central Banks started to cut interest rates only in the second half of the year and made fewer cuts than expected by the markets. That's why the decline in bond yields was lower than expected in the bond market, and the performance of bond funds was lower than anticipated.

Stocks have mostly rallied during the year, supported by strong economic data and the accommodative monetary policies. US equities had a very strong performance, marking the second consecutive year of double-digit returns. European Equities experienced the biggest underperformance compared to US peers since 1976. They had positive returns, but much lower compared to US equities. Technology with a focus on AI was the highest grossing sector, with some IT companies reaching record-high valuations.

Anyway, the geopolitical risks related to the conflicts in Ukraine / Middle East and political events such as the re-election of President Trump in US by end of the year had its own impact on the mood of the financial markets during 2024.

In Albania, the Central Bank made 2 cuts in the interest rates by 0.5% in total. Key contributors to this decision were the continued strong appreciation of the domestic currency, the strong fiscal consolidation and the fact that inflation was back to the target of Central Bank.

S&P Global Ratings has upgraded Albania's long-term credit rating from 'B+' to 'BB-', with a stable outlook in March 2024 and Moody's made the upgrade of the Albanian debt by one notch in October 2024 to Ba3. This upgrade reflects Albania's robust economic prospects, underpinned by significant foreign direct investment (FDI), remittance inflows, and a booming service export sector.

During 2024, the yield of Albanian government securities in LEK recorded a drop of 0.5% up to 1.5 %, much lower compared to year 2023. The downward trend in the yields of Albanian government securities was supportive for our LCY funds which invests in this market. Interest income result and positive revaluation due to downward trend of government securities yields were the main performance drivers for the positive performance of the investment funds "Raiffeisen Prestige" and "Raiffeisen Vizion".

In Raiffeisen Invest, the fund managers managed to have an optimal portfolio allocation and diversification of the funds' assets, and in this way to take advantage from market movements and interest rate trends, with the final purpose to generate competitive returns for the funds.

Raiffeisen Private Pension Fund delivered a satisfying performance for 2024, recording the 2nd highest net annual return compared to other private pension funds operating in the domestic market. Raiffeisen private pension fund has the highest 10 years net return in the domestic market at 5.25%, which is an indicator of consistency of the fund performance in long run.

Social responsibility

During 2024, Raiffeisen Invest continued to strengthen its commitment to social responsibility, supporting projects that contribute to the sustainable development of society.

We have supported a total of 48 projects implemented in cooperation with public institutions and non-governmental organizations (NGOs), addressing the various needs of communities.

One of the areas where we have invested is art and culture, where we supported 6 projects that promote creativity and cultural heritage. These initiatives help preserve cultural identity and provide opportunities for local artists.

Education has also been a key priority. We have supported 9 projects that focus on education and financial literacy, supporting projects that develop important ICT skills or financial knowledge, where we can highlight the project implemented in several high schools in Tirana "Know your money" and the project implemented in cooperation with the Municipality of Korça "ICT Academy Bootcamp" with the participation of 400 students from the city. These projects aim to empower young people and prepare them for the challenges of the modern economy.

Another key area of our social responsibility activities is the focus on social investments, with 46% of our total sponsorships for 2024. We are proud of the rehabilitation of several kindergartens, or sports and green areas in Vlorë, Finiq, Mirditë, Patos; support of Festive Markets in Saranda, Lezhë, Shkodër and the rehabilitation of the "visiting room" in the Kavajë elderly house and the distribution of holiday food packages to 250 families in need.

These activations show our commitment to helping those in need and our contribution to the development of society.

Raiffeisen Invest will continue to invest in projects that create a positive and sustainable impact. We extend our gratitude to all partners who have contributed to the realization of these initiatives and our commitment to a brighter future for all.

2025 Outlook

The US Trade tariffs policy imposed by President Trump to the international trading partners is the main threat for the global economy. The new trade tariffs will bring uncertainty and volatility for the economy and the markets.

The inflation will continue to edge lower in most advanced economies – but not in US, because the higher tariffs may push higher the US inflation over the second half of this year, which would make life uncomfortable for the FED. Anyway services /wage inflation still could pose key upside risks to reach fast CB targets. The Inflation would be stable in the euro area, slightly above target values, but is expected to fall gradually. Markets are pricing a fall in interest rates of approximately 1% for ECB till June 2025, while FED could do 25 -50 bp cut in the interest rate till end of the year.

The Global economy is expected to be weaker for 2025. Risks to euro area growth, and particularly for Germany, has decreased. General elections will take place in Germany and will affect the government decision regarding the fiscal policy rules and the increase in country defence expenses. The peripheral economies of Spain, Portugal and Greece are now in much better shape. US economy has a strong economic position, but the tariff war would have a negative impact in slowing down the economic growth.

These developments would contribute to creating a very favourable and supporting environment for the bond market in Euro, with yields falling and prices increasing. The outlook for the equity market is positive too, especially for the European equities, which will recover and outperform the US peers.

The Albanian economy will be characterized by low inflation levels during the year 2025, reflecting the decline in inflation in the foreign environment, the strengthening of the Lek and the reduction of inflationary pressures in the domestic economy.

The Albanian Government plans to finance the budget deficit by increasing the domestic debt and by issuing a new Eurobond in the international markets. The government plans to expand the debt maturity by issuing for the 1st time a 20-year bond in the domestic market. Due to the new Eurobond issuance, the yields in LEK are expected to fall at a moderate pace during the first half of the year. The pressure on yields could be higher during H2 of 2025.

Raiffeisen Bank International at a glance

RBI regards Austria, where it is a leading corporate and investment bank, as well as Central and Eastern Europe (CEE) as its home market. Subsidiary banks cover 11 markets in the region. In addition, the Group includes numerous other financial service providers active in areas such as leasing, asset management, factoring and M&A. In total, around 43,000 RBI employees serve 17.9 million customers in around 1,400 business outlets, the vast majority of which are in CEE.

The regional Raiffeisen banks hold 61.17 per cent of RBI's shares. The remaining shares are held in free float.

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